

Government of Alberta

2011-12 Annual Report

- Consolidated Financial Statements
- Measuring Up

Alberta ■

This is the report to Albertans on ***Budget 2011: Building a Better Alberta***. It is a permanent public record of the dollars spent and the results achieved by the Government of Alberta for the 2011-12 fiscal year.

The Government of Alberta Annual Report consists of two parts:

- ***Consolidated Financial Statements***, which provide an overall accounting of the government's revenue and spending, and assets and liabilities.
- ***Measuring Up***, which reports on the progress that has been made towards achieving the government's goals. *Measuring Up* is published in a separate document.

Annual reports for each ministry have also been published, providing additional detailed information on performance and financial results.



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Consolidated Financial Statements

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Measuring Up

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ACCOUNTABILITY STATEMENT

The government's Annual Report for the year ended March 31, 2012 was prepared under my direction on behalf of the government in accordance with the *Government Accountability Act* and the government's accounting policies. All of the government's policy decisions as at June 20, 2012 with material economic or fiscal implications have been considered in the preparation of the Annual Report.

Original signed by

Doug Horner
President of Treasury Board and
Minister of Finance

A MESSAGE FROM THE PRESIDENT OF TREASURY BOARD AND MINISTER OF FINANCE

Alberta's fiscal approach is holding up very well compared to other jurisdictions and in light of continued international economic uncertainty. In 2011-12, the province continued to provide quality services to Albertans while remaining disciplined in its spending.

The consolidated financial statements show that the government made the right choice at budget time in 2011 to focus on keeping taxes low while meeting Albertans' needs and strategically investing in priorities to prepare for the future.

Government also supported Albertans in times of need, as more than \$500 million was directed for emergencies and disasters, including the Slave Lake and other wildfires, along with floods. This increase in funding was partially offset by lower operating expense and other savings.

Total revenue was up \$3.6 billion from budget, mainly due to increased Crown lease sales and royalty revenue, along with greater-than-expected investment income. These increases were partially offset by lower-than-expected income tax revenue.

Infrastructure support of \$5.9 billion was used to meet the challenges of a growing province including funding for municipalities, water, wastewater and housing projects, health facilities and schools, and expansions and improvements to the provincial highway network.

The end result being the province was essentially balanced at fiscal year end, posting a \$23 million deficit. This allowed for more money to stay in the Sustainability Fund than forecasted – the fund held \$7.5 billion at the end of the fiscal year. The Heritage Savings Trust Fund also had a successful year, earning \$800 million in investment income.

As Alberta kept growing, companies invested and moved ahead on projects and the economy continued to thrive. It is estimated our economy grew by more than five per cent. More people than ever moved to Alberta and there were nearly 78,000 more Albertans working, earning the highest average weekly earnings in the country.

While there are some risks to our economy going forward, we will manage these risks and continue to focus on the results and outcomes Albertans expect. Even with ups and downs in energy prices, Alberta is still well positioned for growth in this and the coming years.

As we close the books on 2011-12, we have the satisfaction of knowing we can move forward with confidence. We can continue to act on our priorities and pursue a long term vision for Alberta.

Original signed by

Doug Horner
President of Treasury Board and
Minister of Finance

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PREFACE

The Public Accounts of Alberta are prepared in accordance with the *Financial Administration Act* and the *Government Accountability Act*. The Public Accounts consist of the Annual Report of the Government of Alberta and the annual reports of each of the 21 ministries.

This Annual Report of the Government of Alberta contains the Minister's Accountability Statement, an Executive Summary, the audited Consolidated Financial Statements of the Province and the *Measuring Up* report, which compares actual performance results to desired results set out in the government's business plan. The *Measuring Up* report is published in a separate document.

The annual reports of ministries are now released concurrently with the Annual Report of the Government of Alberta, rather than being released in the fall. The ministry annual reports contain Ministers' accountability statements, the audited consolidated financial statements of the ministries and a comparison of actual performance results to desired results set out in the ministries' business plans. Each ministry annual report also includes:

- Financial statements of entities making up the ministry including departments (all departments combined form the General Revenue Fund), regulated funds, provincial agencies and Crown-controlled corporations;
- Other financial information as required by the *Financial Administration Act* and the *Government Accountability Act*, either as separate reports or as a part of financial statements, to the extent that the ministry has anything to report;
- Financial information relating to accountable organizations and trust funds.

■ EXECUTIVE SUMMARY

BUDGET 2011: BUILDING A BETTER ALBERTA

Budget 2011 focused on building for the future, by following the plan outlined to weather the global recession, emerge with strength and move forward.

- Manage spending carefully;
- Protect and enhance funding for priority public services of health care, education and supports for Albertans in need;
- Continue strong investment in infrastructure;
- Continue to attract investment, enhance value-added activity and increase innovation, and remain competitive, keeping taxes low.

As is not unusual for Alberta, and especially with recent global economic turmoil, the 2011-12 results differed from the original *Budget 2011* estimates. They were much better. The actual deficit of \$23 million was a vast improvement over the \$3.4 billion budget estimate. Revenue was \$3.6 billion higher due mainly to higher Crown land lease sales and royalty revenue. Expense was \$0.3 billion higher due primarily to in-year provision of disaster assistance for forest fires.

While 2011-12 results were much better than expected, global economic conditions are still uncertain, with large daily commodity and financial market swings. The government will continue to be prudent, focusing on the results and outcomes Albertans expect from programs and services, while managing our unique fiscal volatility responsibly.

Program Initiatives

Total expense increased by \$1 billion or 2.6% from 2010-11 to \$39.3 billion.

Health. Base operating grant to Alberta Health Services increased to reflect current service levels and the promised 6% addition. Released *Addiction and Mental Health Strategy* and provided the Health Quality Council more independence and authority.

Advanced and basic education. Increased school board grants supported enrolment growth and higher teachers' salaries. More funding for school construction. Operating grants to post-secondary institutions and loans to students increased.

Support for vulnerable Albertans. Increased funding for seniors benefits, Assured Income for the Severely Handicapped, programs for children and the disabled, and contracted agency staff compensation. Assisted low-income and homeless Albertans in securing accommodations. Began development of a comprehensive social policy framework and established greater independence for Child Advocate.

Other. Hired more probation officers and supported traffic and workplace safety. Promoted tourism and provided disaster assistance to agricultural and forestry sectors. Funded research and technology commercialization through Alberta Innovates corporations.

Capital Plan

Infrastructure support of \$5.9 billion in 2011-12 included funding for municipalities, water, wastewater and housing projects, health facilities and schools, and expansions and improvements to the provincial highway network. Support was about the same as provided in 2010-11.

Revenue

Albertans and Alberta businesses continued to pay the lowest overall taxes compared to other provinces. Education property tax mill rates were reduced.

Note on Scope of Reporting

The Annual Report Consolidated Financial Statements report on a larger scope than the Fiscal Plan (budget and quarterly) documents, as the Consolidated Financial Statements basis includes:

- Revenue, expense, assets and liabilities of Crown-controlled SUCH sector entities (schools, universities, colleges and health entities) and Alberta Innovates corporations, on a "line-by-line" basis. This adds revenue of \$3.9 billion, expense of \$3.3 billion and net assets of \$22.6 billion.
- Pension liabilities. Adds \$0.6 billion to expense and \$10.6 billion to liabilities.

The 2011-12 deficit was \$23 million on the Fiscal Plan basis and \$114 million on the Consolidated Financial Statements basis. More details on the differences between the Consolidated Financial Statements basis and Fiscal Plan basis are provided on pages 17-19.

FISCAL HIGHLIGHTS

Overview. On the **Fiscal Plan basis** (excludes pension provisions, SUCH sector and Alberta Innovates corporations), the deficit was \$23 million, \$3.4 billion lower than the 2010-11 deficit and the *Budget 2011* estimate.

Revenue was \$39.2 billion, an increase of \$4.4 billion from 2010-11 and \$3.6 billion from the budget.

- **Change from 2010-11.** Increases of \$3.2 billion in resource revenue, \$1.2 billion in income tax revenue and \$0.6 billion in other revenue were partly offset by decreases of \$0.2 billion in federal transfers and \$0.3 billion in investment income.
- **Change from Budget.** Increases of \$3.3 billion in resource revenue and \$0.7 billion in investment income, gaming and miscellaneous other revenue were partially offset by a decrease of \$0.4 billion in income tax revenue.

Expense was \$39.3 billion, an increase of \$1 billion from 2010-11 and \$0.3 billion from the budget.

- **Change from 2010-11.** Increases of \$0.9 billion in operating expense and a net \$0.1 billion mainly in disaster and emergency assistance.
- **Change from Budget.** Decreases of \$0.2 billion in capital grants and \$0.2 billion in operating expense and debt servicing costs were offset by \$0.5 billion for in-year disaster assistance and integrating the budgeted \$240 million in-year savings into actual operating and capital grant reductions.

Fourth Quarter Results. Deficit was \$1.3 billion lower than third quarter due to \$0.9 billion higher revenue and \$0.4 billion lower expense.

The **Consolidated Financial Statements basis** deficit was \$114 million, \$2.1 billion lower than 2010-11.

Net Assets. At March 31, 2012, on the Fiscal Plan basis, net assets were \$47.1 billion, including capital assets of \$20.3 billion. On the Consolidated Financial Statements basis, net assets were \$59.1 billion, including capital assets of \$40.1 billion. More details on assets and liabilities are provided on pages 16-17.

Fiscal Summary^a

(millions of dollars)

	2011-12			2010-11
	3rd Quarter			
FISCAL PLAN BASIS	Budget	Forecast	Actual	Actual
1 Revenue	35,605	38,323	39,249	34,859
Expense				
2 Operating expense	33,948	33,999	33,802	32,929
3 Capital grants	3,895	3,981	3,677	3,697
4 Disaster/emergency assistance	-	595	536	438
5 Capital amortization and nominal sum disposals	808	797	758	733
6 In-year savings	(240)	(240)	-	-
7 Debt servicing costs	588	509	499	472
8 Total Expense	38,999	39,641	39,272	38,269
9 Surplus / (Deficit)	(3,394)	(1,318)	(23)	(3,410)

RECONCILIATION TO CONSOLIDATED FINANCIAL STATEMENTS BASIS

Revenue Adjustment				
10 SUCH sector/Alberta Innovates corporations			3,853	3,948
11 Total Revenue (Consolidated Financial Statements basis - lines 1 + 10)			43,102	38,807
Expense Adjustments				
12 Adjustment for capital spending			1,068	516
13 SUCH sector/Alberta Innovates corporations net adjustment			2,242	1,845
14 Pension provisions			634	439
15 Total expense adjustments			3,944	2,800
16 Total Expense (Consolidated Financial Statements basis - lines 8 + 15)			43,216	41,069
17 Surplus / (Deficit) – Consolidated Financial Statements basis			(114)	(2,262)

^a 2010-11 and 2011-12 revenue and expense on Fiscal Plan basis have been increased by \$5 million due to an accounting policy change; 2011-12 budget revenue was increased by \$11 million as a result of Alberta Treasury Branches adopting International Financial Reporting Standards.

CASH ADJUSTMENTS AND ALBERTA SUSTAINABILITY FUND

CASH ADJUSTMENTS

- **Retained income of funds and agencies.** Heritage Fund inflation-proofing of \$454 million, and a net \$772 million in financial surpluses of entities, like Alberta Treasury Branches or the endowment funds, are included in the 2011-12 year-end results, but are kept by the entities.
- **Capital cash requirements.** Investment in government-owned capital and principal repayments on P3 contracts required \$2.2 billion in cash not included in expense in 2011-12.
- **Capital cash sources.** \$1 billion, including \$0.7 billion in non-cash amortization of government-owned assets included in expense, and \$0.3 billion in P3 and direct borrowing. Only \$31 million of the budgeted \$737 million in direct borrowing was issued.
- **Energy royalties.** Differences between reported revenue and when cash is actually received amount to a net \$240 million more reported 2011-12 resource revenue than cash received.
- **Other cash adjustments.** \$156 million in cash was needed for student loans, net of loan repayments and non-cash expense for loan remissions, and another \$159 million in net negative cash

adjustments primarily related to higher reported personal income tax revenue than cash received.

ALBERTA SUSTAINABILITY FUND

The *Fiscal Responsibility Act* (FRA) sets out Alberta's fiscal framework for managing revenue volatility. The FRA establishes the Sustainability Fund as a risk management mechanism, to offset deficits. The Fund will be replenished when the fiscal situation improves.

The Fund receives cash from year-end results, or provides cash to fund a reported deficit, after adjusting for differences between accrued revenue and cash receipts, non-cash expense and transfers not reported on the income statement.

- The Fund began the year with \$11.2 billion in assets and on March 31, 2012 had \$7.5 billion. This was \$2.2 billion higher than estimated, due mainly to the lower deficit.
- \$0.6 billion from 2010-11 fourth quarter results was transferred after March 31, 2011. A similar transfer of \$1.3 billion from 2011-12 fourth quarter results will take place in 2012-13.
- \$3 billion was transferred to offset cash requirements and the \$23 million reported deficit, as permitted by the FRA.

Cash Adjustments and Sustainability Fund (at March 31, 2012)

(millions of dollars)

Cash Adjustments - (requirements) / sources	2011-12			
	Budget	Actual	Change from	
			Budget	Forecast
Retained income of funds and agencies				
Heritage Fund inflation-proofing	(339)	(454)	(115)	(71)
ATB / AFSC / other funds and agencies	(551)	(772)	(221)	(217)
Capital cash adjustments				
Capital investment / principal repayments	(2,756)	(2,213)	543	121
Capital amortization / net book value of disposals	800	750	(50)	(39)
Alternative financing (P3s) / direct borrowing	938	261	(677)	6
Other cash adjustments				
Energy royalties	(428)	(240)	188	313
Student loans / other cash adjustments	(170)	(315)	(145)	(65)
Net Cash Adjustments	(2,506)	(2,983)	(477)	48
Plus: Deficit	(3,394)	(23)	3,371	1,295
Net Cash-adjusted Deficit (Deficit + Net Cash Adjustments)	(5,900)	(3,006)	2,894	1,343

Alberta Sustainability Fund

At March 31				
Assets at Start of Year	11,192	11,192		
Cash transferred from 2010-11 fourth quarter results	-	619	619	-
Transfer to offset net cash-adjusted deficit	(5,900)	(3,006)	2,894	1,343
Cash from 2011-12 fourth quarter results to be transferred in 2012-13	-	(1,308)	(1,308)	(1,308)
Assets at End of Year	5,292	7,497	2,205	35

ECONOMIC AND TAX HIGHLIGHTS

ECONOMIC HIGHLIGHTS

(Calendar year basis)

2011 Economic Growth. Alberta's economy expanded strongly in 2011, by an estimated 5.2%. This followed the solid recovery in 2010, when the economy grew 3.3%.

Employment. Increased 77,500, or 3.8% in 2011, and the average unemployment rate fell one percentage point to 5.5%. Employment growth accelerated as the year progressed, with the unemployment rate at 4.9% in December 2011.

Population Growth. Annual population growth in census year 2011 (ended June 30) was 1.6%, an increase from 1.3% in 2010, and higher than the national rate of 1%. Population growth was driven mainly by international and interprovincial migration.

Labour Income. Wages and salaries rose 8.4% in 2011, following the 5.5% increase in 2010. Average weekly earnings, a different measure from total labour income, increased 4.6% to \$1,038.69.

Consumer Sector. The strong growth in wages and employment were reflected in a 6.9% increase in retail sales, up from 6% in 2010. Consumer bankruptcies declined by 14% to 7,029.

Housing. Housing starts totaled 25,704 units in 2011, a 5.1% decline from 2010. The new house price index increased by 0.4%. The Canadian average increase in new home prices in 2011 was 2.2%.

Inflation. Consumer prices in 2011 rose by 2.4% in Alberta compared to the national average of 2.9%. The non-residential building construction cost index (Edmonton and Calgary) increased by 3.4% in 2011.

Energy Sector. Higher oil prices in 2011 led to continued strengthening in the oil industry. The average number of rigs drilling in Alberta was 285, an increase of 38% from 2010. Total oil sands investment in Alberta was \$21.6 billion, 26% higher than 2010. Bitumen production increased by 12%, while conventional oil production grew for the first time since 1995, by 6.8%. Natural gas production continued to decline, falling by 4.3%.

Manufacturing Sector. The value of Alberta manufacturing shipments increased for the second year in a row in 2011, rising by a robust 18%.

Agriculture Sector. Farm cash receipts increased 16% in 2011, following declines in the previous two years. International exports of agricultural products were \$6.9 billion in 2011, 21% higher than in 2010.

TAX HIGHLIGHTS

A Competitive Tax System. Alberta's tax system continues to be one of the most competitive in North America. If Alberta had any other provincial tax system, Albertans and Alberta businesses would pay at least \$10.7 billion more in taxes each year.

Personal Income Taxes. Alberta's income tax system is progressive and fair, with the highest basic, spousal and eligible dependant credit amounts in Canada. A single individual can earn over \$18,000, and a two-income family of four can earn over \$46,000, before paying provincial personal income tax.

Small Business Competitiveness. When all taxes are considered, Alberta small business owners continue to pay the lowest overall taxes in Canada.

Education Property Tax. Education property tax mill rates dropped by almost 8% in 2011, the 18th consecutive year the provincial government has either frozen or reduced mill rates. Education property tax mill rates have declined by more than 50% over 2001-2011.

OVERVIEW OF PROGRAM AND CAPITAL SPENDING

EXPENSE

On the **Fiscal Plan basis**, 2011-12 total expense was \$39.3 billion. Health and education accounted for 63% of total expense.

Year-over-year comparison. Expense was \$1 billion higher than 2010-11. This included:

- **Operating expense.** \$873 million or 2.7% increase, primarily for Alberta Health Services, school board grants for enrolment growth and teachers' salaries, and physician compensation.
- **Capital grants.** \$20 million or 0.5% decrease, primarily due to lower post-secondary institution grants, offset by higher grants for health facilities and municipal water and wastewater management.
- **Disaster / emergency assistance.** \$98 million or 22% increase primarily due to assistance for the Slave Lake wildfire and forest fire-fighting costs.
- **Other expense.** Increase of \$52 million or 4.3% in debt servicing costs and amortization expense.

Budget-to-actual changes. Expense was \$273 million higher than budgeted. This included:

- **Operating expense.** \$146 million or 0.4% decrease, primarily due to savings in various ministries, partially offset by higher school board support and physician compensation.
- **Capital grants.** \$218 million or 5.6% decrease, primarily from re-profiling projects to future years and reduced health facility maintenance grants, partly offset by higher funding for schools and municipal GreenTRIP projects.
- **In-year savings.** The \$240 million is integrated in operating expense and capital grant reductions.
- **Disaster / emergency assistance.** \$536 million increase for forest fire-fighting, the Slave Lake wildfire, floods, agriculture assistance and mountain pine beetle infestations.
- **Other expense.** \$139 million or 10% decrease in debt servicing costs and amortization expense.

Forecast-to-actual changes. Total expense decreased \$369 million from the third quarter forecast, mainly due to lower operating expense and capital grants.

On the **Consolidated Financial Statements basis**, total expense was \$43.2 billion, \$2.1 billion higher than 2010-11.

Expense

(millions of dollars)

	2011-12		2010-11	Change from	
	Budget	Actual		2010-11	Budget
FISCAL PLAN BASIS					
Operating expense	33,948	33,802	32,929	(146)	873
Capital grants	3,895	3,677	3,697	(218)	(20)
Disaster/emergency assistance	-	536	438	536	98
Capital amortization and nominal sum disposals	808	758	733	(50)	25
In-year savings	(240)	-	-	240	-
Debt servicing costs	588	499	472	(89)	27
Total Expense	38,999	39,272	38,269	273	1,003
RECONCILIATION TO CONSOLIDATED FINANCIAL STATEMENTS BASIS					
Adjustment for capital spending	n.a.	1,068	516	n.a.	552
SUCH sector net expense adjustment	n.a.	2,180	1,768	n.a.	412
Alberta Innovates corporations	n.a.	62	77	n.a.	(15)
Pension provisions	n.a.	634	439	n.a.	195
Total Expense (Consolidated Financial Statements basis)	n.a.	43,216	41,069	n.a.	2,147
Capital investment (Fiscal Plan)	2,737	2,194	2,192	(543)	2
Capital investment (SUCH / Alberta Innovates corporations)	n.a.	5,047	3,631	n.a.	1,416

Note on Capital Investment

In 2011-12, capital investment in government-owned facilities and equipment was \$2.2 billion, unchanged from 2010-11. Capital investment is not recorded as an expense; only the amortization cost of government-owned capital is reflected in expense. Capital support to external authorities (including the SUCH sector) is treated as an expense and is not amortized in provincial government Fiscal Plan documents. Capital investment plus capital grants to external authorities and support for other infrastructure equal the total Capital Plan support provided by the provincial government. The Capital Plan does not include amortization costs.

Expense by Function

(millions of dollars)

FISCAL PLAN BASIS	2011-12		2010-11	Change from	
	Budget	Actual		Budget	2010-11 Actual
Health	15,989	15,562	15,034	(427)	528
Education	9,145	9,271	9,276	126	(5)
Social Services	4,143	4,164	4,014	21	150
Agriculture, Resource Management and Economic Development	2,008	1,931	1,941	(77)	(10)
Transportation, Communications and Utilities	1,933	1,970	1,870	37	100
Protection of Persons and Property	1,384	1,866	1,592	482	274
Regional Planning and Development	1,108	1,109	1,139	1	(30)
Housing	233	285	419	52	(134)
Recreation and Culture	346	367	376	21	(9)
Environment	354	318	347	(36)	(29)
General Government	2,008	1,930	1,789	(78)	141
In-year savings	(240)	-	-	240	-
Debt Servicing Costs	588	499	472	(89)	27
Total Expense	38,999	39,272	38,269	273	1,003
RECONCILIATION TO CONSOLIDATED FINANCIAL STATEMENTS BASIS					
Adjustment for capital spending	n.a.	1,068	516	n.a.	552
SUCH sector net expense adjustment	n.a.	2,180	1,768	n.a.	412
Alberta Innovates corporations	n.a.	62	77	n.a.	(15)
Pension provisions	n.a.	634	439	n.a.	195
Total Expense (Consolidated Financial Statements basis)	n.a.	43,216	41,069	n.a.	2,147

CAPITAL PLAN

- The Capital Plan supported \$5.9 billion in projects in 2011-12, a decrease of \$761 million or 11% from budget and \$18 million lower than 2010-11.
- The decrease from budget was due to re-profiling cash flows requirements of various health, highway and other major projects to future years, a reduction in maintenance grants to Alberta Health Services to permit use of cash provided in prior years first, offset by projects carried-over from 2010-11 and higher funding for schools and municipal GreenTRIP projects.
- The decrease from 2010-11 was mainly due to the completion of post-secondary institution projects, the significant support in 2010-11 for affordable housing, and winding down of federal stimulus programs, offset by higher health and municipal water and wastewater capital grants.

Capital Plan

(Fiscal Plan basis, millions of dollars)

	2011-12		2010-11	Change from	
	Budget	Actual		Budget	2010-11 Actual
Municipal infrastructure support	1,628	1,719	1,768	91	(49)
Provincial highway network	1,665	1,534	1,538	(131)	(4)
Health facilities and equipment	1,022	652	281	(370)	371
Schools	289	387	388	98	(1)
Post-secondary facilities	251	255	609	4	(354)
Community facilities	120	140	111	20	29
Water and wastewater management	297	305	183	8	122
Housing	273	280	370	7	(90)
Government facilities, equipment and other capital	1,087	599	641	(488)	(42)
Total Capital Plan	6,632	5,871	5,889	(761)	(18)

SPENDING HIGHLIGHTS (By functional area)

HEALTH

Health expense was \$15.6 billion, a \$528 million, or 3.5% increase from 2010-11, but a \$427 million decrease from budget.

- The **increase from 2010-11** includes:
 - » \$252 million increase for physician services, primarily from higher physician fees and demand for services.
 - » \$19 million net increase in the operating grant to Alberta Health Services (AHS). This included \$546 million to provide for current service levels and the promised 6% increase. This was offset by additional funding in 2010-11 of \$527 million provided to offset the 2009-10 AHS deficit.
 - » \$376 million increase in capital grants.
 - » \$39 million net increase in other programs.
 - » \$159 million decrease for support programs primarily due to one-time funding for health workforce programs in 2010-11.
- The **decrease from budget** includes:
 - » \$191 million increase in physician compensation and development due to higher physician fees and demand for services.
 - » A net \$63 million increase in other programs.
 - » \$277 million decrease as a result of lower-than-anticipated usage in demand-driven programs, such as Seniors and Non-group Drug Benefits, and from delays in implementing various community-based and other support programs.
 - » \$338 million reduction in capital grants.

Major initiatives

- Launched *MyHealthAlberta*, the first phase of the personal health portal that links Albertans to trusted online health care information.
- Released the *Addiction and Mental Health Strategy* and the *Alberta Sexually Transmitted Infections and Blood Borne Pathogens Strategy and Action Plan 2011-2016*.
- Passed the *Health Quality Council of Alberta Act*, providing the Council more independence and authority to assess patient safety and conduct health system inquiries.

- Signed an Agreement in Principle for physician compensation, effective April 1, 2011, providing a 2.5% increase for each of 2011-12 and 2012-13 and increasing per patient funding for Primary Care Networks.
- \$35 million for the *Health Workforce Action Plan*.

Capital Plan

- Completed projects include:
 - » the Fort Saskatchewan Community Hospital, University of Alberta Stollery Children's Hospital Inter-operative Magnetic Resonance Imaging Suite; and the first two phases of Grande Prairie Queen Elizabeth II Emergency and Endoscopy Redevelopment;
 - » the Good Samaritan Care Centre in Stony Plain.
- Projects still under construction include:
 - » Edmonton Clinic South, Red Deer's Central Alberta Cancer Centre, Calgary's South Health Campus, Grande Prairie's Shields Health and Education Centre, the hospital in Sherwood Park and health centre replacements in Edson and High Prairie;
 - » renovation and expansion of the Chinook Regional Hospital in Lethbridge, the Medicine Hat Regional Hospital, the Bow Island Health Centre, emergency departments at the Foothills Medical Centre in Calgary and the Stollery Hospital in Edmonton, and the Northern Lights Health Centre Emergency and Intensive Care Unit in Fort McMurray;
 - » the partial replacement of the Dr. Cooke Extended Care Centre in Lloydminster.
- Planning and programming work continued for the Neonatal Intensive Care Unit at the Alberta Children's Hospital in Calgary and for the Vascular Surgery and Women's Health redevelopment at the Peter Lougheed Centre in Calgary, the Fort McMurray Community Health Centre and residential addictions and treatment facilities in Medicine Hat and Fort McMurray.

EDUCATION

Education expense was \$9.3 billion in 2011-12, \$5 million lower than 2010-11 but \$126 million higher than the *Budget 2011* estimate.

Changes from 2010-11 included increased school board support to accommodate higher enrolment and teachers' salaries, increased operating grants to post-secondary institutions for enrolment growth and operating costs of new facilities, offset by decreased post-secondary institution capital grants and lower job training program expense.

The **increase from budget** was due to higher school board support and increased capital grants for schools.

Major Initiatives

Kindergarten to Grade 12 Education

- Provided \$5.6 billion in operating and property tax support to public and separate school boards.
- School board and ministry expense increased \$391 million or 5.8%. The instruction program (teachers' salaries and benefits, services and supplies) increased \$289 million and operations and maintenance increased \$53 million. Funding for accredited private schools and operators increased 7.6%, to \$192 million, due mainly to enrolment and rate increases.
- \$226 million for the *Class Size Initiative*, which was refocused on Kindergarten to Grade 3 classes.
- Introduced two transportation trial projects to improve student productivity by installing Wi-Fi on buses and reduce travel time.

Advanced Education

- Provided \$2.2 billion in operating grants to post-secondary institutions.
- Awarded \$70 million in scholarships to nearly 37,000 Alberta students. Funded over 54,000 full-time students by providing \$268 million in Alberta student loans and \$18 million in grants.
- Changed student aid programs to improve student retention, accessibility and payment flexibility.
- Established a framework and evaluation process for foreign credential recognition.
- Sixteen research chairs were created to attract new leaders in energy and environment, food and nutrition, neuroscience/prions, and water research.

- Provided \$228 million in job training and other employment supports for Albertans.
- Initiatives to support Aboriginal participation in the work force included industry-related training for careers in the trades and a media campaign to promote health careers.

Capital Plan

- Provided \$387 million for school facilities. Four high schools will open in either September 2012 or early 2013. Under the P3 Alberta Schools Alternative Procurement (Phase II), ten schools will open September 2012.
- Provided \$255 million to support the expansion and preservation of post-secondary facilities.

SOCIAL SERVICES

Social services expense was \$4.2 billion in 2011-12, an increase of \$150 million, or 3.7% from 2010-11 and \$21 million from budget.

The **increase from 2010-11** was mainly due to higher caseloads in programs for children, seniors and the disabled, partly offset by lower demand for income supports resulting from improving labour markets.

The **increase from budget** was due primarily to lump sum payments to contracted agency service providers (through Persons with Developmental Disabilities boards and Child and Family Service Authorities), higher child care subsidy caseloads, and higher Assured Income for the Severely Handicapped caseloads and costs.

Major Initiatives

- Provided \$2.1 billion for child, youth and income supports, and \$1.9 billion in programs for seniors and disabled Albertans.
- Assured Income for the Severely Handicapped expense was \$806 million, \$52 million or 6.8% higher than 2010-11, providing financial assistance to approximately 45,000 clients.
- Support to Persons with Developmental Disabilities expense was \$628 million, an increase of \$37 million or 6.2% from 2010-11, addressing caseload growth, increasing complexity of cases, and lump sum payments to staff of contracted agency service providers.

- Provided \$438 million to seniors through the Alberta Seniors Benefit, Special Needs Assistance, dental, optical and property tax assistance programs, an increase of \$16 million or 3.8% from 2010-11.
- Began development of a comprehensive social policy framework, in consultation with Albertans.
- Introduced legislation making the Child and Youth Advocate an independent Officer of the Legislature. Established the Council of Quality Assurance to advise on child intervention system improvements.
- Consulted with over 250 people from government, Aboriginal organisations and communities on issues contributing to over-representation of Aboriginal children in the child intervention system to identify actions and best practices.
- Continued with the plan to eliminate homelessness. Approximately 5,900 people were housed, with assistance from community partners.
- Provided \$59 million in rent supplements for low-income households.
- Expanded the *Alberta Vulnerable Infant Response Team* from Calgary to Edmonton. The team provides intensive support to at-risk families with infants who are up to four months old.
- Implemented a pilot program to help vulnerable youth transition to adult independence.

AGRICULTURE, RESOURCE MANAGEMENT AND ECONOMIC DEVELOPMENT

Expense was \$1.9 billion in 2011-12, a decrease of \$10 million or 0.5% from 2010-11, and \$77 million lower than the budget estimate.

The **decrease from 2010-11** was primarily from lower agriculture disaster expense and indemnity payments, partly offset by higher grants for the Calgary Stampede 2012 Centennial, carbon capture and storage and to Alberta Innovates corporations.

The **decrease from budget** reflected lower agriculture indemnity payments and re-profiling of carbon capture and storage grants to future years, partly offset by in-year disaster assistance for the agriculture sector and to combat mountain pine beetle infestations, and increases for the Calgary Stampede 2012 Centennial and Travel Alberta initiatives.

Major Initiatives

- Provided \$55 million for workforce and aboriginal development, the Alberta Immigrant Nominee Program and immigrant training services.
- Gave \$213 million in grants to Alberta Innovates corporations to support research, innovation and technology commercialization.
- Indemnity payments of \$316 million for production insurance and \$26 million for hail insurance were made.
- Excess moisture conditions in spring 2011 resulted in \$39 million of in-year disaster assistance.
- The Alberta Livestock and Meat Agency allocated \$33 million to agri-food businesses to develop new markets, products and technologies.
- Agriculture Financial Services Corporation approved \$66 million in two-year, interest-free loans to Slave Lake businesses affected by wildfires.
- Provided \$12 million to the Crop Industry Development Fund for agriculture research and opened the \$17 million Greenhouse Research and Production Complex in Brooks.
- Alberta Multimedia Development Fund program expense was \$16 million. Support for book and magazine publishing, and sound recording, amounted to \$2 million.
- Provided \$30 million to combat mountain pine beetle infestations.
- The Land Use Secretariat employed \$7 million to implement the *Land-use Framework*, including development of regional plans.
- \$58 million in Alberta tourism promotion.
- \$30 million for the Calgary Stampede 2012 Centennial celebration, including funding for the Agrium Western Event Centre.

TRANSPORTATION, COMMUNICATIONS AND UTILITIES

Expense was \$2 billion in 2011-12, an increase of \$100 million, or 5.3% from 2010-11 and \$37 million from budget. This included \$1.1 billion in capital grants to municipalities, \$0.4 billion in amortization expense and \$0.5 billion in highway maintenance and other program expense.

- The **increase from 2010-11** primarily reflected increased capital grants to municipalities for GreenTRIP and water and wastewater projects.
- The **increase from budget** primarily reflected GreenTRIP funds re-profiled from 2012-13, and higher grants for water and wastewater projects and other municipal transportation programs.

Capital Plan

- Municipal support of \$1.1 billion included \$647 million to address local transportation infrastructure priorities, \$253 million for water and wastewater infrastructure and \$200 million for GreenTRIP projects.
- Capital investment (not included in expense) on the provincial highway network was more than \$1.5 billion in 2011-12, the same amount as in 2010-11. Projects included:
 - » Continued work on ring roads and associated interchanges in Edmonton and Calgary:
 - » Continued work on major projects in Fort McMurray, including the completion of a new bridge over the Athabasca River.
 - » Continued work on twinning Highways 63 and 43, upgraded the interchange at Highway 2 and Highway 11A near Red Deer, reconstructed 4 kilometres of Highway 625 in Nisku and widened 12 kilometres of Highway 55.
 - » Repaved over 1,200 kilometres of highway throughout the province.

PROTECTION OF PERSONS AND PROPERTY

Expense was \$1.9 billion in 2011-12, an increase of \$274 million, or 17.2% from 2010-11, and \$476 million from the *Budget 2011* estimate.

The **increase from 2010-11** was due to higher disaster expense for municipal flood and wildfire assistance and forest fire-fighting costs, higher costs for policing and correctional services staff, and increased judicial compensation.

The **increase from budget** was mainly due to in-year disaster expense for municipal flood and wildfire assistance and forest fire-fighting costs, and increased judicial compensation.

Major Initiatives

- Signed a 20-year agreement with the federal government for RCMP to deliver policing.
- Spent \$359 million, including \$250 million of in-year disaster assistance, to fight over 1,100 forest fires, which consumed over 790,000 hectares.
- Provided \$221 million for disaster recovery and municipal wildfire assistance, including \$166 million for the Slave Lake wildfire.
- Hired 50 additional probation officers, completing the 2008 commitment to hire 110 officers.
- Traffic safety initiatives included accident prevention, building safer roads, increasing Checkstop campaigns, enforcing new distracted driving legislation and educating Albertans about new legislation regarding impaired driving.
- Implemented the *Alberta Gang Reduction Strategy* and a provincial witness security program. Launched a pilot program to work with high-risk individuals to provide intensive probation, addiction treatment, counseling and employment skills services.
- Expanded WCB cancer coverage for firefighters and released occupational health and safety best practice guidelines for the health sector.
- Increased compensation for Provincial Court Judges and Masters in Chambers based on recommendations from the Judicial Compensation Commission.

REGIONAL PLANNING AND DEVELOPMENT

Expense was \$1.1 billion in 2011-12, a decrease of \$30 million, or 2.6% from 2010-11 and an increase of \$1 million from budget.

The **decrease from 2010-11** was mainly due to one-time funding in 2010-11 for the Bigstone Cree land claim settlement, partly offset by increased Municipal Sustainability Initiative and other municipal grants.

The **increase from budget** was due primarily to higher capital grants to municipalities.

Major Initiatives

- Provided \$886 million to municipalities under the Municipal Sustainability Initiative, including \$838 million in capital grants and \$48 million in operating grants.

- \$113 million in casino revenue was provided to First Nations through the First Nations Development Fund.

OTHER PROGRAM EXPENSE

Other program expense was \$2.9 billion in 2011-12, a decrease of \$31 million or 1.1% from 2010-11 and \$41 million lower than budget.

The **decrease from 2010-11** mainly related to a reduction from the significant affordable housing expense in 2010-11, and lower community project and climate change and emissions management grants, partially offset by higher lease and property operations costs, a one-time write-off of project planning costs previously included in assets, and higher external investment management fees.

The **decrease from budget** was mainly due to re-profiling of federally-funded ecoTrust projects to future years, lower climate change and emissions management grants and lower pre-1992 Teachers' Pension Plan payments. These were partly offset by increased affordable housing grants funded through a new agreement with the federal government, community project grants re-profiled from 2010-11, and higher external investment management fees.

Major Initiatives

Housing

- Provided \$120 million to develop 1,212 affordable housing units for lower income and homeless families, seniors and persons with special needs. Total affordable housing units supported over the past five years has exceeded 12,100, surpassing the commitment of 11,000 new units by 2012.
- Capital investment (not included in expense) of \$44 million was allocated to land development in the Parsons Creek subdivision of Fort McMurray.

Recreation and Culture

- Provided \$49 million to support Alberta historic sites, museums and heritage preservation and conservation programs.
- Community-based initiative support included:
 - » \$40 million through the Community Facility Enhancement Program, to build, purchase, repair and improve community-use facilities;

- » \$22 million in Community Initiatives Program;
- » \$16 million in Community Spirit Program, for 2,099 non-profit and charitable organizations.

- \$27 million for capital projects cost-shared with the federal government included the Mount Royal Conservatory of Music, Canadian Sports Hall of Fame, GO Community Centre, Fort Calgary, Ukrainian Canadian Archives and Museum and the Citadel Theatre.
- Public libraries received \$31 million.
- \$65 million for provincial park operations and management, including \$13 million in capital investment (not included in expense) for park infrastructure maintenance and renewal.
- \$27 million to promote active and healthy lifestyles, recreation and sport.

Environment

- \$34 million in ecoTrust for Clean Air and Climate Change initiatives to reduce greenhouse gas emissions, including clean energy research and waste-to-energy conversion.
- Recorded \$51 million in emissions management charges from industry in 2011-12, and provided \$50 million to the Climate Change and Emissions Management Corporation, which invests in technologies to reduce greenhouse gas emissions and improve our ability to adapt to climate change.
- Began implementation of the Provincial Monitoring Panel's recommendations for an environmental monitoring system, with a specific focus on the oil sands region.
- Established planning and advisory councils for all major watersheds. \$18 million for *Water for Life*.
- Developed two information portals, for the oil sands and the Edmonton-Calgary corridor, to improve the understanding and management of groundwater resources.
- Provided \$5 million to the Alberta Biodiversity Monitoring Institute, which supports consistent reporting of province-wide species, habitat and human activity.

General Government

- Passed the *Results-based Budgeting Act*, requiring regular reviews of programs and services, and a budget process based on the results to be achieved.

- Began development of legislation for self-employed and small and medium-sized business employees to participate in pooled registered pension plans.
- Introduced internet filing for corporate taxpayers.
- Continued construction on Edmonton Remand Centre, to open in 2013. It will be the largest facility of its kind in Canada, with 1,952 beds.
- Continued renovation of the Edmonton Federal Building and development of the surrounding Centennial Plaza, and design of the new Royal Alberta Museum.

DEBT SERVICING COSTS

- Debt servicing costs primarily represent the interest paid on: unmatured accumulated debt; borrowing for capital purposes and to repay the Teachers' Pension Plan (TPP) debt; interest costs related to Alberta Capital Finance Authority (ACFA) and Agriculture Financial Services Corporation (AFSC) lending operations.
- 2011-12 debt servicing costs were \$499 million, an increase of \$27 million from 2010-11, but a decrease of \$89 million from the budget estimate.
- The increase from 2010-11 is related mainly to higher ACFA borrowing, to facilitate higher on-lending of the funds to municipalities, which generate offsetting interest revenue for the government, and to increased P3 financing costs for ring road and school projects.
- The decrease from budget is due primarily to not borrowing the \$1.8 billion for capital purposes as planned in *Budget 2011*, and to lower-than-expected interest rates.
- As of April 1, 2011, the Government of Alberta began borrowing directly from financial markets and then on-lending the proceeds to Alberta Treasury Branches (ATB) and ACFA, as has been the practice with AFSC debt issuance. Previously, ATB and ACFA borrowed in their own names. This reduces borrowing costs and improves overall management of debt issuance. As a result, ACFA debt servicing costs are now reported as government debt servicing costs, rather than as operating expense. There is no change for how ATB debt servicing costs, or the assets and liabilities of either corporation, are reported.

- Sufficient funds have been set aside in the Debt Retirement Account to repay the outstanding \$489 million in accumulated debt as it matures. Only \$240 million will remain at March 31, 2013.

Accumulated Debt (at March 31)

(millions of dollars)	2012	2011
Accumulated debt at start of year	828	1,092
Repayment of debt maturities	(339)	(264)
Accumulated debt at end of year	489	828
Less Debt Retirement Account	503	843
Accumulated Debt less Debt Retirement Account	(14)	(15)

PENSION PROVISIONS

- Public sector pension plan liabilities increased by \$634 million, to \$10.6 billion at March 31, 2012. The increase was larger than expected in both *Budget 2011* and the *2011-12 Third Quarter Fiscal Update*, mainly as a result of a reduction to the discount rate used to calculate the pre-1992 Teachers' Pension Plan liability.
- Liabilities for pre-1992 obligations account for 85% of the government obligation, with the pre-1992 Teachers' Pension Plan unfunded liability accounting for 75%.
- For the purposes of the *Fiscal Responsibility Act*, the annual, non-cash change in pension liabilities is excluded from expense and fiscal framework rules.

Pension Liabilities (at March 31)

Government obligations for pension plan liabilities (millions of dollars)

	2012	2011
Teachers' Pension Plans		
– Pre-1992 unfunded liability	7,916	7,540
– Post-1992 unfunded liability	503	418
Public Service Management (Closed)	614	621
Universities Academic	315	316
Local Authorities	450	410
Public Service Management (Supplementary)	53	40
Special Forces	129	121
Members of the Legislative Assembly	45	44
Public Service	176	67
Management Employees	129	137
Provincial Judges and Masters in Chambers	-	2
Supplementary Executive Retirement Plans	3	-
Pension Liabilities (without SUCH)	10,333	9,716
SUCH - Universities Acad./Supp. retirement	223	206
Total Pension Liabilities	10,556	9,922

2011-12 Ministry Expense by Function

(Fiscal Plan basis, millions of dollars)

	Health	Education	Social Services	Agriculture, Resource Management and Economic Development	Transportation, Communications and Utilities	Protection of Persons and Property	Regional Planning and Development	Housing	Recreation and Culture	Environment	General Government	Debt Servicing Costs	Total Expense
Legislative Assembly											89		89
Advanced Education and Technology		2,681		277									2,958
Agriculture and Rural Development				920								58	978
Culture and Community Services				18					220				238
Education		6,355										22	6,377
Energy				287	34					13	58		392
Environment and Water										252			252
Executive Council											28		28
Finance		4		36		37	1		8		916	363	1,365
Health and Wellness	14,843												14,843
Human Services	35	228	2,051	55		57							2,426
Infrastructure	561	3			4		2	1		33	540		1,144
Intergovernmental, International and Aboriginal Relations				14			144		1		9		168
Justice			78			434							512
Municipal Affairs			59			247	957	203	32		48	16	1,562
Seniors	123		1,948					81					2,152
Service Alberta						81					204		285
Solicitor General and Public Security			28	20		633			3				684
Sustainable Resource Development				197		348				18			563
Tourism, Parks and Recreation				74					103				177
Transportation				20	1,932	29				2		40	2,023
Treasury Board and Enterprise				13			5				38		56
Total Expense	15,562	9,271	4,164	1,931	1,970	1,866	1,109	285	367	318	1,930	499	39,272

REVENUE HIGHLIGHTS

TOTAL REVENUE

- Total 2011-12 revenue on the **Fiscal Plan basis** was \$39.2 billion, \$4.4 billion higher than in 2010-11 and \$3.6 billion higher than budget.
- The **increase from 2010-11** was due mainly to higher Crown land lease sales, bitumen royalties and tax revenue, partially offset by lower investment income and federal transfers.
- The **increase from budget** was due to higher Crown land lease sales, royalty revenue, investment

income, recoveries of prior-year expense accruals and revenue from land sales, partly offset by lower income tax revenue.

- The \$926 million **increase from the third quarter forecast** was due mainly to higher investment income, royalty revenue, recoveries of prior-year expense accruals and revenue from land sales partly offset by lower corporate income tax revenue.
- On the **Consolidated Financial Statements basis**, total revenue was \$43.1 billion, \$4.3 billion higher than in 2010-11.

Revenue ^a

(millions of dollars)

	2011-12		2010-11	Change from	
	Budget	Actual		2010-11	Budget
FISCAL PLAN BASIS					
Personal income tax	8,693	8,449	7,516	(244)	933
Corporate income tax	3,608	3,498	3,275	(110)	223
Other taxes	3,866	3,901	3,629	35	272
Non-renewable resource revenue	8,321	11,636	8,428	3,315	3,208
Transfers from Government of Canada	4,768	4,777	5,025	9	(248)
Investment income	1,927	2,059	2,360	132	(301)
Net income from commercial operations	2,318	2,393	2,337	75	56
Premiums, fees and licences	1,396	1,397	1,285	1	112
Other	708	1,139	1,004	431	135
Total Revenue	35,605	39,249	34,859	3,644	4,390
RECONCILIATION TO CONSOLIDATED FINANCIAL STATEMENTS BASIS					
SUCH sector / Alberta Innovates corporations	n.a.	3,853	3,948	n.a.	(95)
Total Revenue (Consolidated Financial Statements basis)	n.a.	43,102	38,807	n.a.	4,295

^a More detailed information on revenue is provided in the Background Tables accompanying the News Release and in Schedule 1 (page 48) of the Consolidated Financial Statements.

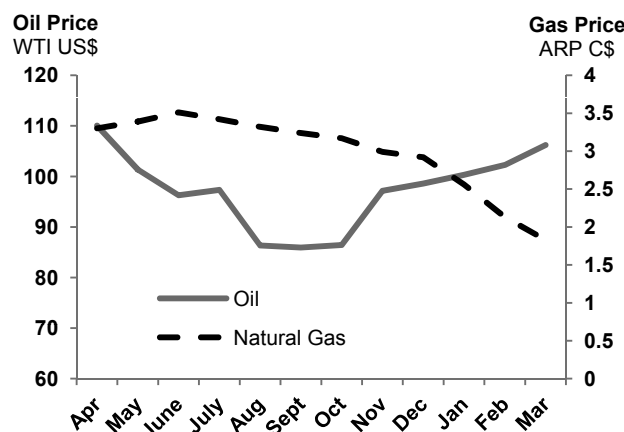
NON-RENEWABLE RESOURCE REVENUE

- Non-renewable resource revenue was \$11.6 billion. This was \$3.2 billion higher than in 2010-11 and \$3.3 billion higher than estimated in *Budget 2011*.
- The exchange rate averaged US¢100.7/Cdn\$ for the year, 2.32 cents higher than forecast. A higher exchange rate lowers royalty revenue.
- Global economic recovery continued to boost oil prices, but concerns over US and European fiscal situations dragged prices down from August to October. Prices (WTI) averaged US\$97.33 per barrel, \$13.95 higher than 2010-11 and \$7.93 higher than the budget estimate. Bitumen prices were also higher.
- Bitumen royalties were \$790 million higher than in 2010-11 and \$390 million higher than budget. The increase from 2010-11 was due to higher

prices and production and more projects reaching payout. The increase from budget was due mainly to higher prices, offset by lower production.

- Conventional oil royalties were \$359 million more than budget due to higher prices and production.
- Natural gas and by-product royalties were \$282 million higher than budget. Natural gas production was greater than expected, but prices continued to be weak due to strong growth in US shale gas production and low demand growth, partly from an unusually warm North American winter. The Alberta Reference Price was \$2.98, \$0.47 lower than budget and \$0.30 lower than 2010-11. About 60% of the increase from budget was due to royalties from by-products, the prices for which more closely track oil prices.

Oil and Natural Gas Prices 2011-12



- Comparisons to 2010-11 for crude oil and natural gas royalties are complicated as the 5% new well royalty rate of the drilling stimulus initiatives was made permanent and directly incorporated into royalties, rather than being reported separately, as in 2010-11.
- Crown land lease sales revenue was \$3.3 billion, an increase of \$678 million from 2010-11 and of \$2.2 billion from budget, due to higher prices per hectare and numbers of hectares sold. The sale on June 1, 2011 of \$842 million was a record.

TAX REVENUE

- Total tax revenue was \$15.8 billion, an increase of \$1.4 billion from 2010-11, but \$319 million lower than the *Budget 2011* estimate.
- Personal income tax revenue was \$8.4 billion, an increase of \$933 million from 2010-11 but a decrease of \$244 million from budget. The increase from 2010-11 was due mainly to strong growth in personal incomes. Revenue was lower than budget as revenue reported for 2009-10 and 2010-11 was overestimated, reducing the base used to forecast 2011-12 revenue and requiring a negative prior years' adjustment of \$154 million.
- Corporate income tax revenue was \$3.5 billion, an increase of \$223 million from 2010-11 due to

strong economic growth and corporate profits. Revenue declined \$110 million from budget due to lower-than-forecast corporate profits.

- Other tax revenue was \$3.9 billion. Increases of \$272 million from 2010-11 and \$35 million from budget were mainly from fuel and property taxes.

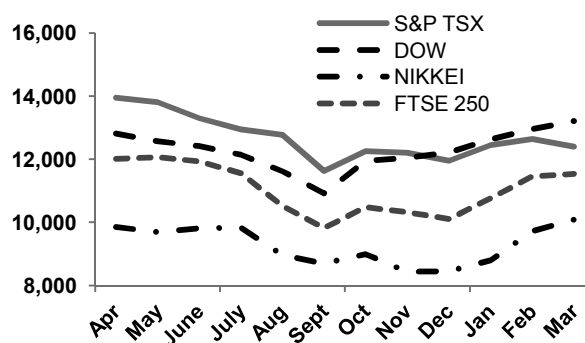
TRANSFERS FROM GOVERNMENT OF CANADA

- \$4.8 billion, a decrease of \$248 million from 2010-11 mainly due to winding down of job training and infrastructure stimulus programs. A \$9 million increase from budget relates mainly to 2010-11 flood assistance, partly offset by lower health transfers.

INVESTMENT INCOME

- Investment income was \$2.1 billion, \$301 million lower than 2010-11 but \$132 million higher than the budget. Heritage and endowment fund income declined as global equity markets were weak in mid-2011. A higher balance in the Sustainability Fund, from the lower-than-expected deficits both this year and in 2010-11, boosted income.

Global Equity Markets 2011-12



OTHER REVENUE

- Revenue from all other sources was \$4.9 billion, an increase of \$303 million from 2010-11 and \$507 million from the budget, primarily due to recoveries of prior-year expense accruals, land sales and net income from gaming operations.

Energy Prices and Exchange Rates

Fiscal year averages, 1999-2000 to 2011-12

	99-00	00-01	01-02	02-03	03-04	04-05	05-06	06-07	07-08	08-09	09-10	10-11	11-12
Oil Price (WTI US\$/bbl)	23.18	30.20	24.13	29.04	31.38	45.03	59.94	64.89	82.25	85.94	70.71	83.38	97.33
WCS @ Hardisty (Cdn\$/bbl)	-	-	-	-	-	-	44.35	52.84	59.30	74.36	66.08	66.70	80.72
Natural Gas Price (Cdn\$/GJ)	2.52	5.76	3.57	4.72	5.45	6.05	8.29	5.94	5.92	6.97	3.58	3.28	2.98
Exchange rate (US\$/Cdn\$)	68.0	66.5	63.9	64.6	74.0	78.4	83.9	87.9	97.1	89.6	91.9	98.4	100.7

NET FINANCIAL AND CAPITAL ASSETS

At March 31, 2012, on the **Fiscal Plan basis**, Government of Alberta financial and capital assets exceeded liabilities by \$47.1 billion.

This was identical to March 31, 2011, as a reduction of \$0.5 billion in net financial assets, mainly from cash requirements for capital spending, and an increase of \$0.9 billion in net liabilities, due in part to additional liabilities for capital projects, are offset by a \$1.4 billion increase in capital assets.

FINANCIAL ASSETS

\$51.3 billion at March 31, 2012.

- **Heritage Fund.** \$14.7 billion book value, an increase of \$454 million from March 31, 2011, due to inflation-proofing.
- **Sustainability Fund.** \$7.5 billion, a decrease of \$3.7 billion from March 31, 2011. Additional cash of \$1.3 billion from the improved 2011-12 fourth quarter results, reported in “other financial assets” at March 31, 2012, will be deposited in 2012-13, bringing the Fund balance to \$8.8 billion.
- **Endowment and other funds.** \$3.3 billion, an \$18 million decrease from March 31, 2011, mainly from weaker-than-expected income. Includes the three endowment funds, Cancer Prevention Legacy Fund and Alberta Enterprise Corporation.
- **Self-supporting lending organizations.** \$14.5 billion in financial assets of Alberta Capital Finance Authority and Agriculture Financial Services Corporation. These assets more than offset the liabilities of these organizations.
- **Equity in commercial enterprises.** \$2.7 billion, primarily equity in Alberta Treasury Branches.
- **Debt Retirement Account.** \$503 million, for repayment of accumulated debt as it matures.
- **Other financial assets.** \$8 billion. This includes \$1.3 billion that will be deposited in the Sustainability Fund after March 31, 2012, as it is cash from improved 2011-12 fourth quarter results. The remaining \$6.7 billion represents accounts and interest receivable, natural gas royalty deposits, student loans and cash associated with future liabilities such as federal transfers and corporate income tax refunds.

LIABILITIES

\$24.5 billion at March 31, 2012.

- **Accumulated debt.** \$489 million, offset by the Debt Retirement Account. Only \$240 million of accumulated debt will remain by March 31, 2013.
- **Self-supporting lending organizations.** \$13.2 billion in liabilities of Alberta Capital Finance Authority and Agriculture Financial Services Corporation are more than offset by their \$14.5 billion in financial assets.
- **Liabilities for capital projects.** \$3.4 billion, a \$243 million increase from March 31, 2011, due to the addition of \$231 million in P3 project liabilities and \$31 million in direct borrowing, less \$19 million in repayment of principal. The government decided against proceeding with the remaining \$1.8 billion of the \$3.3 billion in direct borrowing initially planned in *Budget 2009*.
- **Accounts and interest payable and other liabilities.** \$7.4 billion. Includes natural gas royalty and security deposits, unearned revenue and trade payable and liabilities. There is an offsetting relationship between some of these liabilities and “other financial assets.”

CONSOLIDATED FINANCIAL STATEMENTS BASIS

At March 31, 2012, on the **Consolidated Financial Statements basis**, net assets were \$59.1 billion. The broader basis includes the addition of:

- \$7.1 billion in **financial assets**, and \$19.8 billion in **capital assets**, of SUCH sector entities and Alberta Innovates corporations;
- \$4.3 billion in **liabilities** of SUCH sector entities and Alberta Innovates corporations;
- \$10.6 billion in **pension liabilities**.

Balance Sheet

(millions of dollars)

	at March 31		
	2012 Actual ^a	2011 Actual	Change from 2011
Financial Assets			
Heritage Fund Equity	14,652	14,198	454
Alberta Sustainability Fund	7,497	11,192	(3,695)
Endowment and other funds	3,284	3,302	(18)
Self-supporting lending organizations:			
Alberta Capital Finance Authority	11,316	9,889	1,427
Agriculture Financial Services Corporation	3,154	2,717	437
Equity in commercial enterprises	2,737	2,615	122
Debt Retirement Account	503	843	(340)
Other financial assets	8,118	6,964	1,154
Total Financial Assets	51,261	51,720	(459)
Liabilities			
Accumulated debt	489	828	(339)
Self-supporting lending organizations:			
Alberta Capital Finance Authority	11,316	9,889	1,427
Agriculture Financial Services Corporation	1,903	1,738	165
Liabilities for capital projects	3,442	3,199	243
Accounts and interest payable and other liabilities	7,383	7,952	(569)
Liabilities	24,533	23,606	927
Net Financial Assets (total financial assets less liabilities)	26,728	28,114	(1,386)
Capital Assets	20,342	18,975	1,367
Net Assets on Fiscal Plan basis (net financial assets plus capital assets)	47,070	47,089	(19)
RECONCILIATION TO CONSOLIDATED FINANCIAL STATEMENTS BASIS			
SUCH sector/Alberta Innovates corporations financial assets	7,144	7,691	(547)
SUCH sector/Alberta Innovates corporations capital assets	19,780	18,632	1,148
SUCH sector/Alberta Innovates corporations liabilities	4,325	4,230	95
Pension liabilities	10,556	9,922	634
	12,043	12,171	(128)
Net Assets on Consolidated Financial Statements basis	59,113	59,260	(147)

^a In 2011-12, adoption of International Financial Reporting Standards by ATB reduced opening (April 1, 2011) net assets by \$90 million, and adoption of Public Sector Accounting Board standards by two provincial agencies reduced opening net assets by \$11 million. Reclassification of restricted equity of ACFA from other accounts payable to net assets increased opening net assets by \$104 million. With other minor adjustments, opening net assets on the Fiscal Plan basis increased \$4 million. On the Consolidated Financial Statement basis, adding further adjustments for SUCH sector consolidation and the increase in endowment fund restricted assets, net assets decreased by a total of \$33 million.

FISCAL PLAN TO CONSOLIDATED FINANCIAL STATEMENTS REPORTING RECONCILIATION

Both the audited **Consolidated Financial Statements** in the Annual Report and the **Fiscal Plan** documents (the budget and quarterly fiscal updates) adhere to Canadian public sector accounting standards, except that the Fiscal Plan covers a narrower scope of reporting by not reporting the change in pension liabilities, and by not consolidating the SUCH sector entities and Alberta Innovates corporations.

Since the early 1990s, the **change in pension liabilities** has been excluded from expense for the Fiscal Plan basis. It is typically a significant non-cash expense, is based on actuarial evaluations,

assumptions and investment returns, and is largely not subject to policy decision-making.

Only the grants provided to **Crown-controlled SUCH sector entities** (school boards, universities and colleges, and health entities) are included in expense for the Fiscal Plan basis. This is currently considered most appropriate for budgeting as it is more relevant to decision-makers, who determine the amount of grants and are evaluated for balancing the budget on this basis. The SUCH sector entities have varying degrees of autonomy to manage their budgets, once they receive the grants, to manage their assets and liabilities, and to raise some revenue themselves.

For the Consolidated Financial Statements basis, the SUCH sector has been included in government reporting since 2005-06, on a “modified equity basis”:

- The annual results of operations (revenue less expense) were included as a single line on the government income statement.
- Their net value (assets less liabilities) was reported as a single line on the government balance sheet.

The broader reporting scope is relevant for the Consolidated Financial Statements since these entities are determined to be “controlled,” and how they spend the grants provided, their results of operations and their overall net value are important for transparency and accountability purposes.

Beginning in 2009-10, the method of reporting the SUCH sector in the Consolidated Financial Statements was changed and an additional scope of reporting difference added:

- The **SUCH sector** is reported on the “**line-by-line**” basis, as opposed to the “modified equity” method in the Consolidated Financial Statements. This means:
 - » First, SUCH sector numbers are converted to government’s accounting policies.
 - » Second, grants provided for capital purposes, included in expense on the Fiscal Plan basis, are removed from expense, as they are treated as capital investment in “government-owned assets,” and are expensed over time as the assets depreciate (amortization expense).
 - » The SUCH sector amortization of capital assets expense is added to expense.
 - » Finally, revenue and expense are directly included in government revenue and expense, and assets and liabilities are directly added to government assets and liabilities.
- Legislation creating the four new **Alberta Innovates corporations** also excluded them from the government reporting entity for Fiscal Plan purposes, to improve flexibility for multi-year research-grant recipients. The financial results will still be included on the line-by-line basis in the Consolidated Financial Statements.

Following is a guide to provide a bridge between the numbers reported on the Fiscal Plan basis and the Consolidated Financial Statements basis.

INCOME STATEMENT

Revenue

- On the Fiscal Plan basis, total 2011-12 revenue was \$39.2 billion. The SUCH sector and Alberta Innovates corporations had additional “own-source” revenue of \$3.9 billion, including:
 - » \$1 billion in post-secondary tuition fees;
 - » \$0.8 billion in sales, rentals and fees, consisting of revenue from parking operations, book stores, food services, facility rentals, equipment sales, professional services and various other sources;
 - » \$0.8 billion in donations, gifts and fundraising;
 - » \$0.5 billion in various health fees and charges, such as from WCB, non-Alberta patients or Emergency Medical Services;
 - » \$0.4 billion in direct federal government transfers for advanced education and First Nation education programs;
 - » \$0.2 billion of opted-out school board property tax revenue;
 - » \$0.1 billion of Alberta Innovates revenue;
 - » \$0.1 billion of investment income.
- Adding this revenue, the Consolidated Financial Statements reports total revenue of \$43.1 billion.

Expense

- On the Fiscal Plan basis, total 2011-12 expense was \$39.3 billion.
- This includes capital grants provided to the SUCH sector, which ultimately become capital investment. As noted, this expense must be removed and instead amortization expense of SUCH capital assets added. Total 2011-12 SUCH amortization and inventory consumption expense exceeded capital grants by \$1.1 billion.
- In 2011-12 the SUCH sector and Alberta Innovates corporations had additional net expense of \$2.2 billion. This reflects the spending of their own-source revenue, for example, on education services, the costs of goods sold or services provided for fees.
- Pension provisions of \$0.6 billion are added.
- Adding these expenses increase total expense on the Consolidated Financial Statements basis to \$43.2 billion.

Surplus / (Deficit)

- On the Fiscal Plan basis, the 2011-12 deficit was \$23 million. After adding the additional revenue and net expense, the Consolidated Financial Statements basis deficit was \$114 million.

- Adding the financial and capital assets of SUCH and Alberta Innovates corporations, on the Consolidated Financial Statements basis, at March 31, 2012, the Government of Alberta had total financial assets of \$58.4 billion and capital assets of \$40.1 billion.

BALANCE SHEET

Assets

- On the Fiscal Plan basis, at March 31, 2012, the Government of Alberta had total financial assets of \$51.3 billion and capital assets of \$20.3 billion.
- SUCH sector and Alberta Innovates corporations had additional financial assets of \$7.1 billion, including \$1.5 billion in endowments and \$5.6 billion in cash, cash equivalents and accounts receivable.
- The SUCH sector and Alberta Innovates corporations had additional capital assets of \$19.8 billion, consisting mainly of buildings.

Liabilities

- On the Fiscal Plan basis, at March 31, 2012, the Government of Alberta had total liabilities of \$24.5 billion.
- SUCH sector and Alberta Innovates corporations had additional liabilities of \$4.3 billion, mainly accounts payable.
- Pension liabilities amounted to \$10.6 billion at March 31, 2012.
- Adding the liabilities of SUCH and Alberta Innovates corporations, and pension liabilities, on the Consolidated Financial Statements basis, at March 31, 2012, the Government of Alberta had total liabilities of \$39.4 billion.

Reconciliation Summary

INCOME STATEMENT

(billions of dollars)

	2011-12	2010-11
Revenue – Fiscal Plan basis	39.2	34.9
Add: SUCH/Alberta Innovates own-source revenue	3.9	3.9
Revenue – Consolidated Financial Statements basis	43.1	38.8
Expense – Fiscal Plan basis	39.3	38.3
Adjustment for capital spending	1.1	0.5
Add: SUCH/Alberta Innovates corporations net expense	2.2	1.9
Add: pension provisions	0.6	0.4
Expense – Consolidated Financial Statements basis	43.2	41.1
Surplus/(Deficit) – Consolidated Financial Statements basis	(0.1)	(2.3)

BALANCE SHEET

(billions of dollars)

	at March 31	
	2012	2011
Financial Assets – Fiscal Plan basis	51.3	51.7
Add: SUCH/Alberta Innovates corporations financial assets	7.1	7.7
Financial Assets – Consolidated Financial Statements basis	58.4	59.4
Capital Assets – Fiscal Plan basis	20.3	19.0
Add: SUCH/Alberta Innovates corporations capital assets	19.8	18.6
Capital Assets – Consolidated Financial Statements basis	40.1	37.6
Liabilities – Fiscal Plan basis	(24.5)	(23.6)
Add: SUCH/Alberta Innovates corporations liabilities	(4.3)	(4.2)
Add: pension liabilities	(10.6)	(9.9)
Liabilities – Consolidated Financial Statements basis	(39.4)	(37.7)
Net Assets – Consolidated Financial Statements basis	59.1	59.3

Historical Fiscal Summary, 1994-95 to 2011-12^a

(Fiscal Plan basis,^b millions of dollars)

	A	B	C	D	E	F	G	H	I	J	K	L	M	N	O	P	Q	R
	1994-95	1995-96	1996-97	1997-98	1998-99	1999-00	2000-01	2001-02	2002-03	2003-04	2004-05	2005-06	2006-07	2007-08	2008-09	2009-10	2010-11	2011-12
Income Statement																		
Revenue																		
1 Personal income tax ^c	3,063	3,177	3,445	3,877	4,601	5,100	3,943	4,183	4,834	4,613	4,649	4,677	7,622	8,271	8,708	7,877	7,516	8,449
2 Corporate income tax	1,073	1,332	1,407	1,849	1,659	1,255	2,023	2,229	2,019	1,696	2,364	2,917	3,606	4,695	4,252	4,754	3,275	3,498
3 Education property tax	1,196	1,205	1,169	1,212	1,118	1,128	1,151	1,094	1,113	1,178	1,247	1,283	1,330	1,393	1,466	1,532	1,589	1,660
4 Other tax revenue	1,126	1,112	1,157	1,218	1,178	1,241	1,386	1,469	1,633	1,838	1,918	1,990	2,138	2,180	2,175	2,029	2,040	2,241
5 Resource revenue	3,378	2,786	4,034	3,778	2,368	4,650	10,586	6,227	7,130	7,676	9,744	14,347	12,260	11,024	11,915	6,768	8,428	11,636
6 Investment income	1,567	1,724	1,616	1,747	1,610	1,906	1,353	788	(462)	1,838	1,812	2,348	3,013	2,414	(1,917)	3,413	2,360	2,059
7 Other own-source revenue	2,832	2,431	2,473	2,890	2,950	3,183	3,272	3,672	4,321	4,122	4,375	4,588	4,971	5,144	5,027	4,344	4,626	4,929
8 Total own-source revenue	14,235	13,767	15,301	16,571	15,484	18,463	23,714	19,662	20,588	22,961	26,109	32,150	34,940	35,121	31,626	30,717	29,829	34,472
9 Federal transfers	1,929	1,748	1,351	1,183	1,335	1,640	1,813	2,264	2,074	2,926	3,219	3,392	3,077	3,048	4,185	4,941	5,025	4,777
10 Total Revenue	16,164	15,515	16,652	17,754	16,819	20,103	25,527	21,926	22,662	25,887	29,328	35,542	38,017	38,169	35,811	35,658	34,859	39,249
Expense by Function^d																		
11 Health	3,928	3,773	4,006	4,401	4,660	5,341	5,946	6,846	6,917	7,646	9,059	9,709	10,880	12,286	13,107	13,180	15,034	15,562
12 Basic / advanced education	3,756	3,713	3,738	4,081	4,241	4,735	5,040	6,099	5,461	5,854	6,370	6,900	7,817	8,886	9,411	9,538	9,276	9,271
13 Social services	1,495	1,456	1,511	1,564	1,560	1,668	1,790	1,942	2,108	2,272	2,438	2,707	2,879	3,117	3,418	3,807	4,014	4,164
14 Other program expense	4,301	3,739	3,446	3,727	3,885	4,612	5,200	5,184	5,567	5,708	5,984	7,427	7,716	9,085	10,519	9,802	9,473	9,776
15 Total program expense	13,480	12,681	12,701	13,773	14,346	16,356	17,976	20,071	20,053	21,480	23,851	26,743	29,292	33,374	36,455	36,327	37,797	38,773
16 Debt servicing costs ^e	1,746	1,683	1,462	1,322	1,379	956	980	774	476	271	302	248	215	214	208	363	472	499
17 Total Expense	15,226	14,364	14,163	15,095	15,725	17,312	18,956	20,845	20,529	21,751	24,153	26,991	29,507	33,588	36,663	36,690	38,269	39,272
18 Surplus / (Deficit)	938	1,151	2,489	2,659	1,094	2,791	6,571	1,081	2,133	4,136	5,175	8,551	8,510	4,581	(852)	(1,032)	(3,410)	(23)
19 Capital Plan^f	891	939	821	1,310	1,256	1,878	2,091	2,860	997	1,659	2,842	3,743	4,769	6,971	7,593	6,528	5,889	5,871
Balance Sheet (at March 31)																		
20 Net Financial Assets (Debt)	(7,355)	(6,255)	(3,728)	(1,089)	(63)	2,654	9,042	9,814	11,696	15,607	20,395	28,318	36,047	39,410	36,954	33,017	28,114	26,728
21 Capital Assets	7,669	7,411	7,292	7,215	7,218	7,259	8,002	10,141	10,309	10,534	10,921	11,552	12,429	14,140	15,848	17,532	18,975	20,342
22 Net Assets / (Debt)	314	1,156	3,564	6,126	7,155	9,913	17,044	19,955	22,005	26,141	31,316	39,870	48,476	53,550	52,802	50,549	47,089	47,070
23 Accumulated Debt ^g	21,451	20,531	17,733	14,976	14,106	12,020	8,195	5,261	4,736	3,730	—	—	—	—	—	—	—	—
24 Sustainability Fund assets ^h	—	—	—	—	—	—	—	—	—	2,500	3,498	4,083	7,653	7,653	9,848	14,983	11,192	7,497
25 Capital Account assets ^h	—	—	—	—	—	—	—	—	910	1,180	674	4,243	6,091	7,472	6,974	—	—	—
26 Pension liabilities	5,352	5,352	4,981	4,890	4,813	4,728	4,742	4,771	4,927	5,059	5,235	5,435	5,593	7,883	10,081	9,279	9,716	10,333

^a Numbers have been restated on 2011-12 basis where possible. Beginning in 2007-08, external investment management fees are no longer netted against revenue, increasing both revenue and expense by the same amount.

^b The Fiscal Plan basis excludes revenue, expense, assets and liabilities of Crown-controlled SUCH sector entities and Alberta Innovates corporations, pension liabilities and the expense related to the annual change in pension liabilities.

^c The costs of the Alberta energy tax refund (\$345 million in 2000-01; \$320 million in 2001-02) and the 2005 Resource Rebate (\$1.3 billion in 2005-06) were netted against personal income tax.

^d Excludes change in pension liabilities. Beginning in 1996-97, valuation adjustments are allocated by function rather than included in other program expense.

^e Beginning in 2011-12, Alberta Capital Finance Authority debt charges are included in debt servicing costs rather than program expense. Numbers for 2009-10 and 2010-11 have been restated.

^f Reflects capital grants and other support included in expense, and capital investment in government-owned assets not included in expense. Capital investment adds to capital assets, which are depreciated over time through amortization expense.

^g Net of cash set aside for debt repayment. In 2001-02, the amount of \$5,261 million includes commitment of \$414 million to debt retirement from higher-than-expected year-end surplus, which was transferred in 2002-03 from other assets.

^h The Capital Account was consolidated with the Sustainability Fund in 2009-10.

■ **CONSOLIDATED FINANCIAL STATEMENTS**

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CONSOLIDATED FINANCIAL STATEMENTS OF THE PROVINCE OF ALBERTA

Year Ended March 31, 2012

INTRODUCTION

The financial statements in this annual report of the Government of Alberta are a consolidation of ministry financial statements, which themselves are a consolidation of the financial statements of departments, regulated funds, Provincial agencies, Crown-controlled corporations and SUCH sector organizations, for which separate or summary financial statements are presented in ministry annual reports. SUCH is an acronym for schools, universities, colleges and hospitals. However, the term “Crown-controlled SUCH sector organizations” is used to describe a much broader list of organizations, including school boards, technical institutes, Alberta Health Services, and other health entities. A listing of these organizations is provided in Schedule 14 of the financial statements.

The method of consolidation is described in the Accounting Policies note (Note 1) that forms part of the financial statements.

MANAGEMENT'S RESPONSIBILITY FOR THE CONSOLIDATED FINANCIAL STATEMENTS

The consolidated financial statements are prepared by the Controller under the general direction of the Deputy Minister of Treasury Board and Enterprise as authorized by the President of Treasury Board and Enterprise pursuant to the *Financial Administration Act*. The consolidated financial statements are prepared in accordance with Canadian public sector accounting standards, and of necessity include some amounts that are based on estimates and judgements. As required by the *Government Accountability Act*, the consolidated financial statements are included in the consolidated annual report of the Government of Alberta that forms part of the Public Accounts.

To fulfill its accounting and reporting responsibilities, the management maintains systems of financial management and internal control which give consideration to costs, benefits and risks, and which are designed to:

- provide reasonable assurance that transactions are properly authorized, executed in accordance with prescribed legislation and regulations, and properly recorded so as to maintain accountability for public money, and
- safeguard the assets and properties of the Province of Alberta under government administration.

Under the *Financial Administration Act*, deputy heads are responsible for the collection of revenue payable to the Crown, and for making and controlling disbursements with respect to their departments. They are also responsible for prescribing the accounting systems to be used in their departments. In order to meet government accounting and reporting requirements, the Controller obtains information relating to departments, regulated funds, Provincial agencies, Crown-controlled corporations, schools, universities, colleges, technical institutes, Alberta Health Services and other health entities from ministries as necessary.

The consolidated financial statements are reviewed by the Audit Committee established under the *Auditor General Act*. The Audit Committee advises the Lieutenant Governor in Council on the scope and results of the Auditor General's audit of the consolidated financial statements of the Province.

The Auditor General of Alberta provides an independent opinion on the consolidated financial statements prepared by the government. The duties of the Auditor General in that respect are contained in the *Auditor General Act*.

Annually, the consolidated annual report is tabled in the Legislature as a part of the Public Accounts and is referred to the Standing Committee on Public Accounts of the Legislative Assembly.

Approved by:

Annette Trimbee
Deputy Minister of Treasury Board and Finance

Gisele Simard, CA
Acting Controller

Edmonton, Alberta
June 20, 2012

Independent Auditor's Report

To the Members of the Legislative Assembly

Report on the Consolidated Financial Statements

I have audited the accompanying consolidated financial statements of the Province of Alberta which comprise the consolidated statement of financial position as at March 31, 2012, and the consolidated statements of operations, change in net financial assets and cash flows for the year then ended, and a summary of significant accounting policies and other explanatory information.

Management's Responsibility for the Consolidated Financial Statements

Management is responsible for the preparation and fair presentation of these consolidated financial statements in accordance with Canadian public sector accounting standards, and for such internal control as management determines is necessary to enable the preparation of consolidated financial statements that are free from material misstatement, whether due to fraud or error.

Auditor's Responsibility

My responsibility is to express an opinion on these consolidated financial statements based on my audit. I conducted my audit in accordance with Canadian generally accepted auditing standards. Those standards require that I comply with ethical requirements and plan and perform the audit to obtain reasonable assurance about whether the consolidated financial statements are free from material misstatement.

An audit involves performing procedures to obtain audit evidence about the amounts and disclosures in the consolidated financial statements. The procedures selected depend on the auditor's judgment, including the assessment of the risks of material misstatement of the consolidated financial statements, whether due to fraud or error. In making those risk assessments, the auditor considers internal control relevant to the entity's preparation and fair presentation of the consolidated financial statements in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the entity's internal control. An audit also includes evaluating the appropriateness of accounting policies used and the reasonableness of accounting estimates made by management, as well as evaluating the overall presentation of the consolidated financial statements.

I believe that the audit evidence I have obtained is sufficient and appropriate to provide a basis for my audit opinion.

Opinion

In my opinion, the consolidated financial statements present fairly, in all material respects, the financial position of the Province of Alberta as at March 31, 2012, and the results of its operations, change in its net financial assets and its cash flows for the year then ended in accordance with Canadian public sector accounting standards.

[Original signed by Merwan N. Saher, FCA]

Auditor General

June 20, 2012

Edmonton, Alberta

Consolidated Statement of Operations

Year Ended March 31

	2012	2011
	<i>In millions</i>	
Revenues (Schedule 1)		
Income taxes	\$ 11,948	\$ 10,791
Other taxes	4,099	3,820
Non-renewable resource revenue	11,636	8,428
Transfers from Government of Canada	5,192	5,452
Net income from government business enterprises (Schedule 6)	2,393	2,337
Net investment income	2,168	2,486
Premiums, fees and licences	1,942	1,986
Other	3,724	3,502
	43,102	38,802
Expenses by function (Schedules 2 and 3)		
Health	16,284	15,393
Education	11,951	11,362
Social services	4,164	4,014
Transportation, communications and utilities	1,970	1,870
Agriculture, resource management and economic development	1,830	1,859
Protection of persons and property	1,866	1,592
Regional planning and development	1,109	1,139
Recreation and culture	366	376
Housing	285	419
Environment	318	346
General government	1,930	1,783
Debt servicing costs	509	472
Pension provisions (Schedule 10)	634	439
	43,216	41,064
Annual deficit	(114)	(2,262)
Net assets at beginning of year	59,260	61,534
Other (Note 12)	(33)	(12)
Net assets at end of year	\$ 59,113	\$ 59,260

The accompanying notes and schedules are part of these consolidated financial statements.

Consolidated Statement of Financial Position

As at March 31

	2012	2011
	<i>In millions</i>	
Financial assets		
Cash and cash equivalents (Schedule 4)	\$ 6,144	\$ 6,050
Accounts and accrued interest receivable	5,043	5,172
Portfolio investments (Note 11 and Schedule 5)	31,880	34,895
Equity in government business enterprises (Schedule 6)	2,739	2,612
Loans and advances (Schedule 7)	12,462	10,669
Inventories for resale	137	93
	58,405	59,491
Liabilities		
Accounts and accrued interest payable	9,860	10,607
Unmatured debt (Note 6 and Schedule 8)	4,748	4,712
Debt of Alberta Capital Finance Authority (Schedule 9)	11,045	9,660
Pension liabilities (Schedule 10)	10,556	9,922
Other accrued liabilities (Schedule 11)	1,261	1,203
Liabilities under public private partnerships (Note 7)	1,944	1,734
	39,414	37,838
Net financial assets	18,991	21,653
Non-financial assets		
Tangible capital assets (Schedule 12)	39,830	37,338
Inventories of supplies	144	140
Prepaid expenses	148	129
	40,122	37,607
Net assets	\$ 59,113	\$ 59,260

Contractual obligations and contingent liabilities (Notes 8 and 9)

Endowment funds (Note 11)

The accompanying notes and schedules are part of these consolidated financial statements.

Consolidated Statement of Change in Net Financial Assets

Year Ended March 31

	2012	2011
	<i>In millions</i>	
Annual deficit	\$ (114)	\$ (2,262)
Acquisition of tangible capital assets and inventories of supplies	(4,749)	(5,267)
Additions to public private partnerships, capital leases and donated capital	(298)	(556)
Amortization of tangible capital assets and consumption of inventories of supplies	2,497	2,417
Net gain on disposal and write-down of tangible capital assets	(15)	(12)
Reclassification of land to inventories for resale	-	5
Proceeds on sale of tangible capital assets	39	28
Increase in prepaid expenses	(19)	(8)
Change in accumulated unrealized losses (Schedule 6)	(3)	(44)
Net increase in endowments (Note 12)	59	50
Consolidation adjustments relating to SUCH sector	(53)	(10)
Other	(6)	(5)
Decrease in net financial assets	(2,662)	(5,664)
Net financial assets at beginning of year	21,653	27,317
Net financial assets at end of year	\$ 18,991	\$ 21,653

The accompanying notes and schedules are part of these consolidated financial statements.

Consolidated Statement of Cash Flows

Year Ended March 31

	2012	2011
	<i>In millions</i>	
Operating transactions		
Annual deficit	\$ (114)	\$ (2,262)
Non-cash items		
Amortization of tangible capital assets and consumption of inventories of supplies	2,497	2,417
Other	225	(90)
	2,608	65
Decrease (increase) in receivables	110	(135)
(Decrease) increase in payables	(746)	433
Other	(41)	(52)
Cash provided by operating transactions	1,931	311
Capital transactions		
Acquisition of tangible capital assets and inventories of supplies	(4,749)	(5,267)
Proceeds on sale of tangible capital assets	39	28
Cash applied to capital transactions	(4,710)	(5,239)
Investing transactions		
Purchase of portfolio investments	(11,373)	(17,675)
Disposals of portfolio investments	14,734	19,308
Loans and advances made	(2,716)	(842)
Repayment of loans and advances	858	333
Cash provided by investing transactions	1,503	1,124
Financing transactions		
Debt retirement	(11,637)	(7,579)
Debt issues	13,022	7,667
Repayment of liabilities under capital leases and public private partnerships	(28)	(20)
Other	13	7
Cash provided by financing transactions	1,370	75
Increase (decrease) in cash and cash equivalents	94	(3,729)
Cash and cash equivalents at beginning of year	6,050	9,779
Cash and cash equivalents at end of year	\$ 6,144	\$ 6,050

The accompanying notes and schedules are part of these consolidated financial statements.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

March 31, 2012

NOTE 1 SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES AND REPORTING PRACTICES

These financial statements are prepared in accordance with Canadian public sector accounting standards.

(a) Reporting Entity

These financial statements include the accounts of all organizations that are controlled by the Province, including government sector entities and Crown-controlled SUCH sector organizations. SUCH is an acronym for schools, universities, colleges and hospitals. However, the term "Crown-controlled SUCH sector organizations" is used to describe a much broader list of organizations, including school boards, technical institutes, Alberta Health Services, and other health entities.

A listing of these organizations is provided in Schedule 14.

(b) Method of Consolidation

The accounts of government sector entities and Crown-controlled SUCH sector entities, except those designated as government business enterprises, are consolidated using the line-by-line method. Under this method, accounting policies of the consolidated entities are adjusted to conform to government accounting policies and the results of each line item in their financial statements (revenue, expense, assets, and liabilities) are included with the government's results. Revenue, expense, capital, investing and financing transactions, as well as related asset and liability balances between consolidated entities have been eliminated. Asset retirement obligations of the SUCH sector organizations have been included in the Province's financial statements.

Public sector accounting standards allow that when the scope of activities reported in the budget is different from the scope of activities reported in the financial statements, the budget to actual comparison may be done on the same reporting basis as presented in the budget. The reporting entity for financial statement purposes includes those entities that are deemed to be controlled by the Province for accounting purposes. These controlled entities include Crown-controlled SUCH sector organizations and the four Alberta Innovates Corporations. However, these entities are not included in the Province's budget on a line-by-line basis. As a result of this difference in scope, a comparison between the budgeted results and the actual results is not meaningful without detailed reconciliation. Therefore, in these financial statements, there is no "Budget" column on the Consolidated Statement of Operations, the Consolidated Statement of Change in Net Financial Assets or in other Notes or Schedules throughout the statements. Rather, a reconciliation between budgeted results and actual results is shown in Note 5 with the actual results presented on the same reporting basis as the budget.

Schools, colleges, technical institutes and some Provincial agencies have year ends that are other than March 31. The significant transactions of these organizations that have occurred during the period between their year ends and the Province's year end of March 31, 2012, have been recorded in these financial statements.

The accounts of Provincial agencies designated as government business enterprises, such as ATB Financial (see Schedule 6), are accounted for on the modified equity basis, with the equity being computed in accordance with the accounting standards applicable to these entities. Under the modified equity method, the accounting policies of commercial enterprises are not adjusted to conform to those of the government sector entities. Inter-sector revenue and expense transactions and related asset and liability balances are not eliminated.

(c) Future Changes in Accounting Policy

In fiscal year 2012-13, the Province will adopt the following new accounting standards of the Public Sector Accounting Board:

PS 3410 Government Transfers

Under the various amendments to the Government Transfers guidance, specifically a transferring government recognizes an expense when the transfer is authorized and recipients have met the eligibility criteria. A recipient government recognizes the transfer as revenues when the transfer is authorized by the transferring government, unless a liability is created for the recipient. For a recipient, the transferring government's authorization must be in place by the financial statement date. Revenue is recognized when the liability is settled. The Province is currently analyzing the impact of this standard on its financial statements.

PS 3450 Financial Instruments

All government controlled organizations will adopt this standard in fiscal year 2012-13. Items within the scope of the section are assigned to one of two measurement categories: fair value, or cost or amortized cost. Fair value measurement will apply to derivatives and portfolio investments in equity instruments that are quoted in an active market. Also, when groups of financial assets and financial liabilities are managed on a fair value basis they may be reported on that basis. Other financial assets and financial liabilities will generally be measured at cost or amortized cost. Until an item is derecognized, gains and losses arising due to fair value remeasurement will be reported in the Statement of Remeasurement Gains and Losses.

The Province, in their consolidated financial statements, has the option of adopting this standard in fiscal year 2015-16 or earlier and is currently analyzing the impact of this standard on its financial statements.

PS 3510 Tax Revenue

Under this section, which is effective for fiscal year 2012-13, transfers made through a tax system should be recognized as expenses and not as a reduction of revenues. The impact of this on the Province's financial statements is currently being analyzed. At this time, two impacts have already been identified. The Province will report retroactively the Alberta Family Employment Tax Credit and the Scientific Research and Experimental Development Tax Credits on a gross basis. The impact of this change in accounting policy will increase total expenses and revenues with no impact on net operating results.

(d) Basis of Financial Reporting for Government Entities and Crown-controlled SUCH Sector Entities

Revenues

All revenues are reported on the accrual basis of accounting. Cash received for which goods or services have not been provided by year end is recorded as unearned revenue and included in accounts payable.

Corporate income tax revenue is recognized when instalments are received from taxpayer corporations. Corporate income tax refunds payable are accrued based on the prior year's corporate income tax refunds paid on assessments. Corporate income tax receipts from corporations in anticipation of an upward reassessment of Alberta income tax payable are described as corporate income tax receipts in abeyance and recorded as accounts payable. An estimated allowance for doubtful accounts on corporate income taxes under objection is included in net corporate tax revenue.

Personal income tax is recognized on an accrual basis based on an economic estimate of the various components of personal income tax for the fiscal year. Gross personal income tax for the taxation year is a key component of the estimate for the fiscal year.

Note 1 (continued)

The provincial tax system is predicated on self-assessment where taxpayers are expected to understand the tax laws and comply with them. This has an impact on the completeness of tax revenues when taxpayers fail to comply with tax laws, for example, if they do not report all of their income. The Province has implemented systems and controls in order to detect and correct situations where taxpayers are not complying with the various Acts it administers. These systems and controls include performing audits of taxpayer records when determined necessary. However, such procedures cannot identify all sources of unreported income or other cases of non-compliance with tax laws. The Province does not estimate the amount of unreported tax.

Non-renewable resource revenue is reported based on royalties on oil and gas produced during the year.

The provincial royalty system is predicated on self-reporting where the petroleum and natural gas industry is expected to understand the relevant energy legislation (statutes and regulations) and comply with them. This has an impact on the completeness of revenue when the petroleum and natural gas industry does not fully meet the legislative requirements, for example, by reporting inaccurate or incomplete production data. The Province has implemented systems and controls in order to detect and correct situations where the petroleum and natural gas industry has not complied with the various Acts and regulations the Province administers. These systems and controls, based on areas of highest risk, include performing audits of the petroleum and natural gas industry records when determined necessary. The Province does not estimate the effect of misreported revenue.

Transfers from the Government of Canada are recognized as revenues when authorized by federal legislation or federal/provincial agreements, eligibility criteria, if any, are met, and a reasonable estimate of the amounts can be made. Payments received in excess of the estimated amounts applicable to the fiscal year are deferred and included in accounts payable. Externally restricted revenue is recognized as revenue in the period in which the resources are used for the purpose specified. Payments received prior to meeting this criterion are included in accounts payable until the resources are used for the purpose specified.

Expenses

Expenses represent the cost of resources consumed during the year on government operations. Expenses include provisions for amortization of acquired tangible capital assets and expenses incurred in accordance with the terms of approved grant programs. Grants are recognized as expenses when authorized, eligibility criteria, if any, are met, and a reasonable estimate of the amounts can be made.

Pension costs comprise the cost of pension benefits earned by employees during the year, interest on the Province's share of the unfunded pension liabilities, and the amortization over the expected average remaining service life of employees of deferred adjustments arising from experience gains and losses and changes in actuarial assumptions. Schedule 10 provides additional information on the components of pension liabilities.

In the Consolidated Statement of Operations, pension costs of government sector entities which are funded are included in expenses by function and costs which have not been funded are recorded as pension provisions.

Costs arising from obligations under guarantees and indemnities are recorded as expenses when management determines that the Province will likely be called upon to make payment. The expense represents management's best estimate of future payments less recoveries.

The estimated increase or decrease for the year in accrued employee vacation entitlements is recorded in the appropriate expense function.

Financial Assets

Financial assets are the government's financial claims on external organizations and individuals, and inventories for resale at the year end.

Note 1 (continued)

Cash and cash equivalents are valued at the lower of cost or fair value, on an aggregate basis.

Portfolio investments authorized by legislation to provide income for the long term or for other special purposes are recorded at cost. Cost includes amortization of discount or premium using the straight line method over the life of the investments. Realized gains and losses on disposals of these investments are included in calculating the net operating results for the year. If an investment loses value that is other than a temporary decline, its recorded value is reduced to reflect the loss. The reduced value is deemed to be the new cost.

Loans are recorded at cost less any discounts and allowance for credit loss.

Inventories for resale representing the Province's share of royalty oil in feeder and trunk pipelines are recorded at the lower of cost or net realizable value. Other inventories for resale are valued at the lower of cost, determined on a first-in, first-out basis, and estimated net realizable value.

Liabilities

Liabilities represent present obligations of the government to external organizations and individuals arising from transactions or events occurring before the year end. They are recorded when there is an appropriate basis of measurement and management can reasonably estimate the amount.

The value of pension liabilities and associated changes during the year are based on an actuarial extrapolation of the most recent actuarial valuation. This valuation technique uses the projected benefit method pro-rated on service, and management's best estimate as at the extrapolation date of various economic and non-economic assumptions. Where the Province is a participating employer in the plan, experience gains and losses to the extent of the Province's employer share are amortized over the estimated average remaining service life of employees.

Debentures included in unmatured debt are recorded at their face amount less unamortized discount, which includes issue expenses and hedging costs.

Income or expense on interest rate swaps used to manage interest rate exposure is recorded as an adjustment to debt servicing costs.

Liabilities also include:

- all financial claims payable by the Province at the year end,
- estimates of the Province's liabilities for site remediation and reclamation,
- accrued employee vacation entitlements, and
- asset retirement obligations of the SUCH sector organizations.

Non-financial Assets

Non-financial assets are limited to tangible capital assets, inventories of supplies and prepaid expenses.

Tangible capital assets of government business enterprises are included in the Consolidated Statement of Financial Position within Equity in government business enterprises. Tangible capital assets acquired by right, such as Crown lands, forests, water and mineral resources, are not included on the Consolidated Statement of Financial Position. Post-secondary institutions and certain departments have collections consisting of historical artifacts and provincial, national and international works of art. The value of these collections is not recognized in these financial statements.

Tangible capital assets are valued at cost less accumulated amortization. Amortization is provided on a straight-line basis over the periods expected to benefit from their use (see Schedule 12). The annual amortization costs are allocated to the functions of the government that employ those assets and are reported on the Consolidated Statement of Operations.

Note 1 (continued)

Inventories of supplies are valued at the lower of cost, determined on a first-in, first-out basis, and replacement cost.

Derivative Contracts

Income and expense on derivative contracts are recorded as investment income or debt servicing costs. Certain derivative contracts, which are primarily interest rate swaps reported as interest rate derivatives for which there is an underlying matching asset and liability, are recorded at cost plus accrued interest. Gains and losses from these derivatives are recognized in the same period as the gains and losses of the underlying assets and liabilities.

Other derivative contracts which are primarily bond index swaps reported as interest rate derivatives, equity index swaps and equity index futures reported as equity replication derivatives, and forward foreign exchange contracts reported as foreign currency derivatives, are recognized at fair value (see Note 4) in portfolio investments and net investment income.

Foreign Currency

Assets and liabilities denominated in foreign currency are translated at the year end exchange rate.

Foreign currency transactions are translated into Canadian dollars using average exchange rate for the day, except for hedged foreign currency transactions which are translated at exchange rates established by the terms of the forward exchange contracts.

Exchange gains and losses that arise on translation of fixed term foreign currency denominated monetary items are deferred and amortized over the life of the contract.

Amortization of deferred exchange gains and losses and other exchange differences on unhedged transactions are included in the determination of the net operating results for the year.

Public Private Partnerships

A public private partnership (P3) is defined as a cooperative venture based on a contract between the Province and one or more public or private partners that meet clearly defined public needs for the provision of goods or services.

The Province accounts for P3 projects in accordance with the substance of the underlying agreements. Agreements that transfer substantially all the risks and rewards of ownership of the assets to the Province are classified as capital leases and are accounted for as follows:

- the capital asset value and the corresponding liabilities are recorded at the net present value of the minimum lease payments discounted using the Province's borrowing rate for long term debt at the time of signing the P3 agreement,
- during construction the capital asset (classified as work in progress) and the corresponding liability are recorded based on the estimated percentage of completion, and
- amortization is accounted for on a straight-line basis over the estimated useful life and commences when the asset is in service.

Measurement Uncertainty

Estimates are used in accruing revenues, expenses, assets and liabilities in circumstances where the actual results are unknown at the time the financial statements are prepared. Uncertainty in the determination of the amount at which an item is recognized in financial statements is known as measurement uncertainty. Such uncertainty exists when there is a variance between the recognized amount and another reasonably possible amount, as there is whenever estimates are used.

Measurement uncertainty that is material to these financial statements exists in the accrual of personal and corporate income taxes; royalties derived from non-renewable resources; health transfers and Canada social transfer entitlements; private investments, inflation sensitive and alternative investments; and pension liabilities.

Note 1 (continued)

Personal income tax revenue of \$8,450 million (2011: \$7,516 million), see Schedule 1, is subject to measurement uncertainty due primarily to the use of economic estimates of personal income growth. Personal income growth is inherently difficult to estimate due to subsequent revisions to personal income data. The estimate of personal income growth used in determining personal income tax for the current fiscal year is 6.7% (2011: 4.7%).

Corporate income tax revenue of \$3,498 million (2011: \$3,275 million), see Schedule 1, is subject to measurement uncertainty due primarily to the timing differences between tax collected and future tax assessments. The Province records corporate income tax revenue as instalments are received from taxpayer corporations. Corporate income tax refunds payable are accrued based on the prior year's corporate income tax refunds paid on assessments. An allowance for doubtful accounts is estimated and included net of revenue.

Natural gas and by-products royalty of \$1,304 million (2011: \$1,416 million), and bitumen royalty of \$4,513 million (2011: \$3,723 million), see Schedule 1, are subject to measurement uncertainty. Natural gas and by-products royalty is calculated based on allowable costs incurred by the royalty payers and production volumes that are reported to the Province by royalty payers. These costs and volumes could vary significantly from that initially reported. The Province estimates what the costs, volumes and royalty rates for the fiscal year should be based on statistical analysis of industry data.

Health transfers and Canada social transfer entitlements are subject to uncertainty relating to the tax transfer component. The current value of income tax points (personal and corporate) transferred historically by the federal government are used to adjust the entitlements. The value of the tax transfer amounts is unknown at year end because the tax years have not yet been assessed. Accordingly, these amounts are estimated and could change by a material amount.

Private equities, inflation sensitive and alternative investments of \$5,064 million (2011: \$4,683 million), see Schedule 5, are subject to measurement uncertainty as the fair value may differ significantly from the values that would have been used had a ready market for these investments existed.

Pension liabilities of \$10,556 million (2011: \$9,922 million), see Schedule 10, are subject to measurement uncertainty because a plan's actual experience may differ significantly from assumptions used in the calculation of the plan's accrued benefits.

The accounts of SUCH sector organizations are consolidated based on the results of their latest financial year end. Some of these entities have year ends that are other than March 31. Estimation of transactions for the period between their year ends and March 31 is therefore subject to measurement uncertainty.

While best estimates have been used for reporting items subject to measurement uncertainty, management considers that it is possible, based on existing knowledge, that changes in future conditions in the near term could require a material change in the recognized amounts. Near term is defined as a period of time not to exceed one year from the date of the financial statements.

Segment Disclosure

Sector information is reported in Note 5 and Schedules 1, 2 and 6 and is based on accountability, budgetary practices and governance relationships within the reporting entity. Additional information is provided in ministry and other entity annual reports.

NOTE 2 VALUATION OF FINANCIAL ASSETS AND LIABILITIES

Fair value is the amount of consideration agreed upon in an arm's length transaction between knowledgeable, willing parties who are under no compulsion to act.

Due to their short term nature, the fair values of cash and cash equivalents, accounts and accrued interest receivable, accounts and accrued interest payable, and other accrued liabilities are estimated to approximate their book values.

Note 2 (continued)

The methods used to determine the fair values of cash equivalents and portfolio investments are explained in the following paragraphs:

Public fixed-income securities and equities are valued at the year-end closing sale price or the average of the latest bid and ask prices quoted by an independent securities valuation company.

Mortgages, private interest bearing debt, and certain non-public provincial debentures are valued at the net present value of future cash flows. These cash flows are discounted using appropriate interest rate premiums over similar Government of Canada benchmark bonds trading in the market.

The fair value of inflation sensitive and alternative investments including absolute return strategy investments, investments in limited partnerships, private investment funds, private equities and securities with limited marketability is estimated using methods such as cost, discounted cash flows, earnings multiples, prevailing market values for instruments with similar characteristics and other pricing models as appropriate.

Real estate investments are reported at their most recent appraised value, net of any liabilities against the real property. Real estate properties are appraised annually by qualified external real estate appraisers using methods such as replacement cost, discounted cash flows, earnings multiples, prevailing market values for properties with similar characteristics and other pricing models as appropriate.

Because quoted market prices are not readily available for inflation sensitive and alternative investments, private equities and real estate, estimated fair values may not reflect amounts that could be realized upon immediate sale, or amounts that may ultimately be realized. Accordingly, estimated fair values may differ significantly from the values that would have been used had a ready market existed for these investments.

The fair value of loans and advances made under the authority of the *Alberta Capital Finance Authority Act* is based on the net present value of future cash flows discounted using the Alberta Capital Finance Authority's (the Authority) current cost of borrowing. Fair values of other loans and advances are not reported due to there being no organized financial market for the instruments and it is not practicable within constraints of timeliness or cost to estimate the fair values with sufficient reliability. The fair value of unmatured debt and debt held by the Authority is an approximation of its fair value to the holder.

The fair value of derivative contracts relating to portfolio investments is disclosed in Schedule 5. The estimated amount receivable or payable from derivative contracts at the reporting date is determined by the following methods:

Equity and bond index swaps are valued based on changes in the appropriate market based index net of accrued floating rate interest. Forward foreign exchange contracts and futures contracts are valued based on quoted market prices. Interest rate swaps and cross-currency interest rate swaps are valued based on discounted cash flows using current market yields and exchange rates. Options to enter into interest rate swap contracts are valued based on discounted cash flows using current market yields and volatility parameters which measure change in the underlying swap. Credit default swaps are valued based on discounted cash flows using current market yields and calculated default probabilities. Warrants and rights are valued at the year end closing sale price or the average of the latest bid and ask prices quoted by an independent securities valuation company.

At the year end, the fair value of investments and any other assets and liabilities denominated in a foreign currency are translated to Canadian dollars at the year end exchange rate.

NOTE 3 FINANCIAL RISK MANAGEMENT

(a) Asset Management

The investments that the Province holds are exposed to credit risk and market risk. Market risk is comprised of currency risk, interest rate risk and price risk. In order to earn the best possible return at an acceptable level of risk, the Province has established policies for the asset mix of its investment portfolios.

Note 3 (continued)

The Province reduces its investment risk by holding many different types of assets, investing in securities from various governments and companies in different industries and countries, having quality constraints on fixed income instruments, and restricting amounts exposed to countries designated as emerging markets. The use of derivatives is controlled (see Note 4).

Some of the Province's investments are in the Alberta Heritage Savings Trust Fund (Heritage Fund), which also includes money allocated to the Heritage Fund under the *Access to the Future Act*. The objective is to invest in a diversified portfolio to maximize long-term returns at an acceptable level of risk.

Investments in the Alberta Heritage Foundation for Medical Research Endowment Fund, the Alberta Heritage Science and Engineering Research Endowment Fund, the Alberta Heritage Scholarship Fund, and the Alberta Cancer Prevention Legacy Fund are managed to provide an annual level of income to intermediary boards responsible for making grants to researchers in the fields of medicine, science and engineering, and to selected students.

The General Revenue Fund also holds a portion of the Province's investments. General Revenue Fund investments are used to repay debt as it matures, to provide funding for the capital plan, and to help protect operating and capital spending from short-term declines in revenue and the costs of emergencies, disasters, and settlements with First Nations.

(b) Liability Management

The objective of the Province's liability management program is to achieve the lowest cost on debt within an acceptable degree of variability of debt servicing costs. In order to achieve this objective, the Province manages four risks: interest rate risk, currency exchange risk, credit risk, and refinancing risk. The Province manages these four risks within approved policy guidelines. The debt of provincial corporations is managed separately.

The Province has decided that the most effective liability risk management strategy is to allow existing debt instruments to mature in accordance to their terms (see Schedule 8).

NOTE 4 DERIVATIVE CONTRACTS AND RELATED CREDIT RISK

A derivative is a financial contract with the following three characteristics:

- its value changes in response to the change in a specified interest rate, equity index price, foreign exchange rate or credit rating,
- it requires no initial net investment or the initial investment is smaller than required for exposure to a similar investment market, and
- it is settled in the future.

The Province uses various types of derivative contracts held indirectly through pooled investment funds or directly held by ATB Financial and Alberta Capital Finance Authority to gain access to equity markets and enhance returns or to manage exposure to interest rate risk, currency risk, price risk and credit risk. The notional value of a derivative contract represents the amount to which a rate or price is applied in order to calculate the exchange of cash flows with a counter-party.

Interest rate derivatives allow the Province to exchange interest rate cash flows (fixed, floating and bond index) based on a notional amount. Interest rate derivatives primarily include interest rate swaps, cross currency interest rate swaps, bond index swaps, futures contracts, and options.

Equity replication derivatives allow for the Province to receive or pay cash based on the performance of a specified market-based equity index, security or basket of equity securities applied to a notional amount. Equity derivatives primarily include equity index swaps, futures contracts and rights, warrants and options.

Foreign currency derivatives include contractual agreements to exchange specified currencies at an agreed upon exchange rate and on an agreed settlement date in the future.

Note 4 (continued)

Credit risk derivatives include credit default swaps allowing the Province to buy and sell protection on credit risk inherent in a bond. A premium is paid or received, based on a notional amount, in exchange for a contingent payment should a defined credit event occur with respect to the underlying security.

The following is a summary of the fair values and maturity schedules of the Province's derivative contracts by type:

	Maturity			Contract	
	Under	1 to 3	Over	Notional	Fair
	1 Year	Years	3 Years	Amount ^{(a)(b)}	Value ^{(b)(c)}
				In millions	
Interest rate derivatives	50%	5%	45%	\$ 32,301	\$ (520)
Equity replication derivatives	70%	25%	5%	13,829	150
Foreign currency derivatives	99%	1%	0%	7,761	(19)
Credit risk derivatives	38%	17%	45%	2,219	(26)
Commodity derivatives	49%	51%	0%	4,234	8
Derivatives-related receivables, net				60,344	(407)
Deposits in futures contracts margin accounts					8
Deposits as collateral for derivative contracts					6
Net derivative-related investments 2012				\$ 60,344	\$ (393)
Net derivative-related investments 2011				\$ 57,876	\$ 261

- (a) The notional amounts, upon which payments are based, are not indicative of the credit risk associated with derivative contracts. Current credit exposure is represented by the current replacement cost of all outstanding contracts in a favourable position (positive fair value). Credit exposure is limited by dealing with counterparties believed to have good credit rating (A+ or greater).
- (b) Includes derivatives of ATB Financial with a contract notional amount of \$24,789 million (2011: \$22,945 million) and a fair value of \$65 million (2011: \$17 million). Also includes derivatives of Alberta Capital Finance Authority with a contract notional amount or \$12,281 million (2011: \$10,723 million) and a net fair value of \$(600) million (2011: \$(5) million).
- (c) The method of determining the fair value of derivative contracts is described in Note 2.

NOTE 5 BUDGET

The Consolidated Fiscal Plan documents, which describe the Province's budget for the 2012 fiscal year, were tabled in the Legislature on February 24, 2011. The reporting entity for budget purposes excludes Crown-controlled SUCH sector organizations and the four Alberta Innovates Corporations. However, these are included in the reporting entity for reporting actual results in the consolidated financial statements because these entities are deemed to be controlled by the Province for accounting purposes. For fiscal policy purposes, the budget also excludes the change in pension liabilities.

When there is a difference in scope and basis between the activities reported in the budget and those reported in the financial statements, public sector accounting standards allow that the budget to actual comparison may be done on the same reporting basis as the budget. As a result, the actual results have been presented excluding the Crown-controlled SUCH sector organizations, the Alberta Innovates Corporations and pension liabilities.

Note 5 (continued)

This table uses the same grouping of financial assets and liabilities as the budget presented in the Fiscal Plan:

	2012		2011
	Budget ^(d)	Actual without SUCH and Innovates Corporations	Actual without SUCH and Innovates Corporations
	<i>In millions</i>		
Financial assets			
Heritage Fund external investments	\$ 14,482	\$ 14,652	\$ 14,198
Self-supporting lending organizations ^(a)	13,637	14,470	12,606
Alberta Sustainability Fund ^(b)	5,292	7,497	11,192
Endowments and other funds ^(c)	3,249	3,284	3,302
Debt Retirement Account (Note 6)	503	503	843
Other financial assets	9,964	10,855	9,579
	47,127	51,261	51,720
Liabilities			
Self-supporting lending organizations ^(a)	12,425	13,219	11,627
Accumulated debt (Note 6)	488	489	828
Liabilities for capital projects	5,222	3,442	3,199
Accounts and interest payable and other liabilities	7,726	7,383	7,952
	25,861	24,533	23,606
Net financial assets - fiscal plan basis	21,266	26,728	28,114
Tangible capital assets and inventories of supplies	21,057	20,342	18,975
Net assets - fiscal plan basis	\$ 42,323	47,070	47,089
Pension liabilities ^(e)		(10,333)	(9,716)
Net assets of SUCH sector organizations and Alberta Innovates Corporations		22,376	21,887
Net assets - consolidated financial statement basis		\$ 59,113	\$ 59,260

(a) Alberta Capital Finance Authority and Agriculture Financial Services Corporation.

(b) The Alberta Sustainability Fund provides funding for those years where actual expense exceeds actual revenue, with a view to adding to or replenishing the Fund in years in which there are cash surpluses.

(c) Alberta Heritage Foundation for Medical Research Endowment Fund, Alberta Heritage Science and Engineering Research Endowment Fund, Alberta Heritage Scholarship Fund, Alberta Cancer Prevention Legacy Fund and Alberta Enterprise Corporation.

(d) The budget column excludes pension liabilities, and the assets and liabilities of Crown-controlled SUCH sector organizations and the Alberta Innovates Corporations.

(e) This excludes pension liability for SUCH sector organizations amounting to \$223 million (2011: \$206 million).

Note 5 (continued)

A similar analysis is completed to compare the actual operating results of the Province on the same reporting basis as the budget described in the Fiscal Plan:

	2012		2011
	Budget ^(a)	Actual without SUCH and Innovates Corporations	Actual without SUCH and Innovates Corporations
	<i>In millions</i>		
Revenues - fiscal plan basis	\$ 35,589	\$ 39,249	\$ 34,854
Expenses - fiscal plan basis	38,994	39,272	38,264
Deficit	(3,405)	(23)	(3,410)
Withdrawals from the Sustainability Fund	3,405	23	3,410
Adjusted annual surplus - fiscal plan basis	-	-	-
Adjustment for withdrawals from the Sustainability Fund		(23)	(3,410)
Pension provisions ^(b)		(617)	(437)
Annual surplus of SUCH sector organizations and Alberta Innovates Corporations		526	1,585
Annual deficit - consolidated financial statement basis		\$ (114)	\$ (2,262)

(a) The budget column excludes pension provisions and the revenues and expenses of Crown-controlled SUCH sector organizations and the Alberta Innovates Corporations. The financial statements report the budget as presented in the Fiscal Plan tabled in the Legislature on February 24, 2011 and does not include in year budget restatements.

(b) This excludes pension provisions for SUCH sector organizations amounting to \$17 million (2011: \$2 million).

The annual deficit presented on the consolidated financial statement basis includes the net result of operations of Crown-controlled SUCH sector organizations and the Alberta Innovates Corporations, which are included in the Consolidated Statement of Operations on a line-by-line basis.

Note 5 (continued)

An analysis of the change in net financial assets on the same reporting basis as the budget described in the Fiscal Plan is shown in the table below:

	2012		2011
	Budget	Actual without SUCH and Innovates Corporations	Actual without SUCH and Innovates Corporations
	In millions		
Annual deficit	\$ (3,405)	\$ (23)	\$ (3,410)
Acquisition of tangible capital assets and inventories of supplies	(2,737)	(2,194)	(2,192)
Amortization of tangible capital assets and consumption of inventories of supplies	798	748	733
Net gain on disposal and write-down of tangible capital assets	2	(13)	(23)
Reclassification of land to inventories for resale	-	-	5
Proceeds on sale of tangible capital assets	-	15	12
Change in accumulated unrealized losses (Schedule 6)	-	(3)	(44)
Other	58	84	16
Decrease in net financial assets	(5,284)	(1,386)	(4,903)
Net financial assets at beginning of year	26,550	28,114	33,017
Net financial assets at end of year	\$ 21,266	\$ 26,728	\$ 28,114

NOTE 6 FISCAL RESPONSIBILITY LEGISLATION

Effective April 1, 2005, the *Fiscal Responsibility Act* requires that the financial assets in the Debt Retirement Account must be equal to or greater than the amount of the accumulated debt at the fiscal year end. During 2011-12, the Province complied with the Act. The *Fiscal Responsibility Act* specifically excludes from the definition of accumulated debt any amounts borrowed for the purposes of making advances to or purchasing securities of a Provincial corporation, any amounts borrowed for capital, and any amounts borrowed for the purpose of paying to the post-1992 fund all or any portion of the amounts owing in accordance with the *Teachers' Pension Plans Act*.

Accumulated Debt

The table below shows the balance of accumulated debt at March 31, 2012:

	2012	2011
	In millions	
Unmatured debt (Schedule 8)	\$ 4,748	\$ 4,712
Funding obligation for school board debentures	91	123
Adjustments to conform to statutory definition		
Borrowings for provincial corporations	(1,667)	(1,357)
Borrowings to repay the Teachers' Pension Plan Liability	(1,186)	(1,186)
Borrowings for capital purposes, including Alberta Capital Bonds	(1,497)	(1,464)
Accumulated debt as per the <i>Fiscal Responsibility Act</i>	\$ 489	\$ 828

Note 6 (continued)

In addition, Note 5 shows that funds amounting to \$503 million (2011: \$843 million), at cost, have been set aside in the Debt Retirement Account to retire accumulated debt that has not yet matured.

	2012		2011
	Budget	Actual	Actual
	<i>In millions</i>		
Accumulated debt per the <i>Fiscal Responsibility Act</i>	\$ 488	\$ 489	\$ 828
Funds available for debt repayment	503	503	843
Accumulated debt less funds set aside	\$ (15)	\$ (14)	\$ (15)

NOTE 7 LIABILITIES UNDER PUBLIC PRIVATE PARTNERSHIPS

The Province has entered into contracts (see Note 13) to design, build, finance and operate ring road segments under the following public private partnerships: Anthony Henday – South East Edmonton Ring Road, Stoney Trail – North East Calgary Ring Road, Anthony Henday – North West Edmonton Ring Road and Stoney Trail – South East Calgary Ring Road. The Province has also entered into public private partnership contracts to design, build, finance and maintain schools under the Alberta Schools Alternative Procurement Phase 1 and Phase 2 projects. These contracts include a construction period followed by a 30 year operational period for the ring roads and a 30 year maintenance period for the schools.

The details of the 30 year contracts for those projects that are under construction are as follows:

	Contractor	Date Contract entered into	Scheduled completion date	Date Capital payments begin
Stoney Trail - South East Calgary Ring Road	Chinook Roads Partnership	March 2010	September 2013	October 2013
Alberta Schools Alternative Procurement Phase 2	B2L Partnership	April 2010	June 2012	August 2012

The details of the contracts for those projects that are already operational are as follows:

	Contractor	Date Contract entered into	Completion date	Date Capital payments began
Anthony Henday - South East Edmonton Ring Road	Access Roads Edmonton Ltd.	January 2005	October 2007	November 2007
Stoney Trail - North East Calgary Ring Road	Stoney Trail Group	February 2007	October 2009	November 2009
Alberta Schools Alternative Procurement Phase 1	BBPP Alberta Schools Ltd.	September 2008	June 2010	July 2010
Anthony Henday - North West Edmonton Ring Road	NorthwestConnect General Partnership	July 2008	October 2011	November 2011

Note 7 (continued)

The calculation of the liabilities under public private partnerships is as follows:

	2012 Total	2011 Total
	<i>In millions</i>	
Liabilities, beginning of year	\$ 1,734	\$ 1,425
Additions to liabilities during the year	231	322
Principal payments	(21)	(13)
Liabilities, end of year	\$ 1,944	\$ 1,734

NOTE 8 CONTRACTUAL OBLIGATIONS

Contractual obligations are obligations of the Province to others that will become liabilities in the future when the terms of those contracts or agreements are met.

	2012	2011
	<i>In millions</i>	
Obligations under operating leases, contracts and programs	\$ 21,775	\$ 21,628
Loans and advances approved	134	98
Obligations under capital leases and public private partnerships		
Operations and maintenance payments	1,736	1,830
Capital payments	4,062	4,261
	\$ 27,707	\$ 27,817

Estimated payment requirements for each of the next five years and thereafter are as follows:

Obligations Under Operating Leases, Contracts and Programs

	<i>In millions</i>
2012-13	\$ 6,427
2013-14	3,388
2014-15	2,710
2015-16	2,437
2016-17	1,818
Thereafter	4,995
	<u>\$ 21,775</u>

Note 8 (continued)

Major commitments included in the above figures are commitments for capital construction contracts for health and education facilities, highways and the Municipal Sustainability Initiative which is an agreement that began in 2007-08 between the Province and Alberta municipalities for capital and operating purposes and is subject to the annual appropriation of the Legislature.

Obligations under Capital Leases and Public Private Partnerships**Operations and Maintenance Payments**

	<i>In millions</i>
2012-13	\$ 39
2013-14	44
2014-15	48
2015-16	48
2016-17	49
Thereafter	1,508
	<u>\$ 1,736</u>

Capital Payments

	<i>In millions</i>
2012-13	\$ 135
2013-14	138
2014-15	145
2015-16	145
2016-17	144
Thereafter	3,355
	<u>4,062</u>
Less amount representing interest	<u>(1,891)</u>
	<u>\$ 2,171</u>

Capital payments include payments for capital leases and for public private partnerships. The capital payments for public private partnerships are fixed, equal monthly payments for the privately financed portion of the costs of building the infrastructure. The present value of these capital payments is recorded as a liability on the Consolidated Statement of Financial Position.

The government has various commitments relating to the devolution of services or disposition of assets to the private sector. Those commitments include the performance of duties and obligations if the private sector organization fails to meet them.

NOTE 9 CONTINGENT LIABILITIES

Set out below are details of contingent liabilities resulting from guarantees, indemnities and litigation, other than those reported as liabilities and shown in Schedule 11. Any losses arising from the settlement of contingent liabilities are treated as current year expenses.

(a) Guarantees

Guarantees amounting to \$53 million (2011: \$61 million) are detailed in Schedule 13.

Note 9 (continued)

(b) Contingent Liabilities

The Province, through the Credit Union Deposit Guarantee Corporation which operates under the authority of the *Credit Union Act*, has a potential liability under guarantees relating to deposits of credit unions. At March 31, 2012 credit unions in Alberta held deposits totalling \$17.5 billion (2011: \$16.7 billion). Substantial assets are available from credit unions to safeguard the Province from the risk of loss from its potential obligation under the Act.

At March 31, 2012, ATB Financial had a contingent liability under guarantees and letters of credit amounting to \$358 million (2011: \$347 million).

The Province has a potential liability under guarantees relating to the debt of Alberta Capital Financing Authority of \$7,738 million (2011: \$9,660 million) and Alberta Social Housing Corporation of \$69 million (2011: \$71 million) that is held external to the Government of Alberta.

Through the *Public Trustee Act*, the Province unconditionally guarantees the amount outstanding on a client's guaranteed account as administered by the Office of the Public Trustee. As at March 31, 2012, the potential liability of the Province based on the outstanding balance of the Client Guaranteed Accounts is \$403 million (2011: \$390 million).

The Province has contingent liabilities with respect to various indemnities as permitted under the *Financial Administration Act*. The indemnified amount and corresponding liability cannot be reasonably estimated.

(c) Legal Actions

At March 31, 2012, the Province was involved in various legal actions, the outcome of which is not determinable. Accruals have been made in specific instances where it is probable that losses will be incurred which can be reasonably estimated. The resulting loss, if any, from claims in excess of the amounts accrued cannot be determined.

The Province has a contingent liability in respect of 31 claims (2011: 33 claims), most of them concerning aboriginal rights, Indian title and treaty rights. In most cases, these claims have been filed jointly and severally against the Province of Alberta and the Government of Canada, and in some cases involve third parties. Of these claims, 14 (2011: 15) have specified amounts totalling approximately \$141.9 billion (2011: \$142.9 billion) plus a provision for interest and other costs that is not calculable. The other 17 claims (2011: 18 claims) have not specified any amounts. In addition, there are 4 claims (2011: 4) for treaty land entitlement for which the Province may have an obligation under the Natural Resources Transfer Agreement.

Further, the Province was named as defendant in various other legal actions in addition to those noted above. The total claimed in specific legal actions amounts to approximately \$4.2 billion (2011: \$4.3 billion).

(d) Bitumen Royalties

Certain producers have disputed the basis of royalty calculation for bitumen royalties. Bitumen royalties reported may be adjusted by potentially significant amounts following resolution of the dispute.

(e) Tax Assessments

Some of the taxes assessed by the Province are under objection and some are being appealed. The resulting loss, if any, cannot be reasonably estimated.

NOTE 10 TRUST AND OTHER FUNDS UNDER ADMINISTRATION

Trust and other funds under administration are regulated and other funds consisting of public money over which the Legislature has no power of appropriation. Because the Province has no equity in the funds and administers them for the purposes of various trusts, they are not included in the consolidated financial statements. As at March 31, 2012, trust and other funds under administration were as follows:

	2012	2011
	<i>In millions</i>	
Public Sector Pension Plan Funds	\$ 34,929	\$ 31,263
Teachers' Pension Plan Funds	6,773	6,308
The Workers' Compensation Board Accident Fund	622	1,359
Public Trustee	544	530
Special Areas Trust Account	231	219
Various Court Offices and Fines Distribution Trust	117	121
Miscellaneous trust funds	443	394
	\$ 43,659	\$ 40,194

In addition to the above trust and other funds under administration, the Province holds cash and bank guarantees in the form of letters of credit and promissory notes in the amount of \$1,534 million (2011: \$1,443 million). The majority of these guarantees are held to assure satisfactory reclamation of coal and oil sands operations, sand and gravel pits, landfills, hazardous waste management and hazardous recyclable facilities.

NOTE 11 ENDOWMENT FUNDS

	2012	2011
	<i>In millions</i>	
Endowment funds of universities, colleges and hospitals	\$ 1,543	\$ 1,484

Endowment fund assets are included in Portfolio investments and Net assets in the Consolidated Statement of Financial Position. Donors have placed restrictions on their contribution to the endowment funds of universities, colleges and hospitals. The principal restriction is that the original contribution should not be spent except as expressly allowed under the Post Secondary Learning Act for endowments made to Universities and Colleges. Capital preservation, investment returns and the impact of inflation may also form restrictions on these funds.

NOTE 12 OTHER ADJUSTMENTS TO NET ASSETS

The reconciliation of other adjustments to Net assets is as follows:

	2012	2011
	<i>In millions</i>	
Other adjustments to net assets		
Change in unrealized losses (Schedule 6)	\$ (3)	\$ (44)
Change in accounting policy ^(a)	(101)	-
Increase in endowments (Note 11)	59	50
Other ^(b)	108	-
Consolidation adjustments relating to SUCH sector	(96)	(18)
	\$ (33)	\$ (12)

(a) During the year, government business enterprises were required to adopt International Financial Reporting Standards (IFRS). In these statements, the adoption has been applied on a retroactive basis without restatement of prior years resulting in a \$90 million decrease to net assets. In addition, two provincial agencies adopted the public sector accounting standards on April 1, 2011. As a result of electing a different discount rate for the calculation of the pension liability, the related balance of accrued pension plan assets was changed into a pension liability resulting in a decrease in opening net assets of \$11 million.

(b) Other consists primarily of an increase to opening net assets of \$104 million because the restricted equity of Alberta Capital Finance Authority was reclassified from other accounts payable to net assets.

NOTE 13 SUBSEQUENT EVENTS

On May 8, 2012, the Province signed a \$1.81 billion (net present value over the life of the contract) public private partnership agreement to design, build, finance and operate the Northeast Anthony Henday Drive in Edmonton. The road is owned by the Province and is scheduled to be open to traffic in the fall of 2016.

NOTE 14 COMPARATIVE FIGURES

Certain 2011 figures have been reclassified, where necessary, to conform to 2012 presentation.

**SCHEDULES TO THE
CONSOLIDATED FINANCIAL STATEMENTS**

March 31, 2012

REVENUES

Schedule 1

	2012	2011
	<i>In millions</i>	
Income taxes		
Personal income tax	\$ 8,450	\$ 7,516
Corporate income tax	3,498	3,275
	11,948	10,791
Other taxes		
Education property tax	1,858	1,779
Tobacco tax	896	893
Fuel tax	849	662
Freehold mineral rights tax	129	128
Insurance taxes	294	293
Alberta tourism levy	73	65
	4,099	3,820
Non-renewable resource revenue		
Natural gas and by-products royalty	1,304	1,416
Bitumen royalty	4,513	3,723
Bonuses and sales of Crown leases	3,312	2,635
Crude oil royalty	2,284	2,236
Rentals and fees	169	161
Coal royalty	29	31
Royalty tax credit/drilling stimulus initiatives	25	(1,774)
	11,636	8,428
Transfers from Government of Canada		
Health transfers	2,192	2,215
Canada social transfer	1,256	1,214
Agriculture support programs	278	273
Labour market agreements	173	229
Other	1,293	1,521
	5,192	5,452
Net income from government business enterprises		
Lottery operations	1,471	1,441
Liquor operations	700	683
Other	222	213
	2,393	2,337
Net investment income	2,168	2,486
Premiums, fees and licences		
Health fees and charges	452	630
Motor vehicle licences	420	383
Crop and hail insurance premiums	283	257
Energy Resources Conservation Board levies	125	115
Land Titles	79	53
Other	583	548
	1,942	1,986
Other		
Tuition	989	936
Sales, rentals and services	768	778
Fundraising, donations, gifts and contributions	804	692
Fines and penalties	132	109
Climate change and emissions management	49	76
Other	982	911
	3,724	3,502
	\$ 43,102	\$ 38,802

EXPENSES BY MINISTRY

Schedule 2

	2012	2011
	<i>In millions</i>	
Program expenses		
Offices of the Legislative Assembly	\$ 89	\$ 90
Ministries		
Health and Wellness	15,564	15,095
Education	6,976	6,585
Advanced Education and Technology	4,917	4,691
Seniors	2,152	2,049
Human Services	2,426	2,418
Transportation	1,983	1,880
Municipal Affairs	1,546	1,570
Infrastructure	1,144	683
Finance	1,001	926
Agriculture and Rural Development	921	973
Solicitor General and Public Security	684	656
Sustainable Resource Development	562	429
Justice	512	486
Energy	392	352
Service Alberta	285	278
Environment and Water	252	286
Culture and Community Services	238	251
Tourism, Parks and Recreation	177	165
Intergovernmental, International and Aboriginal Relations	168	202
Treasury Board and Enterprise	56	58
Executive Council	28	30
	42,073	40,153
Debt servicing costs ^(a)	509	472
Pension provisions ^(b) (Schedule 10)	634	439
	\$ 43,216	\$ 41,064

(a) Debt servicing costs consists of interest paid on various forms of government debt. It excludes interest on pension liabilities. Interest on pension liabilities has been included in pension provisions and other program expense.

(b) Pension provisions are related to the Ministry of Advanced Education and Technology, the Ministry of Education, the Ministry of Energy, the Ministry of Finance, and the Ministry of Health and Wellness.

On May 8, 2012, the government announced new ministry structures. Since the 2011-12 fiscal year was completed prior to this announcement, the ministry structure in this schedule is based on what was in existence at March 31, 2012.

EXPENSES BY OBJECT

Schedule 3

	2012	2011
	<i>In millions</i>	
Grants	\$ 11,666	\$ 11,481
Services	7,166	7,096
Salaries, wages, employment contracts and benefits	16,502	15,540
Amortization of tangible capital assets and consumption of inventories of supplies	2,497	2,417
Interest and amortization of exchange gains and losses	478	443
Materials and supplies	3,115	2,564
Pension provisions (Schedule 10)	634	439
Travel and communication	283	270
Pension liability funding	504	497
Other	371	317
	\$ 43,216	\$ 41,064

The pension expense for the Province (Schedule 10) is included in salaries, wages, employment contracts and benefits, pension provisions and pension liability funding.

CASH AND CASH EQUIVALENTS

Schedule 4

	2012		2011	
	Book Value	Fair Value	Book Value	Fair Value
	<i>In millions</i>			
Cash ^(a)	\$ 3,525	\$ 3,525	\$ 3,582	\$ 3,582
Cash equivalents	2,619	2,620	2,468	2,469
	\$ 6,144	\$ 6,145	\$ 6,050	\$ 6,051

(a) Cash includes deposits in the Consolidated Cash Investments Trust Fund (CCITF). At March 31, 2012, deposits in CCITF had a time-weighted return of 1.3% per annum (2011: 1.1% per annum).

	2012		2011	
	Book Value	Fair Value	Book Value	Fair Value
	<i>In millions</i>			
Interest bearing securities ^{(a)(b)(c)}				
Deposits and short-term securities	\$ 816	\$ 816	\$ 1,547	\$ 2,251
Bonds and mortgages	15,999	16,335	19,642	19,220
	16,815	17,151	21,189	21,471
Equities				
Canadian public equities	2,007	2,153	1,983	2,351
Global developed public equities	7,341	7,764	6,950	7,300
Emerging markets public equities	616	661	53	53
Private equities	1,002	1,161	893	945
Pooled investment funds	37	37	37	38
	11,003	11,776	9,916	10,687
Inflation sensitive and alternative investments				
Private real estate	2,198	3,009	1,812	2,310
Inflation sensitive real return bonds	-	-	6	6
Private infrastructure	1,288	1,306	784	724
Absolute return strategy hedge funds	-	-	836	916
Timberland	281	336	231	244
Private debt and loans	227	241	87	87
Other investments	68	68	34	35
	4,062	4,960	3,790	4,322
	\$ 31,880	\$ 33,887	\$ 34,895	\$ 36,480

- (a) The majority of the Province's interest bearing securities are held by the General Revenue Fund. As at March 31, 2012, the General Revenue Fund held \$7.7 billion (2011: \$11.3 billion) of interest bearing securities at cost (fair value \$7.8 billion (2011: \$11.6 billion)). The securities held have an average effective market yield of 2.0% (2011: 2.3%) per annum. Of the securities held, 11% (2011: 15%) had terms to maturity of less than one year.
- (b) Interest bearing securities are also held by the Alberta Heritage Savings Trust Fund (Heritage Fund). As at March 31, 2012, the Heritage Fund held \$3.3 billion (2011: \$3.8 billion) of interest bearing securities at cost (fair value \$3.4 billion (2011: \$3.8 billion)). The securities held have an average effective market yield of 4.4% (2011: 4.5%) per annum and the following term to maturity structure based on principal amount:

	2012	2011
		%
Under 1 year	4	11
1 to 5 years	47	32
Over 5 years	49	57
	100	100

- (c) The amount held as portfolio investments by Crown-controlled SUCH sector organizations are consolidated on a line-by-line basis. As at March 31, 2012, Alberta Health Services held \$1.4 billion (2011: \$1.9 billion) of interest bearing securities at cost (fair value \$1.4 billion (2011: \$1.9 billion)) with an effective market yield of 1.8% (2011: 2.1%) per annum. The post secondary institutions held \$2.1 billion (2011: \$2.0 billion) of interest bearing securities at cost (fair value \$2.1 billion (2011: \$2.1 billion)) with an average effective market yield of 3.2% (2011: 3.3%) per annum. School jurisdictions held \$106 million (2011: \$102 million) of interest bearing securities at cost (fair value \$108 million (2011: \$ 104 million)) with an approximate effective market yield of 2.2% (2011: 2.8%) per annum. The securities have the following term to maturity structure based on principal amount:

	2012			2011		
	Alberta Health Services	Post Secondary Institutions	School Jurisdictions	Alberta Health Services	Post Secondary Institutions	School Jurisdictions
	%			%		
Under 1 year	1	43	6	2	49	18
1 to 5 years	85	31	79	85	28	24
Over 5 years	14	26	15	13	23	58
	100	100	100	100	100	100

EQUITY IN GOVERNMENT BUSINESS ENTERPRISES

Schedule 6

	2012	2011
	<i>In millions</i>	
Accumulated surpluses		
Accumulated surpluses at beginning of year	\$ 2,545	\$ 2,368
IFRS restatement ^(a)	(107)	-
Restated opening surpluses	2,438	2,368
Total revenue	4,943	4,797
Total expense ^(b)	2,550	2,460
Net income from commercial operations	2,393	2,337
Change in accumulated unrealized losses ^(c)	(3)	(44)
Transfers to the Province from Alberta Gaming and Liquor Commission	(2,202)	(2,116)
Accumulated surpluses at end of year	\$ 2,626	\$ 2,545
Represented by		
Assets		
Loans	\$ 26,713	\$ 22,948
Investments	2,131	2,187
Other	2,899	3,009
	31,743	28,144
Liabilities		
Accounts payable	1,062	1,318
Deposits ^(d)	25,053	23,982
Unmatured debt	2,764	68
Capital deposits	238	231
	29,117	25,599
	\$ 2,626	\$ 2,545
Equity in government business enterprises at end of year		
As reported by the entities		
ATB Financial	\$ 2,062	\$ 1,964
Alberta Gaming and Liquor Commission	380	427
Credit Union Deposit Guarantee Corporation	184	154
	2,626	2,545
Subordinated debentures in support of deposit guarantees	113	67
	\$ 2,739	\$ 2,612

- (a) During the year, government business enterprises were required to adopt International Financial Reporting Standards (IFRS). In these statements, the adoption has been applied on a retroactive basis without restatement of prior years. The total impact to equity in government business enterprises was \$107 million. This consists of a \$90 million decrease in opening net assets for ATB Financial and the Credit Union Deposit Guarantee Corporation and a \$17 million decrease due to the General Revenue Fund for Alberta Gaming and Liquor Commission.
- (b) Included in the total expense is \$22 million of interest expense of ATB Financial that was paid to the Province for amounts borrowed directly by the Province on behalf of ATB Financial. Also included in the total expense is \$58 million (2011: \$59 million) of payment in lieu of taxes of ATB Financial that was paid to the Province.
- (c) The change in accumulated unrealized losses of \$3 million is comprised of changes in other comprehensive income in government business enterprises. At March 31, 2012, the Province has \$13 million in accumulated unrealized losses (2011: \$10 million).
- (d) The repayment of all deposits without limit, including accrued interest, is guaranteed by the Province in respect of which the Province assesses a deposit guarantee fee of \$27 million (2011: \$25 million) payable by ATB Financial. Included in the total deposits of ATB Financial are amounts borrowed by the Province on behalf of ATB Financial totalling \$1,990 million (2011: \$ nil).

At March 31, 2012, ATB Financial had a contingent liability under guarantees and letters of credit of \$358 million (2011: \$347 million).

Included in the Province's contractual obligations are \$317 million (2011: \$355 million) for contracts belonging to government business enterprises. These amounts include obligations under operating leases which expire on various dates.

LOANS AND ADVANCES

Schedule 7

	2012	2011
	<i>In millions</i>	
Loans and advances made under the authority of		
<i>Alberta Capital Finance Authority Act</i> ^(a)	\$ 10,052	\$ 8,696
<i>Agriculture Financial Services Act</i> ^(b)	1,610	1,403
<i>Student Loan Act</i>	762	618
<i>Alberta Heritage Savings Trust Fund Act</i>	282	286
<i>Alberta Housing Act</i>	8	8
<i>Financial Administration Act</i>	64	6
	12,778	11,017
Less allowance for doubtful accounts	316	348
	\$ 12,462	\$ 10,669

(a) The fair value of the loans as at March 31, 2012 was \$11,192 million (2011: \$9,202 million). Municipal loans on average yield 4.6% (2011: 4.9%) per annum.

(b) The fair value of the loans receivable is not disclosed. Determining fair values with sufficient reliability is not practical due to the absence of verifiable information from established financial markets for such loans. Agricultural loan portfolios on average yield 4.9% (2011: 5.4%) per annum.

UNMATURED DEBT

Schedule 8

	2012				2011	
	Effective Rate ^(a)	Modified Duration ^(b)	Book Value ^(a)	Fair Value ^(a)	Book Value ^(a)	Fair Value ^(a)
	%	years				
Direct debt						
Canadian dollar debt						
Floating rate and short-term						
fixed rate ^(c)	7.52	0.72	\$ 266	\$ 281	\$ 400	\$ 423
Fixed rate long-term ^(d)	3.88	7.20	4,413	4,798	4,241	4,388
	4.09	6.84	4,679	5,079	4,641	4,811
Alberta Social Housing Corporation						
Canadian dollar fixed rate debt			69	102	71	100
			\$ 4,748	\$ 5,181	\$ 4,712	\$ 4,911

(a) Book value represents the amount the Province owes. Fair value approximates market value to the debt holder. The book value, fair value and weighted average effective rate include the effect of interest rate and currency rate swaps. Effective rate is the rate that exactly discounts estimated future cash payments through the expected term of the debt to the net carrying amount. For non-marketable issues, the effective rate and fair value are determined by reference to yield curves for comparable quoted issues.

(b) Modified duration is the weighted average term to maturity of a security's cash flows (i.e. interest and principal) and is a measure of price volatility. The greater a bond's modified duration, the greater the impact a change in interest rates will have on its value.

(c) Floating rate debt includes short-term debt, term debt with less than one year to maturity, and term debt with interest rate reset within a year.

(d) Includes \$1,497 million (2011: \$1,464 million) borrowed for capital purposes and borrowing of \$1,186 million (2011: \$1,186 million) to repay the Teachers' Pension Plan liability (see Note 6).

UNMATURED DEBT

Schedule 8 (continued)

In addition to the unmatured debt shown above, and in order to reduce overall borrowing costs for the Province, the Province borrows money at a more favourable rate and loans it to various provincial entities (see Schedule 7) with the exact same repayment terms and interest rates. The Province borrowed funds on behalf of ATB Financial totalling \$1,990 million (2011: \$ nil) (see Schedule 6) and Alberta Capital Finance Authority totalling \$3,307 million (2011: \$ nil) (see Schedule 9).

Debt principal repayment requirements (based on par value) in each of the next five years, including short-term debt maturing in 2012-13 and thereafter, are as follows:

	<i>In millions</i>
2012-13	\$ 321
2013-14	114
2014-15	1,228
2015-16	143
2016-17	85
Thereafter	2,857
	<u>\$ 4,748</u>

DEBT OF ALBERTA CAPITAL FINANCE AUTHORITY

Schedule 9

	2012		2011	
	Book Value	Fair Value	Book Value	Fair Value
	<i>In millions</i>			
Alberta Capital Finance Authority				
Canadian dollar fixed rate debt	\$ 5,990	\$ 6,596	\$ 5,654	\$ 6,030
Canadian dollar floating rate debt	5,055	5,075	4,006	4,028
Total ^(a)	11,045	11,671	9,660	10,058
Effective rate per annum		4.9%		5.0%

(a) Included in the Alberta Capital Finance Authority debt are amounts borrowed directly by the Province on behalf of the Alberta Capital Finance Authority totalling \$3,307 million (2011: \$ nil).

Debt principal repayment requirements in each of the next five years, including short-term debt maturing in 2012-13 and thereafter, are as follows:

	<i>In millions</i>
2012-13	\$ 3,560
2013-14	2,280
2014-15	657
2015-16	810
2016-17	1,500
Thereafter	2,238
	<u>\$ 11,045</u>

Pension Plans

The Province is the trustee for the following pension plans under the Public Sector Pension Plans Act:

Local Authorities Pension Plan (LAPP), Management Employees Pension Plan (MEPP), Public Service Pension Plan (PSPP), Special Forces Pension Plan (SFPP), and the Public Service Management (Closed Membership) Pension Plan (PSMC). The Province is also trustee for the Provincial Judges and Masters in Chambers (Registered) Pension Plan (PJMCPP) under the Provincial Court Act and the Supplementary Retirement Plan for Public Service Managers (MSRP) under the Supplementary Retirement Plan – Retirement Compensation Arrangement Directive (Treasury Board Directive 01/99). All of these pension plans are open with the exception of PSMC. Financial statements for all of these pension plans as of their December 31, 2011 year end or March 31, 2012 year end are reported as supplementary information in the Ministry of Finance Annual Report. All of the plans, except the Judges plan, are multi-employer plans.

Boards, on behalf of Crown-controlled SUCH sector organizations, administer the Teachers' Pension Plan (Teachers') and the Universities Academic Pension Plan (UAPP).

In addition to the aforementioned plans, there are several agencies which maintain their own plans to compensate senior staff members that do not participate in the regular government pension plans. These entities include the Energy Resource Conservation Board, Alberta Utilities Commission, Alberta Securities Commission, and some SUCH sector entities. Summaries of these plans are included in these financial statements as Supplementary Executive Retirement Plans (SERP). Additional information can be found in the entity's financial statements.

The following is a summary of the plans for the year ended March 31, 2012:

Defined Benefit Pension Plans	Approximate Number of Active Employees	Average Age of Active Employees	Approximate Number of Former Employees Entitled to Refunds of Contributions	Approximate Number of Retirees Receiving Benefits	Employee Contributions	Employer Contributions	Benefit Payments
<i>In millions</i>							
LAPP	141,877	45	26,124	47,065	\$ 818	\$ 891	\$ 879
PSPP	40,813	44	15,161	21,507	236	234	410
MEPP	5,131	49	1,068	3,699	59	88	148
MSRP	1,037	53	129	635	3	3	3
PJMCPP ^(a)	127	60	5	131	1	2	7
PSMC ^(a)	-	-	181	2,020	-	-	57
SFPP ^(a)	4,035	39	181	2,215	39	42	87
Teachers' Pre-92	10,450	52	2,623	22,229	-	-	423
Teachers' Post-92	36,200	42	6,387	17,602	322	296	223
UAPP	7,600	49	1,444	3,988	96	107	184

(a) These three plans also received during the year contributions, primarily related to pre-1992 commitments, from the Province of Alberta as follows: PJMCPP \$1 million, PSMC \$60 million and SFPP \$4 million.

The plans provide a defined benefit retirement income based on a formula for each plan that considers final average years of salary, length of service and a percentage ranging from 1.4% to 2% per year of service.

The Province accounts for the liabilities for pension obligations on a defined benefit basis as a participating employer for former and current employees in Local Authorities Pension Plan, Management Employees Pension Plan, Supplementary Retirement Plan for Public Service Managers, Provincial Judges and Masters in Chambers Pension Plan and Public Service Pension Plan for the government's consolidated reporting entity except for government business enterprises that report under International Financial Reporting Standards (IFRS) and are required to account directly for participation in the public service pension plans under IFRS.

The Province also accounts for the specific commitments made by the Government of Alberta for pre-1992 pension obligations to the Teachers' Pension Plan, Public Service Management (Closed Membership) Pension Plan, Universities Academic Pension Plan (UAPP) and Special Forces Pension Plan. In 1992, there was pension plan reform resulting in pre-1992 and post-1991 arrangements for several pension plans.

The Province also accounts for the obligation to the Members of the Legislative Assembly Pension Plan (MLAPP).

The following table contains summary information on these specific pension plans. Pension liabilities are as follows:

	2012		2011
	Pension Liabilities	Pension Provisions (Recovery) (Schedule 3)	Pension Liabilities
	<i>In millions</i>		
Liabilities for the Province's employer share for former and current employees			
Local Authorities Pension Plan ^(a)	\$ 450	\$ 40	\$ 410
Management Employee Pension Plan ^(b)	129	(8)	137
Supplementary Retirement Plan for Public Service Managers ^(c)	53	13	40
Provincial Judges and Masters in Chambers Pension Plan ^(d)	-	(2)	2
Public Service Pension Plan ^(e)	176	109	67
Teachers' Pension Plan ^(f)	503	85	418
Universities Academic Pension Plan ^(g)	179	11	168
Supplementary Executive Retirement Plans ^(h)	47	9	38
	1,537	257	1,280
Liabilities for the Province's commitment towards pre-1992 obligations			
Teachers' Pension Plan ^(f)	7,916	376	7,540
Public Service Management (Closed Membership) Pension Plan ⁽ⁱ⁾	614	(7)	621
Universities Academic Pension Plan ^(g)	315	(1)	316
Special Forces Pension Plan ^(g)	129	8	121
	8,974	376	8,598
Members of the Legislative Assembly Pension Plan ⁽ⁱ⁾	45	1	44
	\$ 10,556	\$ 634	\$ 9,922

Pension provisions represent the change in pension liabilities, net of pension expense and contributions made.

The following is a description of each pension liability:

- (a) The Local Authorities Pension Plan is a contributory defined benefit pension plan for eligible employees of local authorities and approved public bodies. These include cities, towns, villages, municipal districts, hospitals, Alberta Health Services, school divisions, school districts, colleges, technical institutes, certain commissions, foundations, agencies, libraries, corporations, associations, and societies. In accordance with the Public Sector Pension Plans Act, the actuarial deficiencies as determined by actuarial funding valuations are expected to be funded by special payments currently totalling 6.96% of pensionable earnings shared equally between employees and employers until December 31, 2025. Current service costs are funded by employers and employees.
- (b) The Management Employee Pension Plan is a contributory defined benefit pension plan for eligible management employees of the Province and certain approved provincial agencies and public bodies. Members of the former Public Service Management Pension Plan who were active contributors at August 1, 1992, and have not withdrawn from the Plan since that date, continue as members of this Plan. In accordance with the Public Sector Pension Plans Act, the actuarial deficiencies as determined by actuarial funding valuations are expected to be funded by special payments currently totalling 9.4% of pensionable earnings shared between employees and employers until December 31, 2014, 7.3% until December 31, 2016, 2.5% until December 31, 2017 and 2.1% until December 31, 2024. Current services costs are funded by employers and employees.
- (c) The Supplementary Retirement Plan for Public Service Managers is a contributory defined benefit pension plan for certain public service managers of designated employers who participate in the Management Employees Pension Plan (MEPP) and whose annual salary exceeds the maximum pensionable salary limit under the Income Tax Act. The Plan is supplementary to the MEPP. The contribution rates in effect at December 31, 2011 were unchanged at 11.16% of pensionable salary in excess of the maximum pensionable salary limit for eligible employees and designated employers.
- (d) The Provincial Judges and Masters in Chambers Pension Plan is a contributory defined benefit pension plan for Judges and Masters in Chambers of the Province of Alberta. Current service costs are funded by the Province and plan members at rates which are expected to provide for all benefits payable under the Plan. The rates in effect at March 31, 2011 and 2012 are 7.00% of capped salary for plan members and 14.65% of capped salary for the Province. Benefits are payable by the Province if assets are insufficient to pay for all benefits under the Plan.
- (e) The Public Service Pension Plan is a contributory defined benefit pension plan for eligible employees of the Province, approved provincial agencies and public bodies. In accordance with the Public Sector Pension Plans Act, the actuarial deficiencies as determined by an actuarial funding valuation are expected to be funded by special payments currently totalling 6.94% of pensionable earnings shared equally between employees and employers until December 31, 2025. Current service costs are funded by employers and employees.
- (f) The Teachers' Pension Plans Act requires all teachers under contract with jurisdictions in Alberta to contribute to the Teachers' Pension Plan. The Province assumed responsibility for the entire unfunded pre-1992 pension obligation of the Teachers' Pension Plan. In 2009-10 there was a repayment of \$1,186 million towards the liability. The costs of all benefits paid under the pre-1992 Teachers' Pension Plan are paid by the Province. In addition, the Province is responsible for 50% of the unfunded liability, any current service costs and certain cost of living benefits for service after August 1992.
- (g) Under the Public Sector Pension Plans Act, the Province has a liability for payment of additional contributions under defined benefit pension plans for certain employees of post-secondary educational institutions and municipalities. The plans are the Universities Academic and Special Forces pension plans.

For the Universities Academic Pension Plan, the unfunded liability for service credited prior to January 1, 1992 is being financed by additional contributions of 1.25% of pensionable salaries by the Province and contributions by employees and employers to fund the remaining amount, as determined by the plan valuation, over the period ending on or before December 31, 2043. Current service costs are funded by employers and employees.

For the Special Forces Pension Plan, the unfunded liability for service credited prior to January 1, 1992 is being financed by additional contributions in the ratio of 45.45% by the Province and 27.27% each by employers and employees, over the period ending on or before December 31, 2036. Current service costs are funded by employers and employees. The Act provides that payment of all benefits arising from pensionable service prior to 1994, excluding post-1991 cost of living adjustment benefits, is guaranteed by the Province.

- (h) Certain consolidated entities provide defined supplementary executive retirement plans for certain management staff, and other benefit plans for all or specific groups of staff, depending on the plans. The cost of these benefits are actuarially determined on an annual basis using the projected benefit method pro-rated on services, a market interest rate, and management's best estimate of expected costs and the period of benefit coverage.

- (i) The Public Service Management (Closed Membership) Pension Plan provides benefits to former members of the Public Service Management pension plan who were retired, were entitled to receive a deferred pension or had attained 35 years of service before August 1, 1992. The costs of all benefits under the Plan are paid by the Province.
- (j) The Province has a liability for payment of pension benefits under a defined benefit pension plan for Members of the Legislative Assembly. Active participation in this plan was terminated as of June 1993, and no benefits can be earned for service after that date. The costs for all benefits under the plan are paid by the Province.

The liability for pension obligations as a participating employer is as follows:

As at March 31, 2012	Teachers' Pension Plan						Total	
	LAPP	MEPP	PSPP	Post-1992	UAPP	Others ^(d)	2012	2011
	(In millions)							
Liabilities for the Province's share for former and current employees								
Net assets available for benefits ^(a)	\$ 19,663	\$ 2,636	\$ 6,481	\$ 6,773	\$ 2,675	\$ 267	\$ 38,495	\$ 35,520
Pension obligation	24,303	3,154	8,271	8,544	3,829	373	48,474	45,723
Pension plan deficit ^(a)	\$ 4,640	\$ 518	\$ 1,790	\$ 1,771	\$ 1,154	\$ 106	\$ 9,979	\$ 10,203
Province of Alberta share of the deficiency	\$ 1,552	\$ 316	\$ 793	\$ 859	\$ 419	\$ 106	4,045	4,228
Unamortized Losses ^(b)	(1,089)	(185)	(613)	(356)	(240)	(6)	(2,489)	(2,940)
Timing differences between the pension plan fiscal year ends and March 31 ^(c)	(13)	(2)	(4)	-	-	-	(19)	(8)
Future Benefit Liability	\$ 450	\$ 129	\$ 176	\$ 503	\$ 179	\$ 100	1,537	1,280
Liabilities for the Province's commitment towards pre-1992 obligations							8,974	8,598
Members of the Legislative Assembly Pension Plan							45	44
							\$ 10,556	\$ 9,922

- (a) These numbers are as reported in the pension plan 2011 financial statements, except for the Teachers Post-92 Pension Plan and the UAPP which use numbers as reported in actuarial reports.
- (b) Under Public Sector Accounting Standards, losses are amortized over the employee expected average remaining service life of the employees of each plan, which ranges from eight to eleven years.
- (c) Accounting timing differences from January 1, 2012 to March 31, 2012 for payments and interest expense.
- (d) Others includes the Supplementary Retirement Plan for Public Service Managers, Provincial Judges and Masters in Chambers Pension Plan and Supplementary Executive Retirement Plans.

The pension expense for the Province is as follows:

				Teachers' Pension Plan					Total	Total
	LAPP	MEPP	PSPP	Pre-92	Post-92	UAPP	Others ^(c)		2012	2011
	(In millions)									
Pension Expense										
Current period benefit cost ^(a)	\$ 1,222	\$ 107	\$ 327	\$ -	\$ 424	\$ 68	\$ 20		\$ 2,168	\$ 1,793
Amortization of actuarial gains and losses ^(b)	399	28	257	432	180	20	24		1,340	1,098
Total	\$ 1,621	\$ 135	\$ 584	\$ 432	\$ 604	\$ 88	\$ 44		\$ 3,508	\$ 2,891
Province of Alberta share of pension expense	\$ 542	\$ 83	\$ 259	\$ 432	\$ 302	\$ 88	\$ 44		\$ 1,750	\$ 1,396
Interest Expense										
Interest on pension liability ^(a)	72	14	59	367	66	43	45		666	621
Total Province of Alberta pension related expenses	\$ 614	\$ 97	\$ 318	\$ 799	\$ 368	\$ 131	\$ 89		\$ 2,416	\$ 2,017

(a) As reported in pension plan financial statements or actuarial reports. Numbers in UAPP are net of employees' share.

(b) Except for Special Forces Pension Plan, numbers are adjusted to March 31, 2012.

(c) Others includes the Supplementary Retirement Plan for Public Service Managers, Provincial Judges and Masters in Chambers Pension Plan, Special Forces Pension Plan and Supplementary Executive Retirement Plans.

Pension liabilities are based upon actuarial valuations performed at least triennially using the projected benefit method prorated on services and actuarial extrapolations performed at December 31, 2011 or March 31, 2012. The assumptions used in the valuations and extrapolations were adopted after consultation between the pension plan boards, the government and the actuaries, depending on the plan, and represent best estimates of future events. The non-economic assumptions include considerations such as mortality as well as withdrawal and retirement rates. The primary economic assumptions include salary escalation rate, discount rate and inflation rate. Each plan's future experience will inevitably vary, perhaps significantly, from the assumptions. Any differences between the actuarial assumptions and future experience will emerge as gains or losses in future valuations. Gains and losses are amortized over the expected average remaining service lives of the related employee groups.

The date of actuarial extrapolation and primary economic assumptions used for accounting purposes were:

Plan	Latest Valuation Date	Latest Extrapolation Date	Salary Escalation Rate %	Inflation Rate %	Discount Rate ^(a) %
Teachers' Pre-1992 Pension Plan	August 2011	March 2012	3.50	2.25	4.50
Teachers' Post-1992 Pension Plan	August 2011	March 2012	3.50	2.25	6.80
Public Service Management (Closed Membership) Pension Plan	December 2008	December 2011	-	2.25	4.50
Universities Academic Pension Plan	December 2010	March 2012	3.50	2.25	6.50
Local Authorities Pension Plan	December 2010	December 2011	3.50	2.25	6.00
Public Service Pension Plan	December 2010	December 2011	3.50	2.25	6.60
Members of the Legislative Assembly Pension Plan	March 2012	-	-	2.25	4.50
Management Employees Pension Plan	December 2009	December 2011	3.50	2.25	6.30
Provincial Judges and Masters in Chambers Pension Plan	December 2008	March 2011	3.50	2.25	6.10
Supplementary Retirement Plan for Public Service Managers	December 2009	December 2011	3.50	2.25	5.50
Special Forces Pension Plan	December 2008	December 2011	3.50	2.25	6.20

(a) The discount rate is the expected rate of return for plans with assets and is also the discount rate used to measure the actuarial liability.

The actual return on major funded plans' assets during the period ranges from 2.1% to 7.8% (2010-11: 5.6% to 10.2%). This range includes returns for LAPP, Teachers' Post-1992 Plan, PSPP, MEPP, SFPP, and UAPP.

A separate pension plan fund is maintained for each pension plan except for the Teachers' Pre-1992 Pension Plan and the Members of the Legislative Assembly Pension Plan. Each pension plan fund reports annually through financial statements.

Government business enterprises have recorded pension liabilities accounted for under International Financial Reporting Standards of \$195 million (2011: \$137 million) comprised of \$124 million (2011: \$97 million) for employees in the Public Service Pension Plan, Management Employees Pension Plan and the Supplementary Retirement Plan for Public Service Managers and \$71 million (2011: \$40 million) in other pension plans.

Long Term Disability Income Continuance Plans

The government administers two long-term disability income continuance plans. As at March 31, 2012, the Bargaining Unit Plan reported an actuarial surplus of \$9.1 million (2011: deficiency of \$4.1 million) and the Management, Opted Out, and Excluded Plan reported an actuarial surplus of \$10.5 million (2011: surplus of \$7.0 million). At March 31, 2012, the government's share of the estimated accrued benefit liability for these plans has been recognized in these financial statements.

OTHER ACCRUED LIABILITIES

Schedule 11

	2012	2011
	<i>In millions</i>	
Vacation entitlements	\$ 1,261	\$ 1,202
Guarantees, indemnities and remissions	-	1
	\$ 1,261	\$ 1,203

TANGIBLE CAPITAL ASSETS

Schedule 12

	General Capital Assets						Infrastructure Assets					2012 Total	2011 Total
	Computer hardware and software						Land improvements (e)	Provincial highways, roads and airstrips (f)	Bridges	Dams and water management structures (g)	Sub Total		
Estimated Useful Life	Land (a)	Buildings (b)	3-10 yrs	Equip-ment (c)	Other (d)	Sub Total	10-40 yrs	20-50 yrs	50 yrs	25-80 yrs			
	Indefinite	10-50 yrs	3-10 yrs	3-40 yrs	3-50 yrs								
<i>In millions</i>													
Historical Cost													
Beginning of year	\$ 2,210	\$ 27,243	\$ 3,345	\$ 4,790	\$ 1,240	\$ 38,828	\$ 372	\$ 15,105	\$ 1,690	\$ 1,339	\$ 18,506	\$ 57,334	\$ 52,528
Additions	166	1,834	345	508	151	3,004	10	1,228	122	23	1,383	4,387	5,125
Transfers and adjustments ^(h)	-	15	(9)	(40)	43	9	15	2	(1)	-	16	25	(5)
Disposals including write-downs	(18)	(59)	(58)	(85)	(4)	(224)	-	-	-	-	-	(224)	(314)
	2,358	29,033	3,623	5,173	1,430	41,617	397	16,335	1,811	1,362	19,905	61,522	57,334
Accumulated Amortization													
Beginning of year	-	9,508	2,205	2,929	687	15,329	201	3,729	390	347	4,667	19,996	18,584
Amortization expense	-	668	309	377	99	1,453	9	323	38	18	388	1,841	1,706
Transfers and adjustments	-	-	(4)	3	10	9	4	-	-	-	4	13	(18)
Effect of disposals including write-downs	-	(28)	(50)	(78)	(2)	(158)	-	-	-	-	-	(158)	(276)
	-	10,148	2,460	3,231	794	16,633	214	4,052	428	365	5,059	21,692	19,996
Net Book Value at March 31, 2012	\$ 2,358	\$ 18,885	\$ 1,163	\$ 1,942	\$ 636	\$ 24,984	\$ 183	\$ 12,283	\$ 1,383	\$ 997	\$ 14,846	\$ 39,830	
Net Book Value at March 31, 2011	\$ 2,210	\$ 17,735	\$ 1,140	\$ 1,861	\$ 553	\$ 23,499	\$ 171	\$ 11,376	\$ 1,300	\$ 992	\$ 13,839		\$ 37,338

(a) Land includes land acquired for parks and recreation, building sites, infrastructure and other program use. It does not include land held for resale or Crown lands acquired by right.

(b) Construction in progress includes \$295 million financed under the Alberta School Alternative Procurement Initiative (2011: \$143 million). The cost of buildings under capital lease is \$176 million (2011: \$129 million).

(c) Equipment includes SuperNet, vehicles, heavy equipment, fire protection equipment, office equipment and furniture, and other equipment.

(d) Other tangible capital assets include leasehold improvements (amortized over the life of the lease), rail cars and trailers.

(e) Land improvements include parks development and grazing reserves.

(f) Provincial highways and roads consist of original pavement, roadbed, drainage works and traffic control devices, and include secondary highways and bridges and some key arterial roadways within cities. Included in these numbers are \$1,421 million in historical cost (2011: \$1,252 million) and \$46 million in accumulated amortization (2011: \$29 million) for alternatively financed capital assets. The additions to work in progress related to new highway construction under Public Private Partnerships is \$211 million (2011: \$432 million).

(g) Dams and water management structures include dams, reservoirs, weirs, canals, dikes, ditches, channels, diversions, cut-offs, pump houses and erosion protection structures.

(h) Transfers and adjustments relate to post secondary institutions for accounting policy alignments and reclassifications between capital asset categories.

	2012	2011	Expiry Date
	<i>In millions</i>		
<i>Feeder Associations Guarantee Act</i>	\$ 45	\$ 42	Ongoing
<i>Agriculture Financial Services Act</i>	6	8	Ongoing
<i>Alberta Housing Act</i>	-	9	2011
<i>Student Loan Act</i>	2	4	Ongoing
	53	63	
Less estimated liability			
Guarantees	-	2	
	\$ 53	\$ 61	

Authorized loan guarantee limits are shown below where applicable. Where authorized loan guarantee limits are not noted, the authorized limits decline as guaranteed or indemnified loans are repaid.

Guarantee programs under the following Acts are ongoing:

- *Feeder Associations Guarantee Act* (authorized guarantee limit set by Order in Council is \$55 million),
- *Agriculture Financial Services Act*, and
- *Student Loan Act*.

The lender takes appropriate security prior to issuing to the borrower a loan which is guaranteed by the Province. The security taken depends on the nature of the loan. Interest rates are negotiated with the lender by the borrower and typically range from prime to prime plus 2%.

The financial statements of the following entities are fully consolidated in these financial statements:

GOVERNMENT SECTOR ENTITIES**Offices of the Legislative Assembly**

Support to the Legislative Assembly
Office of the Auditor General
Office of the Ombudsman
Office of the Chief Electoral Officer
Office of the Ethics Commissioner
Office of the Information and Privacy Commissioner
Office of the Child and Youth Advocate ^(a)

Departments ^(b)

Advanced Education and Technology
Agriculture and Rural Development
Culture and Community Services
Education
Energy
Environment and Water
Executive Council
Finance
Health and Wellness
Human Services
Infrastructure
Intergovernmental, International and Aboriginal Relations
Justice
Municipal Affairs
Seniors
Service Alberta
Solicitor General and Public Security
Sustainable Resource Development
Tourism, Parks and Recreation
Transportation
Treasury Board and Enterprise

Regulated Funds

Access to the Future Fund
Alberta Cancer Prevention Legacy Fund
Alberta Heritage Foundation for Medical Research Endowment Fund

Regulated Funds (continued)

Alberta Heritage Savings Trust Fund
Alberta Heritage Scholarship Fund
Alberta Heritage Science and Engineering Research Endowment Fund
Alberta Lottery Fund
Alberta Risk Management Fund
Alberta School Foundation Fund
Climate Change and Emissions Management Fund
Environmental Protection and Enhancement Fund
Historic Resources Fund
Land Stewardship Fund
Post-closure Stewardship Fund
Provincial Judges and Masters in Chambers Reserve Fund
Supplementary Retirement Plan Reserve Fund
Victims of Crime Fund

Provincial Agencies

Agriculture Financial Services Corporation
Alberta Capital Finance Authority
Alberta Enterprise Corporation
Alberta Foundation for the Arts
Alberta Historical Resources Foundation
Alberta Innovates - Bio Solutions
Alberta Innovates - Energy and Environment Solutions
Alberta Innovates - Health Solutions
Alberta Innovates - Technology Futures
Alberta Investment Management Corporation
Alberta Livestock and Meat Agency
Alberta Local Authorities Pension Plan Corp.
Alberta Pensions Services Corporation
Alberta Petroleum Marketing Commission
Alberta Securities Commission
Alberta Social Housing Corporation
Alberta Sport, Recreation, Parks and Wildlife Foundation
Alberta Utilities Commission
Calgary and Area Child and Family Services Authority
Central Alberta Child and Family Services Authority
East Central Alberta Child and Family Services Authority
Edmonton and Area Child and Family Services Authority
Energy Resources Conservation Board

Provincial Agencies (continued)

Human Rights Education and Multiculturalism Fund
Metis Settlements Child and Family Services Authority
Natural Resources Conservation Board
North Central Alberta Child and Family Services Authority
Northeast Alberta Child and Family Services Authority
Northwest Alberta Child and Family Services Authority
Persons with Developmental Disabilities Calgary Region Community Board
Persons with Developmental Disabilities Central Region Community Board
Persons with Developmental Disabilities Edmonton Region Community Board
Persons with Developmental Disabilities Northeast Region Community Board
Persons with Developmental Disabilities Northwest Region Community Board
Persons with Developmental Disabilities South Region Community Board
Southeast Alberta Child and Family Services Authority
Southwest Alberta Child and Family Services Authority
The Government House Foundation
The Wild Rose Foundation
Travel Alberta

Government Organizations

Alberta Insurance Council
Gainers Inc.
N.A. Properties (1994) Ltd.
Safety Codes Council

CROWN-CONTROLLED SUCH SECTOR ORGANIZATIONS**School Jurisdictions and Charter Schools**

Almadina School Society
Aspen View Regional Division No. 19
Aurora School Ltd.
Battle River Regional Division No. 31
Black Gold Regional Division No. 18
Boyle Street Education Centre
Buffalo Trail Public Schools Regional Division No. 28
Calgary Arts Academy Society
Calgary Girls' School Society
Calgary Roman Catholic Separate School District No. 1
Calgary School District No. 19
Calgary Science School Society

School Jurisdictions and Charter Schools (continued)

Canadian Rockies Regional Division No. 12
CAPE-Centre for Academic and Personal Excellence Institute
Cardiff Roman Catholic Separate School District No. 684
Chinook's Edge School Division No. 73
Christ the Redeemer Catholic Separate Regional Division No. 3
Clearview School Division No. 71
Cunningham Roman Catholic Separate School District No. 704
East Central Alberta Catholic Separate Schools Regional Division No. 16
East Central Francophone Education Region No. 3
Edmonton Catholic Separate School District No. 7
Edmonton School District No. 7
Elk Island Catholic Separate Regional Division No. 41
Elk Island Public Schools Regional Division No. 14
Evergreen Catholic Separate Regional Division No. 2
Foothills School Division No. 38
Fort McMurray Public School District No. 2833
Fort McMurray Roman Catholic Separate School District No. 32
Fort Vermilion School Division No. 52
Foundations for the Future Charter Academy Charter School Society
Golden Hills School Division No. 75
Grande Prairie Roman Catholic Separate School District No. 28
Grande Prairie School District No. 2357
Grande Yellowhead Public School Division No. 77
Grasslands Regional Division No. 6
Greater North Central Francophone Education Region No. 2
Greater Southern Public Francophone Education Region No. 4
Greater Southern Separate Catholic Francophone Education Region No. 4
Greater St. Albert Catholic Regional Division No. 29
High Prairie School Division No. 48
Holy Family Catholic Regional Division No. 37
Holy Spirit Roman Catholic Separate Regional Division No. 4
Horizon School Division No. 67
Lakeland Roman Catholic Separate School District No. 150
Lethbridge School District No. 51
Living Waters Catholic Regional Division No. 42
Livingstone Range School Division No. 68
Medicine Hat Catholic Separate Regional Division No. 20
Medicine Hat School District No. 76

School Jurisdictions and Charter Schools (continued)

Mother Earth's Children's Charter School Society
New Horizons Charter School Society
Northern Gateway Regional Division No. 10
Northern Lights School Division No. 69
Northland School Division No. 61
Northwest Francophone Education Region No. 1
Palliser Regional Division No. 26
Parkland School Division No. 70
Peace River School Division No. 10
Peace Wapiti School Division No. 76
Pembina Hills Regional Division No. 7 (including Alberta Distance Learning Centre)
Prairie Land Regional Division No. 25
Prairie Rose School Division No. 8
Red Deer Catholic Regional Division No. 39
Red Deer Public School District No. 104
Rocky View School Division No. 41
St. Albert Protestant Separate School District No. 6
St. Paul Education Regional Division No. 1
St. Thomas Aquinas Roman Catholic Separate Regional Division No. 38
Sturgeon School Division No. 24
Suzuki Charter School Society
Valhalla School Foundation
Westmount Charter School Society
Westwind School Division No. 74
Wetaskiwin Regional Division No. 11
Wild Rose School Division No. 66
Wolf Creek School Division No. 72

Post Secondary Institutions

Alberta College of Art and Design
Athabasca University
Banff Centre
Bow Valley College
Grande Prairie Regional College
Grant MacEwan University
Keyano College
Lakeland College
Lethbridge College
Medicine Hat College

Post Secondary Institutions (continued)

Mount Royal University
NorQuest College
Northern Alberta Institute of Technology
Northern Lakes College
Olds College
Portage College
Red Deer College
Southern Alberta Institute of Technology
University of Alberta
University of Calgary
University of Lethbridge

Alberta Health Services and Other Health Entities

Alberta Cancer Foundation
Alberta Health Services
Calgary Health Trust
Health Quality Council of Alberta

The following organizations are accounted for on the modified equity basis in these financial statements:

Government Business Enterprises

Alberta Gaming and Liquor Commission
ATB Financial
Credit Union Deposit Guarantee Corporation

- (a) On April 1, 2012 the Alberta Child and Youth Advocate Act was proclaimed into force for the 2012-13 fiscal year and will make the Child and Youth Advocate an Officer of the Legislative Assembly. Previously, many of the activities of the Advocate were the responsibility of the Ministry of Human Services.
- (b) On May 8, 2012, the government announced new ministry structures. Since the 2011-12 fiscal year was completed prior to this announcement, the ministry structure in this schedule is based on what was in existence at March 31, 2012.

GLOSSARY

Absolute return strategies: Absolute return strategies (hedge funds) encompass a wide variety of investments with the objective of realizing positive returns regardless of the overall market direction. A common feature of many of these strategies is buying undervalued securities and selling short overvalued securities. Some of the major types of strategies include long/short equity, merger arbitrage, fixed income arbitrage, macroeconomic strategies, convertible arbitrage, distressed securities and short selling.

Accrued interest: Interest income that has been earned but not paid in cash at the financial statement date.

Alternative investments: Investments considered outside of the traditional asset class of stocks, bonds and cash. Examples include hedge funds, private equities, private income, timberland and asset-backed commercial paper.

Amortized cost: Amortized cost is the amount at which a financial asset or a financial liability is measured at initial recognition minus principal repayments, plus or minus the cumulative amortization using the effective interest method of any difference between that initial amount and the maturity amount, and minus any reduction (directly or through the use of an allowance account) for impairment or uncollectibility.

Ask price: The price a seller is willing to accept for a security, also known as the offer price.

Asset mix: The percentage of an investment fund's assets allocated to major asset classes (for example 50% equities, 30% interest-bearing securities and 20% inflation sensitive and alternative investments).

Bid price: The price a buyer is willing to pay for a security.

Call provision: An option included in a bond that gives the bond issuer the right to buy back all or part of a bond issue prior to maturity.

Cash equivalents: Cash equivalents are short term, highly liquid investments that are readily convertible to known amounts of cash and that are subject to insignificant risk of changes in value. Cash equivalents are held for the purpose of meeting short term cash commitments rather than for investing or other purposes.

Counterparty risk: The risk that the other party in an agreement will default.

Credit risk: The risk that one party to a financial instrument will cause a financial loss for the other party by failing to discharge an obligation.

Currency risk: The risk that the fair value or future cash flows of a financial instrument will fluctuate because of changes in foreign exchange rates.

Debenture: A financial instrument showing a debt where the issuer promises to pay interest and repay the principal by the maturity date. It is usually unsecured, meaning there are no liens or pledges on specific assets.

Debt servicing cost: Debt servicing costs consists of interest paid on various forms of government debt.

Deferred capital contribution: An organization, which follows the deferral method of accounting, has a deferred capital contribution when an external party or a government sector entity contributes funds to the organization for the purchase of a tangible capital asset and the asset has not been purchased at the financial statement date. When the asset is purchased, the amount contributed is transferred to an account called unamortized deferred capital contributions.

Deferred contribution: An organization, which follows the deferral method of accounting, has a deferred contribution when an external party contributes funds to the organization for a specific purpose (other than for a capital item) and the funds remain unspent at the financial statement date. When the funds are used for the specific purpose, the contribution is recognized as revenue.

Defined benefit pension plan: A pension plan that specifies either the benefits to be received by an employee, or the method of determining those benefits, such as a pension benefit equal to two percent of the average of the five highest consecutive years' salary times the total years of service.

Derecognition: The removal of previously recognized financial assets or financial liabilities from a government's statement of financial position.

Derivative contract: Financial contracts, the value of which is derived from the value of underlying assets, indices, interest rates, or currency rates. They usually give rise to a financial asset of one party and a financial liability or equity instrument of another party, require no initial net investment, and are settled at a future date.

Discount: The difference between the price paid for a security and the security's par or face value. Because price fluctuates with interest rates, price will differ from the face value. For example, if interest rates are higher than the coupon rate, then the security is sold at a discount.

Emerging market: An economy in the early stages of development, with markets of sufficient size and liquidity, and receptive to foreign investment.

Endowment funds: Endowment funds generally are established by donor gifts and bequests to provide a permanent endowment, which is to provide a permanent source of income, or a term endowment, which is to provide income for a specified period. The endowments may or may not be restricted in how they are used.

Fair value: The amount of consideration agreed upon in an arm's length transaction between knowledgeable, willing parties who are under no compulsion to act. Fair value is similar to market value.

Financial asset: An asset that could provide resources to pay liabilities or finance future operations. A financial asset could be cash, a right to receive cash or another financial asset from another party, a right to exchange financial instruments with another party under conditions that are potentially favourable, or equity of another entity.

First-in, first-out: A method of valuing inventory where the cost of the first goods purchased or acquired is the cost assigned to the first goods sold. Therefore, the cost allocated to the inventory items on hand at the end of the period is the cost of those items most recently acquired.

Fixed income instrument: Interest bearing instrument that provides a return in the form of fixed periodic payments and eventual return of principal at maturity, or money market instrument such as treasury bills and discount notes.

Floating rate: An interest rate that is reset periodically, usually every couple of months or sometimes daily.

Hedging: An activity designed to manage exposure to one or more risks. When management designates a hedging relationship, it must identify the specific items included in the hedging relationship, the risk that is being hedged, and the period over which the hedging relationship is intended to be effective. The designation of the hedging relationship is documented formally in the entity's records when designation occurs.

Interest rate risk: The risk that the fair value or future cash flows of a financial instrument will fluctuate because of future changes in market interest rates.

Leveraging: The use of various financial instruments or borrowed capital to increase the potential return of an investment.

Liquidity: The ease with which an asset can be turned into cash and the certainty of the value it will obtain.

Market risk: The risk that the fair value or future cash flows of a financial instrument will fluctuate because of future changes in market prices.

Net realizable value: The selling price less the estimated costs of completion and costs necessary to make the sale.

Par value: A value set as the face or principal amount of a security, typically expressed as multiples of \$100 or \$1,000. Bondholders receive par value for their bonds at maturity.

Prepaid expenses: An expenditure that is paid for in one accounting period, but which will not be entirely consumed until a future period. Consequently, it is carried on the Consolidated Statement of Financial Position as an asset until it is consumed.

Present value: Today's value of one or more future cash payments, determined by discounting the future cash payments using interest rates.

Private equity: An ownership interest in a privately held company.

Public equity: An ownership interest in a publicly traded company.

Public private partnership (P3): A legally-binding contract between the Province and one or more public or private partners for the provision of assets and the delivery of services that allocates responsibilities and business risks among the various partners.

Realized gains and losses: Gains or losses are realized when investments are sold at a price over or below its book value and selling costs.

Refinancing risk: The risk that the fair value or future cash flows of a financial instrument will fluctuate due to refinancing.

Repurchase agreement (Repo): An agreement between two parties whereby one party sells the other a security at a specified price with a commitment to buy the security back at a later date for another specified price.

Segment: A distinguishable activity or group of activities of a government for which it is appropriate to separately report financial information to help users of the financial statements identify the resources allocated to support the major activities of the government.

Temporary loss: Determining when a loss is other than temporary is a matter of judgment, but it is generally presumed if a condition indicating a loss in value has persisted for a period of three or four years.

Unamortized deferred capital contribution: Once an organization, which follows the deferral method of accounting, uses contributed funds to purchase a tangible capital asset, the amount contributed is transferred to an account called unamortized deferred capital contributions. As the tangible capital asset is amortized, the contribution is recorded as revenue.

Unmatured debt: Unredeemed Government securities that have not matured and that are issued in respect of money raised under section 56(1) of the Financial Administration Act, and the total outstanding borrowings of Alberta Social Housing Corporation.

Yield curve: A graphic line chart that shows interest rates at a specific point for all securities having equal risk, but different maturity dates.

Measuring Up

Progress Report on the
Government of Alberta Strategic Plan

Annual Report
2011-2012

Alberta 

This is the report to Albertans on ***Budget 2011: Building a Better Alberta***. It is a permanent public record of the dollars spent and the results achieved by the Government of Alberta for the 2011-12 fiscal year.

The Government of Alberta Annual Report consists of two parts:

- ***Measuring Up***, which reports on the progress that has been made towards achieving the government's goals.
- ***Consolidated Financial Statements***, which provide an overall accounting of the government's revenue and spending, and assets and liabilities. The *Consolidated Financial Statements* are published in a separate document.

Annual reports for each ministry have also been published, providing additional detailed information on performance and financial results.



www.alberta.ca

	<i>Measuring Up</i>	<i>Consolidated Financial Statements</i>
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ACCOUNTABILITY STATEMENT

The *Measuring Up* component of the government's Annual Report for the year ended March 31, 2012 was prepared under my direction on behalf of the government in accordance with the *Government Accountability Act* and the government's accounting policies. All of the government's policy decisions as at June 15, 2012 with material economic or fiscal implications have been considered in the preparation of the Annual Report.

[Original signed by Doug Horner]

Doug Horner
President of Treasury Board and Minister of Finance

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MESSAGE FROM THE PREMIER OF ALBERTA

Alberta is a unique place to live, with tremendous opportunities for individuals, families and businesses. Albertans' resourcefulness, optimism and confidence are at the core of our success. Our shared values, combined with knowledge and resources provide the foundation for government to plan and deliver the services Albertans desire.

Albertans have the chance each year to see how the government is doing by looking at the results in *Measuring Up*. It compares performance measure results to specific targets, showcasing achievements and areas where we can do better.

The initiatives highlighted in *Measuring Up* under each of the government's five goals collectively tell a story that we can be proud of as Albertans. It is the story of a province that puts its people first, whether in health care, education or support for the vulnerable. It is a story of a province that is committed to responsible energy development and a clean and healthy environment.

We are a province that thrives on innovation, a skilled workforce, and an economy that continues to diversify and build networks nationally and internationally, while maintaining local advantages for business and industry. This work, along with investments in key infrastructure, will position Alberta to continue its success.

Most importantly, we are a province that steps up and takes action in times of need. This was especially true with the human effort and resources that went into the response to the wildfire in the Slave Lake region and recovery that followed. I am especially proud of the spirit and resilience of the people who endured this tragedy, the professionalism and compassion of those who came to their rescue and fought the fires, and the hundreds of Albertans who took people in and provided encouragement and charitable support.

The Government of Alberta will continue to build on past achievements and measure our success, while finding ways to improve and do things differently. We will do this by continuing to listen to Albertans and talking about what matters. We will focus on the right priorities, move forward and continue to do great things.

[Original signed by Alison Redford]

Alison Redford
Premier of Alberta

MANAGEMENT'S RESPONSIBILITY FOR REPORTING

Responsibility for the integrity and objectivity of the non-financial performance results reported in the province's annual performance report *Measuring Up*, a component of the Province of Alberta Annual Report, rests with the government. *Measuring Up* is prepared by the Controller under the general direction of the Deputy Minister of Treasury Board and Enterprise as authorized by the President of the Treasury Board and Enterprise pursuant to Section 10 of the *Government Accountability Act*.

Under Section 10, the government must prepare and make public on or before June 30 of each year a consolidated annual report for the Province of Alberta for the fiscal year ended on the preceding March 31. The annual report must include a comparison of the actual performance results to the targets included in the government business plan and an explanation of any significant variances. As required by the *Government Accountability Act*, *Measuring Up* is published with the consolidated annual report of the Government of Alberta that forms part of the Public Accounts.

In order to meet government reporting requirements, the Controller obtains performance results relating to each ministry as necessary. Deputy heads in each ministry are responsible for maintaining management and internal control systems to ensure that the information provided by their ministry for presentation in *Measuring Up* is prepared in accordance with the following criteria:

- ♦ Reliability - information used in applying performance measure methodologies agrees with underlying source data for the current and prior years' results.
- ♦ Understandability - the performance measure methodologies and results are presented clearly.
- ♦ Comparability - the methodologies for performance measure preparation are applied consistently for the current and prior years' results.
- ♦ Completeness - goals, performance measures and related targets match those included in Budget 2011.

Measuring Up is reviewed by the Audit Committee, which is established under the *Auditor General Act*. The Audit Committee advises the Lieutenant Governor in Council on the scope and results of the Auditor General's audit of *Measuring Up*. The Auditor General of Alberta provides an independent report on the verification of completeness, reliability, comparability and understandability of 12 of 30 performance measures published in *Measuring Up*, which are prepared by the government. The 12 audited performance measures are identified in *Measuring Up* with (audited). Annually, *Measuring Up* is tabled in the Legislature as a part of the Public Accounts and is referred to the Standing Committee on Public Accounts of the Legislative Assembly.

Performance measures for each goal were selected for audit based on a combination of characteristics including: best represented the goal and mandated initiatives; had well established methodology and reporting of data; and had outcomes over which the government had a greater degree of influence.

[Original signed by Annette Trimbee]

Annette Trimbee
Deputy Minister of Treasury Board and Finance
June 20, 2012

READERS' GUIDE

Measuring Up is part of the Alberta government's commitment to be open and accountable to the people of Alberta. It endeavours to go beyond the reporting of financial information by answering the questions: what did the government achieve with the dollars spent; did the government do what it said it was going to do; and did the government make progress toward achieving its goals?

Answering these questions is accomplished by comparing the results of performance measures to targets and reporting on progress made on strategies identified in the five goals of the *2011-14 Government of Alberta Strategic Plan*.

Measuring Up includes detailed results analysis by goal, a performance measures section which includes the Auditor's Report, a one page performance report table for each goal and sources and notes.

In addition to the information presented in *Measuring Up*, a detailed performance measures methodology can be found in Supplementary Information Measuring Up – unaudited at www.alberta.ca.

WORKING TOGETHER

The Alberta Public Service works innovatively, efficiently and effectively to achieve the five goals as well as supporting the ten core businesses to ensure the best possible outcomes for Albertans. The Alberta Public Service Workforce Plan ensures that government has a skilled workforce with the capacity to meet changing business needs and to continue to provide high quality programs and services. In 2011-12, the government worked together to support employee growth and development, provide a quality work environment for employees and position the Government of Alberta as an attractive employer for current and potential employees to ensure a strong public service that can deliver on government priorities.

A shared vision and set of values continues to guide the work of the public service and provide a foundation for how members of the public service work. These common values are a foundation for how members of the public service work with each other, with public and private sector partners, and with Albertans.

Further information on work undertaken in 2011-12 to ensure the Government of Alberta has skilled employees to meet current and future needs is available in the final report on the Alberta Public Service Workforce Plan available on the Corporate Human Resources website www.chr.alberta.ca.



Auditor's Report

To the Members of the Legislative Assembly

I have audited the performance measures identified as “audited” in the “Performance Measures by Goal” section on pages 5 - 9 of the Government of Alberta’s *Measuring Up Annual Report 2011-12*. The audited performance measures are the responsibility of the Government of Alberta and are prepared on its behalf by the Ministry of Treasury Board and Finance’s management in accordance with the following criteria:

- Reliability – information used in applying performance measure methodologies agrees with underlying source data for the current and prior years’ results.
- Understandability – the performance measure methodologies and results are presented clearly.
- Comparability – the methodologies for performance measure preparation are applied consistently for the current and prior years’ results.
- Completeness – goals, performance measures and related targets match those included in Budget 2011.

My responsibility is to express an opinion on the reliability, understandability, comparability and completeness of these performance measures based on my audit. My audit was not designed to assess the relevance and sufficiency of the audited performance measures in demonstrating Government of Alberta progress towards the related goals.

I conducted my audit in accordance with Canadian generally accepted auditing standards. Those standards require that I plan and perform an audit to obtain reasonable assurance whether the audited performance measures are free of material misstatement. An audit includes examining, on a test basis, evidence supporting these performance measures. An audit also includes assessing the principles used and the significant judgments made by management, as well as evaluating the overall presentation of the audited performance measures.

In my opinion, the audited performance measures in the “Performance Measures by Goal” section of the Government of Alberta’s *Measuring Up Annual Report 2011-2012* present fairly, in all material respects, results in accordance with the criteria of reliability, understandability, comparability, and completeness as described above.

[Original signed by Merwan N. Saher, FCA]

Auditor General

June 20, 2012

Edmonton, Alberta

PERFORMANCE MEASURES BY GOAL

Goal 1 – Resourceful. Responsible – Ensure Alberta’s energy resources are developed in an environmentally sustainable way.

Goal One Performance Measures (audited)	Targets 2011-12	Previous Results	Current Results	Trend → 3 - 5 Years (unaudited)
River Water Quality Index (see note 1) Water quality of six major Alberta rivers at key sites, based on data on four groups of variables (metals, bacteria, nutrients and pesticides), which are averaged to provide an overall water quality rating.	Six out of six river systems have good to excellent water quality	Five out of six river systems have good to excellent water quality (2009-10)	Five out of six river systems have good to excellent water quality (2010-11)	
Municipal Solid Waste to Landfills (see note 2) Municipal solid waste disposed of in landfills as measured in kilograms of waste per capita.	700 kg	738 kg (2010)	738 kg (2011)	
Goal One Performance Measures (unaudited)				
Air Quality Index (see note 3) Quality of Alberta’s air based on five major pollutants: carbon monoxide, nitrogen dioxide, ozone, sulphur dioxide, and fine particulate matter.	*	Good air quality days 93% of the time (2010)	Good air quality days 95% of the time (2011)	No trend
Total Greenhouse Gas Emissions (see note 4) Success in meeting the greenhouse gas emissions growth targets measured in million tonnes of CO ₂ equivalent as outlined in <i>Alberta’s 2008 Climate Change Strategy</i> .	246	234 (2009)	233 (2010)	

* The methodology has been enhanced and therefore results are no longer comparable to the target.

Notes:

Calendar years are presented, for example, as 2011; fiscal years are presented, for example, as 2011-12.

The numbered note references in the tables refer to the Sources and Notes section on pages 57 to 63 which summarizes the methodologies and data sources for each of the performance measures.

For full methodology, refer to Supplementary Information Measuring Up – unaudited, online at www.alberta.ca.

Goal 2 – A Healthy Approach – Increase access to quality health care and improve the efficiency and effectiveness of health care service delivery.

Goal Two Performance Measures (audited)	Targets 2011-12	Previous Results	Current Results	Trend → 3 - 5 Years (unaudited)
Ease of Access to Services (see note 5)				
Rating as easy or very easy:				
Physician Services	83%	77%	80%	
Emergency Department Services	65%	59% (2010-11)r	52% (2011-12)r	
Public Rating of Health System Overall (see note 6)				
Rating as excellent or good.	73%	64% (2010-11)r	63% (2011-12)r	
Goal Two Performance Measures (unaudited)				
Satisfaction with Health Care Services Received (see note 7)				
Percentage of Albertans satisfied or very satisfied with health care services personally received in Alberta within the past year.	65%	67% (2010-11)	62% (2011-12)	
Continuing Care (see note 8)				
Number of persons waiting in an acute care hospital bed for continuing care.	375	471 (2010-11)	467 (2011-12)	
Number of persons waiting in the community for continuing care.	900	1,110 (2010-11)	1,002 (2011-12)	
Quality of accommodation services in supportive living and long-term care facilities, as indicated by the percentage of facilities reviewed that meet provincial standards:				
Group Homes	90%	82%	87%	No trend
Assisted Living	95%	86%	89%	
Lodges	98%	82%	94%	
Long-term Care	80%	70% (2010-11)	75% (2011-12)	

r – revised. Current and historical results are based on fiscal year, not calendar year. Previous Measuring Up reports stated these results by calendar year.

Notes:

Calendar years are presented, for example, as 2011; fiscal years are presented, for example, as 2011-12.

*Current and historical results are now based on fiscal year data, not calendar year data. Previous Measuring Up reports stated these results as calendar year results.

The numbered note references in the tables refer to the Sources and Notes section on pages 57 to 63 which summarizes the methodologies and data sources for each of the performance measures.

For full methodology, refer to Supplementary Information Measuring Up – unaudited, online at www.alberta.ca.

Goal 3 – Strong Communities – Promote strong and vibrant communities and reduce crime so Albertans feel safe.

Goal Three Performance Measures (audited)	Targets 2011-12	Previous Results	Current Results	Trend → 3 - 5 Years (unaudited)
Public Perception of Safety in the Neighbourhood (see note 9) Percentage of Albertans who feel reasonably safe to very safe walking alone in their area after dark.	82%	82% (2010-11)	82% (2011-12)	
Participation in the Arts (see note 10) Percentage of adult Albertans who participated in arts activities or events.	91.0%	89.5% (2010-11)	86.0% (2011-12)	
Affordable Housing Units (see note 11) Number of affordable housing units approved for development.	667	2,005r (2010-11)	1,212 (2011-12)	
Albertans' Satisfaction with their Local Governments (see note 12) Percentage somewhat satisfied to very satisfied.	80%	72% (2010-11)	77% (2011-12)	
Goal Three Performance Measures (unaudited)				
Support for Albertans with Developmental Disabilities (see note 13) Satisfaction of families/guardians of adults with developmental disabilities with Persons with Developmental Disabilities-funded services.	n/a*	85.3% (2010-11)	n/a*	
Social and Emotional Development (see note 14) Percentage of Alberta children demonstrating:				
Healthy social development	Maintain or improve Alberta's result relative to the national average	Alberta 84.5% Canada 82.6% (2008-09)	**	
Healthy emotional development		Alberta 83.2% Canada 83.8% (2008-09)	**	
Violent Crime Rate (see note 15) Rate of violent crime per 100,000 population.	1 per cent annual decrease	-2% 1,513 (2009)	-3% 1,476 (2010)	
Property Crime Rate (see note 16) Rate of property crime per 100,000 population.	3 per cent annual decrease	-7% 5,336 (2009)	-8% 4,908 (2010)	
Volunteerism (see note 17) Percentage of adult Albertans who volunteered in their community.	83.0%	72.3% (2010-11)	80.4% (2011-12)	
Support for Albertans with Low Incomes Who Need Temporary Help (see note 18) Percentage of participants employed after leaving income support.	70%	63% (2010-11)	64% 2011-12	

r – revised

* not applicable (biennial survey)

** The National Longitudinal Survey of Children and Youth was discontinued in 2010. The last results are for 2008-09.

Notes:

Calendar years are presented, for example, as 2011; fiscal years are presented, for example, as 2011-12.

The numbered note references in the tables refer to the Sources and Notes section on pages 57 to 63 which summarizes the methodologies and data sources for each of the performance measures.

For full methodology, refer to Supplementary Information Measuring Up – unaudited, online at www.alberta.ca.

Goal 4 – Creating Opportunity – Enhance value-added activity, increase innovation, and build a skilled workforce to improve the long-run sustainability of Alberta’s economy.

Goal Four Performance Measures (audited)	Targets 2011-12	Previous Results	Current Results	Trend → 3 - 5 Years (unaudited)
Labour Force Participation Rate (see note 19) Inter-provincial rank of the percentage of working age Albertans employed or actively looking for work.	Highest	Highest 72.9% (2010)	Highest 73.7% (2011)	
Aboriginal Employment (off reserve) (see note 20) Percentage point difference between the unemployment rate of Aboriginal people living off reserve and other Albertans.	7.0 percentage points or less	7.6 percentage points (2010)	5.8 percentage points (2011)	
Post-secondary Education Attainment Rate (see note 21) Percentage of Albertans age 25-64 who have completed post-secondary education.	62%	62% (2010-11)	61% (2011-12)	
Goal Four Performance Measures (unaudited)				
Labour Productivity (see note 22) Inter-provincial rank of real GDP in dollars per hour worked.	Highest	Highest	Highest	
Per cent growth (3-year moving average) in GDP per hour worked:				
Business Services	2.9%	1.9% (2010)	1.5% (2011)	
Manufacturing	0.5%	-0.4% (2010)	1.4% (2011)	
Manufacturing and Service Industry Investment (see note 23) The value of Alberta’s capital investment by the manufacturing and services sector in current dollars (annual percentage change).	\$10.5 billion +3%	\$11.1 billion -19.6% (2009)	\$10.2 billion -8.0% (2010)	
Manufacturing and Service Exports (see note 24) The value of Alberta’s international exports of manufactured goods and services in current dollars (annual percentage change).	\$28.9 billion +4%	\$29.5 billion +13.2% (2010)	\$31.8 billion +7.9% (2011)*	
Business Expenditures on Research and Development (see note 25) Alberta business expenditures on research and development.	\$1,220 million	\$1,539 million (2008)	\$1,449 million (2009)	
High School Completion Rate (see note 26) High school completion rate of students within five years of entering grade 10.	80.5%	79.0% (2009-10)	79.6% (2010-11)	

* Estimate. Services data is not available for 2011.

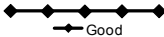
Notes:

Calendar years are presented, for example, as 2011; fiscal years are presented, for example, as 2011-12.

The numbered note references in the tables refer to the Sources and Notes section on pages 57 to 63 which summarizes the methodologies and data sources for each of the performance measures.

For full methodology, refer to Supplementary Information Measuring Up – unaudited, online at www.alberta.ca.

Goal 5 – Building Tomorrow – Provide the roads, schools, hospitals and other public infrastructure to meet the needs of a growing economy and population.

Goal Five Performance Measures (audited)	Targets 2011-12	Previous Results	Current Results	Trend → 3 - 5 Years (unaudited)
Physical Condition of Provincial Highways (see note 27)				
Good	56.0%	58.4%	58.6%	
Fair	27.5%	26.7%	26.8%	
Poor	16.5%	14.9%	14.6%	
		(2010-11)	(2011-12)	
Goal Five Performance Measures (unaudited)				
Physical Condition of Learning Facilities (see note 28)				
School Facilities:				
Good	*	n/a	61%	No trend
Fair		n/a	37%	
Poor		n/a	2%	
		(2010-11)	(2011-12)	
Post-secondary Facilities:				
Good	*	n/a	72%	No trend
Fair		n/a	23%	
Poor		n/a	5%	
		(2010-11)	(2011-12)	
Physical Condition of Government-owned and Operated Facilities (see note 29)				
Good	*	n/a	73%	No trend
Fair		n/a	26%	
Poor		n/a	1%	
		(2010-11)	(2011-12)	
Physical Condition of Health Facilities (see note 30)				
Good	*	n/a	77%	No trend
Fair		n/a	20%	
Poor		n/a	3%	
		(2010-11)	(2011-12)	

* The results for 2011-12 are not comparable against targets set under the previous methodology. Due to improvements made to the methodology that resulted in greater consistency in calculating the Facility Condition Index across learning, government-owned and health facilities, current results are not comparable to previous years' results.

Notes:

Calendar years are presented, for example, as 2011; fiscal years are presented, for example, as 2011-12.

The numbered note references in the tables refer to the Sources and Notes section on pages 57 to 63 which summarizes the methodologies and data sources for each of the performance measures.

For full methodology, refer to Supplementary Information Measuring Up – unaudited, online at www.alberta.ca.

RESULTS ANALYSIS BY GOAL

GOAL ONE

1

Resourceful. Responsible – Ensure Alberta's energy resources are developed in an environmentally sustainable way.

Managing and Protecting the Environment

Land-use Framework

Albertans, communities, governments and industry are coming together to develop shared outcomes and to plan activities to achieve social, economic and environmental goals. The central tool for this shared planning is the *Land-use Framework*, seven regional plans that set outcomes and objectives for each region in the province. Each plan begins with preliminary work, such as modeling and state-of-the-environment reports. Preliminary work and modeling has been completed on plans one and two – the Lower Athabasca Regional Plan and the South Saskatchewan Regional Plan. During 2011-12, government undertook preliminary work on the third regional plan, the North Saskatchewan Regional Plan.

To involve Albertans on the topic of property rights, in December 2011 and January 2012, a number of stakeholder meetings and open houses were held. More than 1,400 Albertans participated in the Property Rights Task Force consultations, the results of which are available on the government website. This consultation resulted in the Government of Alberta committing to: consistent, predictable and timely consultation; examination of the requirements to reclaim and remediate land, as well as removal of unused infrastructure; review of the legislation, regulation guidelines or principles related to compensation and property rights; and the creation of a property rights advocate. As government makes future development decisions, it must be certain that Albertans will have a strengthened sense that their property rights are respected.

Regional Advisory Councils

For each regional plan, the Government of Alberta appoints a Regional Advisory Council which is made up of Albertans with municipal, business, environmental, Aboriginal and other interests and

backgrounds. The council proposes a vision and makes recommendations as a basis for public, shared conversations on a 10-year strategic direction for economic, environmental and social outcomes and objectives. In developing the Lower Athabasca Regional Plan, government engaged approximately 10,000 Albertans over two years, including stakeholders, the general public, Aboriginal people and municipal governments. In April 2011, government released the draft plan and held additional public consultation. In August, it released an updated draft plan.

Government released the recommendations from the South Saskatchewan Regional Plan (SSRP) Regional Advisory Council in March 2011. In May 2011, government released the SSRP public consultation workbook on the council's advice. Stakeholders had until April 30, 2012, to complete the workbook and provide input into the regional plan.

Management Frameworks

Regional plans contain other tools which support decision-making and future planning. These include management frameworks which describe outcomes for air and surface and ground water for specific areas within regions. Management frameworks are a new approach to managing cumulative effects at a regional level. They describe outcomes, limits and thresholds for air and water within a specific area within a region and provide direction on scientific work, modeling tools and managing growth pressures. The province is implementing three management frameworks in the lower Athabasca region: air quality, groundwater and surface water quality for the lower Athabasca River, and updating the surface water quantity management framework.

Also in the Lower Athabasca Regional Plan, a biodiversity management framework and integrated watershed-based landscape plan are being developed, which will provide clear management direction to better address all aspects of public land use on a

Resourceful. Responsible – Ensure Alberta's energy resources are developed in an environmentally sustainable way.

complex landscape. The approach seeks to maintain the full range of services provided by healthy functional ecosystems, while supporting Aboriginal, community, industry, recreational, and other needs.

In 2011, a comprehensive air quality management framework and implementation platform were created for the Capital Region by stakeholders and government. Approximately 25 forums were held during this process. The framework complements the water management framework completed in 2007 and implementation is underway.

The government is drafting a surface water quality management framework for the Bow, Milk, Oldman and South Saskatchewan rivers in the South Saskatchewan region to protect and maintain water quality and support the *Water for Life* goals.

Land Use

The Public Lands Administration Regulation that came into force in September 2011, focuses on three key themes: land management, compliance and enforcement, and appeals and dispute resolution. The regulation provides updated tools and streamlined approval processes to better manage growing demands on the public land base, balance resource development with recreational use and access by Aboriginals, and meet positive environmental performance through defined conservation and stewardship outcomes.

Monitoring Alberta's Biodiversity

The Alberta Biodiversity Monitoring Institute (ABMI) supports regional planning under the *Land-use Framework* and other planning and decision-making by providing baseline conditions, indicators and coefficients for scenario modeling for regional planning efforts and biodiversity trend information, once plans are in place.

A status report on biodiversity in the South Saskatchewan Planning Region was released by the ABMI in late August 2011 to support planned stakeholder consultations prior to plan development. The ABMI uses a tool called the Intactness Index to report on the ecological health of Alberta. The index

ranges from 100 per cent intact to zero per cent intact, for example, an area with little evidence of human impact is 100 per cent intact; a downtown parking lot surrounded by big-box stores is zero per cent intact. ABMI reported that among 85 species of native birds, vascular plants and soil mites the average intactness was 54 per cent.

Sustainable Wildlife

In June 2011, A Woodland Caribou Policy for Alberta was released which reaffirms the Government of Alberta's commitment to threatened species. The policy highlights the need for a shared government, public and private sector conservation approach to ensure the long-term presence of naturally thriving woodland caribou populations in Alberta.

Water for Life

Under the *Water for Life* strategy, the Mighty Peace Watershed Alliance was designated as the official Watershed Planning and Advisory Council (WPAC) for the Peace/Slave river basin. Now all major watersheds in Alberta have a WPAC.

Government re-launched the *Water for Life* website in May 2011, with a new design focusing on the Water for Life Action Plan. The website highlights new and relevant information related to projects and actions under the action plan www.waterforlife.alberta.ca.

The Water for Life Progress Report was released in January 2012. The report covers the period from December 2008 to March 2011 and highlights a selection of the activities, programs and tools being pursued under the *Water for Life* strategy.

Innovative Solutions

Oil Sands Strategic Plan

Responsible Actions, Alberta's 20-year strategic plan to address environmental, social and economic issues and opportunities in the oil sands regions is progressing on target. Approximately 40 per cent of the plan's objectives will be completed by December 2012, 95 per cent by 2020 and 100 per cent by 2030.

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More than 50 projects are in progress to support the environment and Albertans' quality of life.

Oil Sands Information Portal

The province launched the Oil Sands Information Portal www.osip.alberta.ca in November 2011, a comprehensive online resource where the public can find detailed information on the environmental performance of Alberta's oil sands activities. The portal includes data on water use, greenhouse gas emissions and land disturbance and reclamation as well as an interactive map for key information on oil sands projects in near real-time or as reported, and a data library for detailed reports and data downloads.

As part of its on-going commitment to open data, the province is currently expanding the portal to include groundwater datasets, the Alberta Water Well Information Database, the Baseline Water Well Testing data, the Observation Well Network data and water quality data.

Tailings Management Framework for Oil Sands

Work is underway to establish a draft Tailings Management Framework for the mineable oil sands. The framework will provide guidance on managing tailings to provide assurance that fluid fine tailings will be reclaimed in a timely manner and that current tailings will be reduced.

Energy Efficiency

In April 2009, a three year, \$49.94 million energy efficiency incentive program was launched. The program was aimed at improving the energy efficiency of the residential sector; the program focused on such items as high efficiency furnaces, front-loading clothes washers, home insulation, high efficiency hot water systems, home energy audits, and new homes that achieved high energy efficiency ratings.

Since the launch of the program, more than 169,000 rebates have been issued to Albertans who have invested in energy efficient upgrades. These purchases will help to prevent more than 1.6 million tonnes of greenhouse gas emissions from entering the atmosphere over the 20 year life of the program.

Between 2010 and 2011, incentive programs targeted at commercial transportation and commercial lighting sectors were launched. Light It Right, a four million dollar lighting incentive program, offered commercial businesses lighting assessments and incentives for installing energy efficient lighting. Trucks of Tomorrow, a two million dollar program, offered incentives for commercial fleet operators to install energy efficient items, such as aerodynamic aids, auxiliary power units and anti-idling devices in their vehicles.

Government is developing an Energy Efficiency Policy Framework and Energy Efficiency Action Plan. The framework and action plan for energy efficiency are expected to be completed by the end of 2012 and pending approval, implementation will begin in 2013.

Alberta participated in the Federal/provincial/territorial Steering Committee on Energy Efficiency, implementing priority energy efficiency actions approved at the Energy and Mines Ministers Conference 2011. The committee works collaboratively to increase the contribution of energy efficiency within each jurisdiction through the sharing of information, resources and program design.

Hybrid Taxis

A consumer rebate grant agreement with Climate Change Central encouraged the uptake of hybrid taxis in 2011-12. Climate Change Central processed applications for 24 hybrid taxis which are expected to result in two and a half kilotonnes of greenhouse gas emissions reductions and one million litres of gasoline saved over the lifetime of the taxis.

Alberta's Greenhouse Gas Program

In 2011, 106 facilities were captured under the Alberta Specified Gas Emitters Regulation. This regulation applies to facilities that emit 100,000 tonnes of carbon dioxide equivalent or more per year. Emissions from these facilities under a regulation target totalled 108.3 million tonnes of carbon dioxide equivalent. Total emissions from these facilities account for about half of Alberta's total provincial emissions, and about

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70 per cent of total industrial emissions. Regulated facilities decreased emissions by 3.6 million tonnes from baseline levels. Of this amount, 2.5 million tonnes were reduced due to the use of co-generation, which is a more efficient way of generating heat and power. The rest was achieved through other efficiency and emissions abatement actions.

An additional compliance obligation of 10 million tonnes of carbon dioxide equivalent was met using other compliance options. Carbon offset credits (reduction from non-regulated facilities, quantified using government approved protocols), for example, accounted for 5.3 million tonnes and Emissions Performance Credit Retirement (credits from regulated facilities exceeding their reduction) accounted for one million tonnes.

Based on the 2011 result under the program, approximately 32.3 million tonnes of greenhouse gases have been prevented from going into the atmosphere since 2007 (compared to business-as-usual levels).

Every year, the province enters into a grant agreement with the Climate Change and Emissions Management Corporation and transfers money from the Climate Change and Emissions Management Fund to the Climate Change and Emissions Corporation. As of March 2012, payment into the Climate Change and Emissions Management Fund was 3.7 million tonnes (at a rate of \$15 per tonne) totalling \$55.4 million, which will be invested in climate change related projects in 2012.

Upstream Oil and Gas Processing

The province continued to lead a government-industry committee identifying fuel gas efficiencies in upstream oil and gas processing. Fuel gas usage in Alberta is significant at about one billion cubic feet per day, equivalent to the consumption of about three million homes. In 2011-12 the Energy Resources Conservation Board undertook a survey of fuel gas users, and received responses from companies representing 72 per cent of fuel gas use in Alberta. The survey results were published in the *Alberta Fuel Gas Efficiency in the Upstream Gas and Conventional Oil*

Industry Report released in March 2012. The report provides trends on fuel gas usage and a summary of the successes and challenges in reducing fuel gas use.

Streamlining Upstream Oil and Gas Approvals

The Enhanced Approval Process (EAP) continues to provide a transparent and efficient application system for issuing surface land dispositions for oil and gas development under authority of the *Public Lands Act*. The EAP helps ensure land and natural resource sensitivities are considered while also enabling energy related land-use activities. Dispositions within scope of the EAP are targeted for issuance in five business days when the applicant has satisfied standard submission requirements. In the past year, over 4,990 dispositions were approved; 97 per cent of standard applications in eight days or less and 89 per cent within five days.

Oil and Gas Development Enquiries

The Energy Resources Conservation Board launched an enhanced, toll-free Customer Contact Centre information line to act as a single point of contact for all of Alberta's oil and gas related inquiries. These enhancements came out of the government's Regulatory Alignment Project. The call-centre professionals are trained to assist callers on a variety of matters pertaining to oil and gas development in Alberta.

Conservation of Alberta's Oil and Gas Resources

The Energy Resources Conservation Board has issued Bulletin 2011-29, which advises of regulation amendments to change its well-spacing framework for conventional and unconventional oil and gas reservoirs. The changes promote enhanced conservation of Alberta's oil and gas resources.

Regulatory Enhancement Project

In March 2010, the report Energizing Investment: A Framework to Improve Alberta's Natural Gas and Conventional Oil Competitiveness set out a series of actions to improve Alberta's regulatory system for energy resource development. Energizing Investment also created a Regulatory Enhancement Task Force to

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oversee the actions and provide recommendations for improving the regulatory system. In June 2010, the task force completed its report, and shortly after, in January 2011, the Government of Alberta accepted the recommendations. Of the six recommendations, two became priorities. The first was to establish a new policy management office to ensure the integration of natural resource policies and provide an interface between policy development and policy assurance. During 2011-12, government established the Policy Management Office and developed the new regulatory body and accompanying legislation. The second was to establish a single regulatory body with responsibility for all regulatory functions associated with upstream oil and gas, oil sands and coal. The new body will issue authorizations, approvals and licences for these energy activities. It will also be responsible for all compliance associated with the approvals. It will integrate all regulatory activities and ensure consistencies of government policy.

Air Quality Management System for Canada

During 2011-12, Alberta played a lead role working with the federal/provincial/territorial governments and stakeholders to develop a new national Air Quality Management System for Canada. This system focuses on air quality and addresses all sources of pollution. It features collaboration among governments, transparent monitoring and reporting and strong stakeholder involvement. The Canadian Council of Ministers of the Environment will review and give final approval to the system this year.

Air Quality Health Index

The province collaborated with Environment Canada and Health Canada to develop the Air Quality Health Index (AQHI), which was launched in Alberta in July 2011. This new system, as before, assigns a number value to air quality, but now also includes health messaging for the general public and at-risk populations regarding exposure to outdoor air. The Weather Network, the Environment and Water and Environment Canada websites report the AQHI hourly. The AQHI is intended to be only used as a

tool to communicate air quality to the public. It is not intended to be used as a performance measure for air quality. Alberta's former Air Quality Index is based on Alberta's Ambient Air Quality Objectives and will continue to be used as Alberta's performance measure for air quality.

Carbon Capture and Storage

Carbon Capture and Storage (CCS) is the primary method that Alberta is using to meet its commitments to reduce greenhouse gas emissions and is a key pillar of Alberta's *2008 Climate Change Strategy* and *Provincial Energy Strategy*. In 2011-12, the province passed the *Carbon Sequestration Tenure Regulation*, which allows operators to obtain leases for large-scale storage and specifies what criteria must be included in a monitoring, measurement and verification plan. Throughout 2011-12 the province has been assessing the regulatory requirements that apply to CCS to determine their adequacy and recommending enhancements to the regulatory system. This undertaking involves over one hundred national and international stakeholders and will ensure that CCS is conducted in a safe and responsible manner in Alberta. The assessment is expected to be complete by the end of 2012.

In April 2011, the Government of Alberta and Swan Hills Synfuels signed a final funding agreement for a carbon capture and storage project which will tap into a deep, un-mineable coalbed near Swan Hills and turn the coal into a synthetic gas or syngas while underground. The syngas can then be used to generate electricity or be used as a feedstock for other petrochemical industries. Carbon dioxide that is captured during extraction of the syngas can be sequestered or used for enhanced oil recovery. This agreement is part of the provincial government's commitment to reduce greenhouse gas emissions through clean energy and CCS technologies. Two other funded projects, Shell Quest and Alberta Carbon Trunk Line, achieved planned milestones in 2011-12 and their owner companies applied for first payments from the CCS funding program.

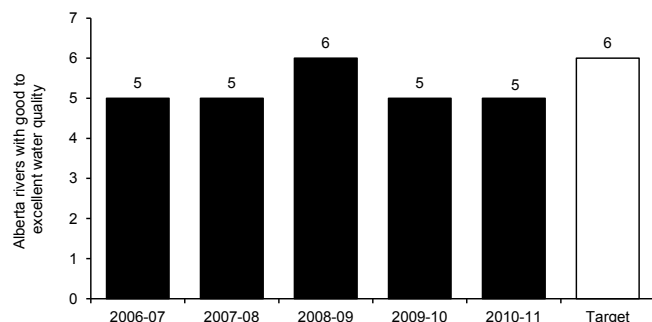
GOAL ONE **1** Resourceful. Responsible – Ensure Alberta's energy resources are developed in an environmentally sustainable way.

Performance Measures

Results Analysis

River Water Quality Index (see note 1)

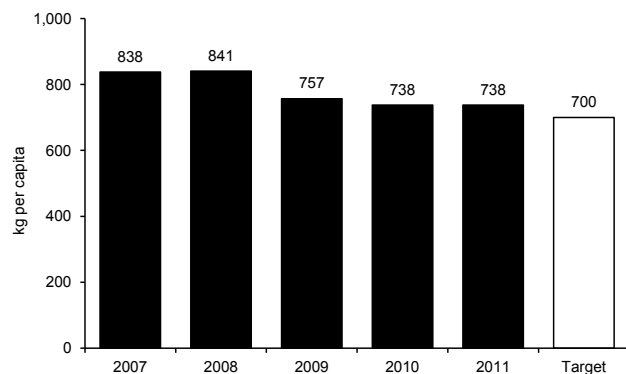
Water quality of six major Alberta rivers at key sites, based on data on four groups of variables (metals, bacteria, nutrients and pesticides), which are averaged to provide an overall water quality rating.



- ♦ In 2010-11, five of six river systems assessed as part of the Alberta River Water Quality Index demonstrated good to excellent water quality. This is slightly below the target.
- ♦ A significant rainfall event in July of 2010 likely contributed non-point source runoff to the Red Deer River. This led to an increase in the number and magnitude of water quality guideline exceedances at that time and resulted in lower River Water Quality Index rating at the downstream monitoring station.
- ♦ Alberta River Water Quality Index examines a very broad range of water quality parameters, many of which tend to fluctuate over time. Hence, a small level of inter-annual variability in index ratings is expected and typically observed.

Municipal Solid Waste to Landfills (see note 2)

Municipal solid waste disposed of in landfills as measured in kilograms of waste per capita.



- ♦ Municipal solid waste disposed of in landfills remained constant at 738 kilograms per capita in 2011.
- ♦ A number of factors can influence this measure including government or private sector waste reduction initiatives and the overall state of Alberta's economy.
- ♦ Aggressive and innovative approaches will be necessary in the coming years to reduce disposal. Diversion policies and programs for construction and demolition waste, packaging and printed materials, organic materials, and other key waste streams will be required in order to reach the waste disposal target.

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Performance Measures

Results Analysis

Air Quality Index (see note 3)

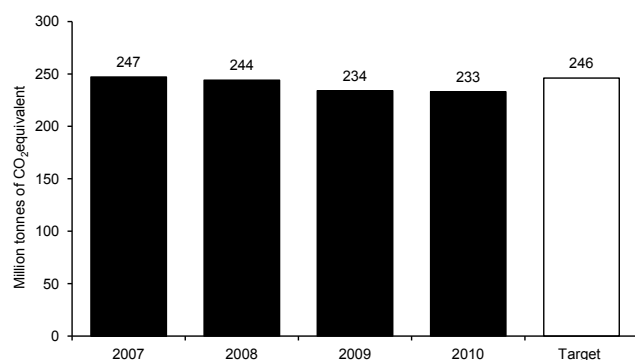
Quality of Alberta's air based on five major pollutants: carbon monoxide, nitrogen dioxide, ozone, sulphur dioxide, and fine particulate matter.

Air Quality	
Year	Good Days
2011	95%
2010	93%

- ♦ In 2011, Alberta had good air quality days occurring 95 per cent of the time, which is a two per cent increase from 2010.
- ♦ The results reflect less frequent wintertime smog and forest fire activity than 2010. The results also reflect the new monitoring technology implemented at air monitoring stations across Alberta which better accounts for total fine particulate matter concentration. The initiative is part of the improvements being made to the National Air Pollution Surveillance Network across Canada.
- ♦ The methodology for this measure has been enhanced and therefore results are no longer comparable to the target or historical results prior to 2010.

Total Greenhouse Gas Emissions (see note 4)

Success in meeting the greenhouse gas emissions growth targets measured in million tonnes of CO₂ equivalent as outlined in *Alberta's 2008 Climate Change Strategy*.



- ♦ The results for 2010 reflect improvement over the target.
- ♦ This is largely due to the economic slowdown experienced across many industrial sectors in the province.
- ♦ Key factors contributing to the more recent decrease in emissions include a slowdown in conventional oil and gas activity.
- ♦ The growth targets take into consideration the impact of the *Climate Change Strategy* and are lower than what was forecasted to occur in the absence of the strategy.

GOAL TWO **2** A Healthy Approach – Increase access to quality health care and improve the efficiency and effectiveness of health care service delivery.

Putting People First

5-year Health Action Plan

Three pilot family care clinics were developed and are operational in Edmonton, Calgary and Slave Lake in April 2012. The family care clinics are an innovative way to provide accessible, comprehensive primary health care services from the most appropriate health provider(s) in a timely manner.

A new Primary Care Network (PCN), the Wainwright PCN, was launched in April 2011. As of April 2012 there were 40 PCNs operating in the province, which included more than 2,500 family physicians providing primary health care to over 2.8 million Albertans.

Residency capacity in the Departments of Family Medicine at the Universities of Alberta and Calgary were increased in order to train additional family physicians. In March 2012, the University of Alberta allocated 41 per cent of its entry-level residency positions to family medicine (thus maintaining the 41 per cent allocation from March 2011), and the University of Calgary allocated 40 per cent of its entry-level positions to family medicine, an increase from 36 per cent in March 2011. Both universities continue to work towards allocating 45 per cent of entry-level postgraduate residency training positions to family medicine programs.

Addictions and Mental Health Strategy

Creating Connections: Alberta's Addiction and Mental Health Strategy was released in September 2011. The strategy sets the direction for addiction and mental health services in Alberta for the next five years and aims to reduce the prevalence of addiction, mental health problems and mental illness in Alberta through health promotion and prevention activities and the provision of quality assessment, treatment and supportive services when needed.

Continuing Care Strategy

Government has worked to reduce continuing care wait times through the implementation of the Continuing Care Strategy and expanding home care options and community capacity for supportive living.

In 2011-12, the province, through Alberta Health Services, provided continuing care services using innovative service delivery models. This includes standardizing home care and supportive living services, enhancing respite care services, and supporting emergency department programs to support seniors to return to the community with enhanced home care services.

In partnership with Alberta Health Services, government increased the available continuing care capacity in the province by 1,002 spaces to address the needs of an aging population. These spaces support the Government of Alberta's *Continuing Care Strategy: Aging in the Right Place* and span the spectrum of continuing care settings, including supportive living and long-term care spaces.

In addition to adding more spaces to the current supply, government also provided financial support for the development of future spaces. In 2011-12, \$67.0 million was approved in funding from the Affordable Supportive Living Initiative to support the development and upgrading of seniors accommodations throughout Alberta. This important funding will support the development of 665 affordable supportive living spaces and 30 long-term care spaces to help seniors and persons with disabilities remain in the communities where they feel at home.

A continuing care capacity demand planning model was created with Alberta Health Services to project capacity demand to 2030, based on population projections and current and projected disease prevalence.

Neighbours Helping Neighbours

Government concluded the Neighbours Helping Neighbours project in March 2012. Located in Edmonton and Jasper, it partnered volunteers with seniors or those with disabilities to help them with everyday tasks and keep them connected with their communities. A formal and comprehensive evaluation of the project has been completed, and government is studying the results to determine potential stakeholder partnerships and next steps.

Caregiver Support and Enhanced Respite Pilot Project

The Caregiver Support and Enhanced Respite Pilot Project was conducted in Edmonton. This project involved a comprehensive assessment of the caregivers of individuals living in the community, with supports and interventions being provided based on the needs of both the individuals and their caregivers, including the flexible provision of respite care services. Alberta Health Services is now working to expand this initiative provincially.

A pilot project in Grande Prairie and Medicine Hat was completed to evaluate assistive technologies that are designed to increase safety for seniors who live alone in their homes. These technologies are an integral component in the delivery of continuing care home care services.

Home Care Redesign Strategic Plan: Shaping the Future 2012-2015

A strategic policy document was developed entitled *Home Care Redesign Strategic Plan: Shaping the Future 2012-2015*. This document presents a comprehensive three-year plan to address provincial variation in Home Care Service Guidelines, the integration of home care with community and primary care supports and the types of services provided within the home care program.

Continuing Care Health Service Standards

The government has drafted a revision of the Continuing Care Health Service Standards to ensure that the continuing care system is flexible and responsive to the changing needs and expectations of its clients, to new models of care and to emerging best practices.

Alberta Pharmaceutical Strategy

A transition team (a representative group of pharmacists and pharmacy owners) met with government throughout 2011-12 to discuss approaches to pharmacy services, including patient assessment by a pharmacist for renewal of prescriptions. Future implementation of expanded roles for pharmacists will build on the success of 2011-12 influenza season in which pharmacists provided over 85,000 Albertans with their flu shots.

Product Listing Agreement Policy

Product Listing Agreements (PLAs) are a mechanism by which therapies that may have otherwise not made it onto the provincial drug formulary (due to a high price or clinical uncertainty) can be listed and provide therapeutic choice to government-sponsored drug plan beneficiaries. PLAs are confidential contracts in which a drug manufacturer agrees to supply a drug at a confidential discounted price and/or provide research investment in the province. This has various benefits including increased access to new therapies, greater budget certainty/lower expenditures and investment in research within Alberta.

At the end of March 2012, 10 successful agreements have been negotiated to provide government-sponsored drug plan members access to therapies previously not covered by the Drug Benefit List. In addition, Pan-Canadian agreements for two drugs have been established.

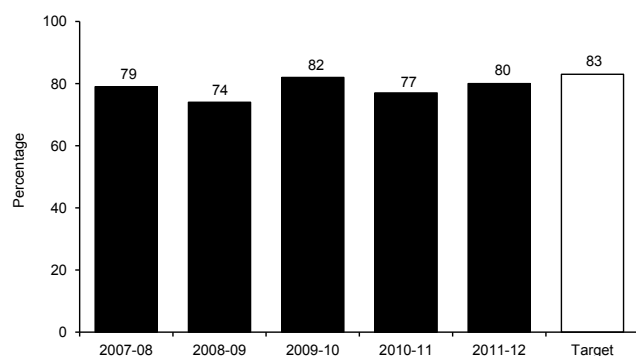
GOAL TWO **2** A Healthy Approach – Increase access to quality health care and improve the efficiency and effectiveness of health care service delivery.

Performance Measures

Results Analysis

Ease of Access to Services (see note 5)

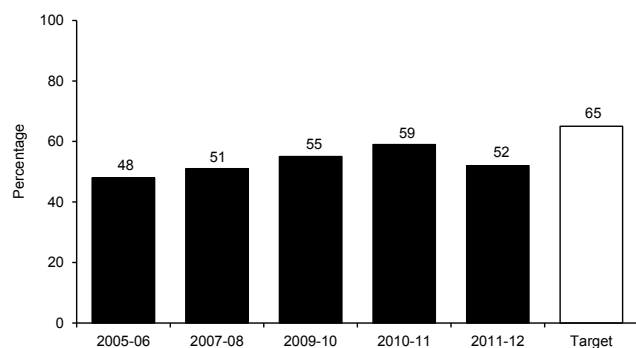
Physician Services – rating as easy or very easy



- ♦ A 2012 survey of Albertans age 18 and over found that 80 per cent, who had personally accessed physician services in the past twelve months, reported that it was easy or very easy to access services from their physician. This result is up from 77 per cent in 2010-11, but under the target of 83 per cent.
- ♦ As of March 31, 2012, the year-over-year increase in the number of physicians was 4.5 per cent. There were a number of physician increases in every health zone in Alberta.
- ♦ The 2011-12 result on ease of access to physician services may reflect lengthy wait times for physician specialist services. The government is continuing to collaborate with Alberta Health Services to address access issues.

Ease of Access to Services (see note 5)

Emergency Department Services – rating as easy or very easy



- ♦ The Health Quality Council of Alberta 2012 survey of Albertans age 18 and older found that, among those who had accessed emergency department services within the past year, 52 per cent rated ease of access to emergency department services as easy or very easy. This is a significant difference compared to 59 per cent in 2010-11, and is below the target of 65 per cent.
- ♦ Emergency department (ED) patient volumes have increased in Edmonton and Calgary over the past year. The challenge of meeting the increasing demands is compounded by spikes in emergency department visits – during influenza season, for instance – that can stress the overall health system and cause delays in delivery of care.
- ♦ Alberta Health Services is taking action to provide more timely access for patients who need emergency department care. They have implemented many initiatives to improve ED performance in 2011-12, such as an additional 1,002 continuing care beds, first available bed policies, introduction of rapid assessment zones, expansion of medical assessment units, and over-capacity protocols.

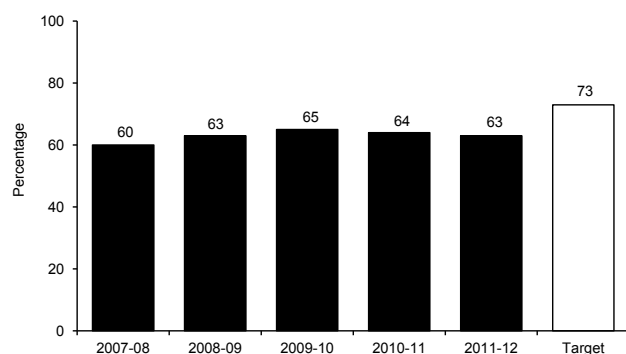
GOAL TWO **2** A Healthy Approach – Increase access to quality health care and improve the efficiency and effectiveness of health care service delivery.

Performance Measures

Results Analysis

Public Rating of Health System Overall (see note 6)

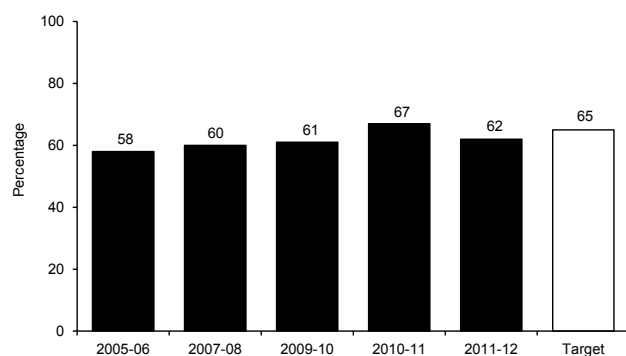
Rating as excellent or good.



- ♦ In 2011-12, 63 per cent of Albertans age 18 and over rated the health system overall as excellent or good. This is not a significant difference compared to 64 per cent in 2010-11, but is below the target of 73 per cent. Results for this measure have been fairly stable in recent years.
- ♦ Public rating of the health system is related to many different factors and issues. Over the past year, high profile reviews of health system quality and patient safety may have influenced public ratings of the health system and the quality of medical services provided to Albertans.
- ♦ The Health Quality Council of Alberta was asked to review multiple matters respecting patient safety and health service quality, including emergency medical services response times and emergency department wait times, quality of anatomical pathology specimen preparation and interpretation, quality of care and safety of patients requiring access to emergency department care and cancer surgery and the role of physician advocacy, and safety implications for patients requiring medevac services to and from the Edmonton International Airport.

Satisfaction with Health Care Services Received (see note 7)

Percentage of Albertans satisfied or very satisfied with health care services personally received in Alberta within the past year.



- ♦ The Health Quality Council of Alberta 2012 survey of Albertans found that 62 per cent of Albertans age 18 and over were satisfied or very satisfied with health care services received in Alberta within the past year. This result is significantly down from 67 per cent in 2010-11, and under the target of 65 per cent.
- ♦ As noted above, this past year has had an unprecedented number of inquiries and news releases regarding health system quality which may have impacted overall satisfaction.

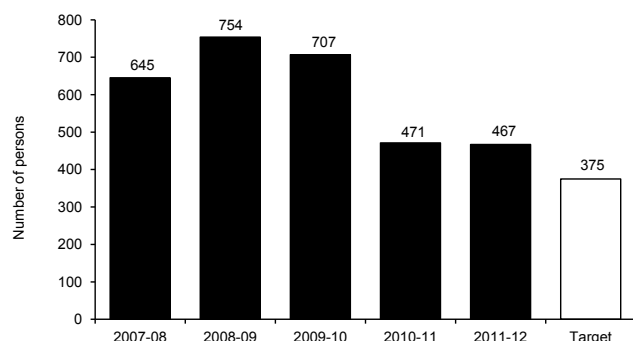
GOAL TWO **2** A Healthy Approach – Increase access to quality health care and improve the efficiency and effectiveness of health care service delivery.

Performance Measures

Results Analysis

Continuing Care (see note 8)

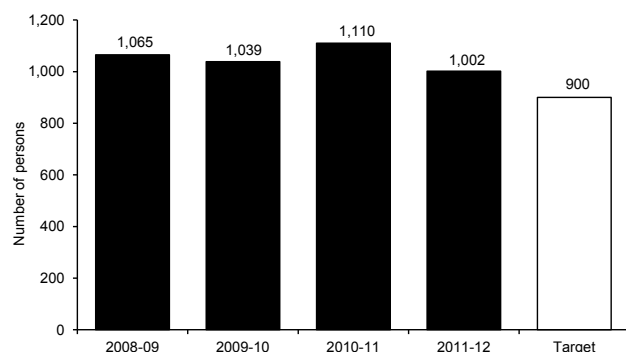
- Number of persons waiting in an acute care hospital bed for continuing care.



- ♦ At the end of March, 2012, a total of 467 persons were waiting in an acute/sub-acute hospital bed for continuing care.
- ♦ This result does not meet the target of 375 persons waiting in hospital for continuing care, and is essentially unchanged from the result achieved as of March, 2011.
- ♦ While the target was not met, the average time that individuals waited in hospital for a continuing care option decreased from 54 days to 41 days. There was also an increase in the total number of individuals being admitted to a continuing care living option, from 4,951 persons in 2010-11 to 5,337 persons in 2011-12.
- ♦ In partnership with Alberta Health Services, continuing care spaces increased by 1,002 spaces to address the needs of an aging population in 2011-12. These spaces support the Government of Alberta's *Continuing Care Strategy: Aging in the Right Place* and span the spectrum of continuing care facilities that include supportive living and long-term care spaces.

Continuing Care (see note 8)

- Number of persons waiting in the community for continuing care.



- ♦ At the end of March, 2012, a total of 1,002 persons were waiting in the community for continuing care. This result does not meet the target of 900 individuals waiting for continuing care admission while in the community.
- ♦ Although the actual number of people waiting in the community for continuing care has remained fairly stable over the past four years, there has been a shift in wait location. Between 2008-09 and 2011-12, the proportion of individuals admitted to continuing care from the community, and waiting in the community, has increased as a result of policy aimed at reducing acute care occupancy rates.
- ♦ Review of the waitlist for continuing care indicates that those waiting in the community include both those waiting urgently for the first available space, and those waiting until their first choice of location becomes available. The latter group includes individuals waiting for continuing care who may have been on the waitlist for an extended period of time; that is, they are being managed in the community and are able to wait until a space becomes available in their facility of choice.

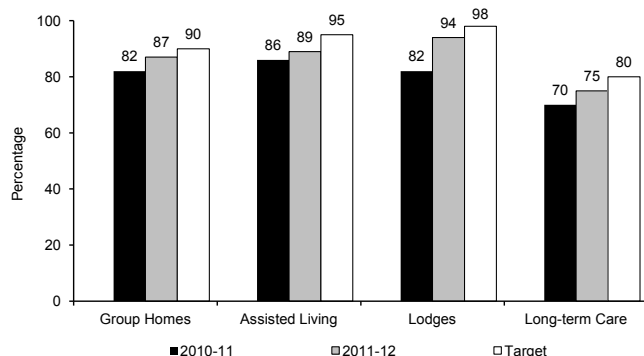
GOAL TWO 2 A Healthy Approach – Increase access to quality health care and improve the efficiency and effectiveness of health care service delivery.

Performance Measures

Results Analysis

Continuing Care (see note 8)

- Quality of accommodation services in supportive living and long-term care facilities, as indicated by the percentage of facilities reviewed that meet provincial standards: group homes; assisted living; lodges; and long-term care.



- ♦ Provincial accommodation standards support quality assurance in long-term care and supportive living accommodations; enhance monitoring; and provide information for measuring effectiveness in accommodation services.
- ♦ Though below targets, compliance rates increased in all categories in the 2011-12 fiscal year. The new accommodation standards have been in effect since April 2010 giving operators two years to adjust to the changes, resulting in improved compliance rates.
- ♦ Lower compliance rates in long-term care settings may be due to the ongoing maintenance needs of older buildings. For example, accommodations in older buildings may receive additional non-compliances related to minor maintenance, such as repairing doors or trim. Government works actively with each site to achieve compliance.

GOAL THREE **3** Strong Communities – Promote strong and vibrant communities and reduce crime so Albertans feel safe.

Safe Communities

In recent years, the crime rate in Alberta has declined and Albertans' perception of safety has improved. Over the same period of time, through the Safe Communities Initiative, government has taken an integrated and balanced approach to increasing safety and reducing crime. Significant investment has been made in crime prevention, treatment and enforcement throughout the province. This investment includes: increasing the number of police officers, probation and correctional peace officers and Crown prosecutors; increasing the number of addiction treatment beds and expanding other addiction and mental health services.

Impaired Driving (see also Goal Five Traffic Safety Initiatives)

Impaired driving remains the leading cause of criminal death in Canada. The Provincial Strategy to Reduce Impaired Driving is a comprehensive program designed to change that tragic fact. Developed over the course of several years, it draws on proven techniques from around the world to save lives. Legislation to implement the strategy, Bill 26, received Royal Assent in December 2011. Bill 26 uses a combination of administrative sanctions which deter dangerous behaviours, identify high risk offenders and provide the swift and significant penalties that have been proven, nationally and internationally, to decrease significantly the incidence of impaired driving. Over time, the provincial strategy is intended to change public attitudes toward drinking and driving.

Alberta's Crime Prevention Framework

Alberta's Crime Prevention Framework was announced by the premier in May 2011. The framework is the broad vision for crime prevention and reduction in the province. It represents a shift in government crime reduction policy from a focus on enforcement measures to a more balanced approach that supports an increased emphasis on prevention. The framework sets out a shared approach to plan, fund, implement and evaluate crime prevention initiatives across the province. Implementation of the framework focuses on supporting communities in capacity building and the

development of crime prevention plans that address local needs.

Integrated Justice Services Project

In February 2012, the Integrated Justice Services Project was launched. The project builds upon existing resources and successes of the Safe Communities Initiative to improve the efficiency of the criminal justice system by addressing the risk factors related to criminal behaviour. The first three-year pilot project, located at the Safe Communities Resource Centre in Calgary, has probation officers, Alberta Health Services staff and other service providers working with high-risk-to-re-offend individuals. These individuals receive intensive probation supervision, addiction treatment services, counselling and employment and skills supports to reduce their risk to re-offend so they can become contributing members of the community.

Alberta Gang Reduction Training Symposium

At the end of January 2012, more than 200 leaders from Alberta communities impacted by gang activity participated in the Alberta Gang Reduction Training Symposium. The Symposium gave participants the opportunity to learn from leading experts of evidence-based and promising gang reduction programs from across Canada and the United States. The symposium offered participants the tools to determine best practices in gang reduction and prevention in their own communities. At the event, participants were also asked to provide their feedback on the value of developing a provincial gang reduction practitioners' network.

Witness Security Program

Working with policing agencies, other partners and stakeholders to implement the Alberta Gang Reduction Strategy, the provincial witness security program was developed and implemented pursuant to *Alberta's Witness Security Act* and regulations, which came into force in April 2012. Police now have the option to apply either to the Alberta or federal witness protection program depending on what is appropriate in each particular case. Alberta's program

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will be geared to less complex and shorter-term witness management, whereas the federal program is uniquely suited to address the needs of witnesses requiring long-term protection, identity changes and permanent relocation. This program will provide another tool for the Crown and police by addressing the need for short-term protective security to witnesses giving evidence in prosecutions.

Law Enforcement Framework

The *Law Enforcement Framework* (LEF) lays the foundation for an integrated and innovative approach to law enforcement in Alberta. The vision of the LEF is for policing to reflect the priorities of Albertans, be transparent and accountable in the delivery of services, and that policing and public safety resources are properly and appropriately utilized. The LEF is intended to make policing and law enforcement more efficient in Alberta through the development of: common information technology to enhance information sharing; better communications systems for first responders, increased use of all areas of law enforcement such as the specialized services provided by the sheriffs (allowing police services to focus on more serious demands); a new costing model; and, a state-of-the-art training facility for police and peace officers.

Safe Communities Innovation Fund

The successful pilot projects from the third Safe Communities Innovation Fund (SCIF) call-for-projects were announced in 2011-12. Through SCIF, the Government of Alberta has invested a total of \$60 million in 88 pilot projects supporting communities across Alberta to reduce and prevent crime by focusing on important subjects such as vulnerable youth and domestic violence.

Priority Prolific Offender Program

Launched in 2008, the Priority Prolific Offenders Program (PPOP) is a focused and integrated strategy to improve coordination between courts, law enforcement and probation officers. The program receives referrals from law enforcement

of offenders who primarily commit numerous property and nuisance crimes in the community. PPOP attempts to ensure the courts have the most comprehensive information available on offenders through a Comprehensive Bail Package, so the most appropriate sentences are imposed and rehabilitation opportunities are realized. PPOP members jointly track these offenders through their involvement in the criminal justice system and make programming recommendations. These offender-specific recommendations are to promote rehabilitation through the provision of appropriate support services for the offender.

Restorative Justice

Restorative justice focuses on addressing the causes of crime and repairing harm by helping offenders understand how their actions have affected victims and communities. Three common models are family group, conferencing circles and victim-offender conferences. In 2011-12, the Safe Communities Initiative supported eleven applications for restorative justice grant funding, totaling \$351,000.

Missing Persons Act

The *Missing Persons Act* was passed in 2011. Developed in partnership with the Calgary Police Service, Edmonton Police Service and the RCMP, the act allows police access to personal information of missing persons, when there is no reason to believe that a crime has been committed, in order to allow more efficient police investigations. The act also ensures that the information collected is protected if, once located by police, the person does not want to be contacted further.

Victims of Crime

The government continues to support victims of crime. Support is given through the Victims Financial Benefits Program which received 2,679 new applications during 2011-12 and has seen an approximate 150 per cent increase in new applications over the last ten years. During 2011-12, an effort has been made to improve the promptness of provision

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of financial assistance through prioritization of files and ongoing process reviews. Under victim services community and specialized programs, initiatives have been developed and implemented that enhance services for human trafficking victims, immigrant victims, low income populations and victims of family violence.

In December 2011, Justice Canada announced funding for an Alberta Initiative Regarding Missing and Murdered Aboriginal Women. This project will support the development of a provincial framework to address and respond to cases of missing and murdered Aboriginal women in Alberta. It will also provide opportunities to work with Aboriginal communities and others to create a shared understanding of the impacts of this sensitive and complex issue on families and communities.

Correctional Services

Correctional Services uses various risk assessment and case management tools to supervise offenders in the community, especially higher risk offenders. A risk reduction strategy resulted in an increase in the number of staff that supervises offenders in the community. Since 2008, 130 additional probation officers have been hired. Fifty of these were hired in 2011-12. Probation officers receive training in motivational interviewing, an evidence-based method of engaging the offender in a manner that promotes positive behavior change and reduces the risk of re-offending.

Health Care Services in Provincial Adult and Young Offender Correctional Centres

In 2010, the delivery of health care services in provincial adult and young offender correctional centres was transferred to Alberta Health Services. Following the transfer, approximately 70 new Alberta Health Services positions were identified to assist adult inmates and young offenders with mental health and addictions problems. Approximately 30 of these are to assist in transitioning individuals from custody back into the community while the remaining positions are nurses, psychologists and other health

care professionals who deliver centre-based mental health and addiction programs and services. These programs and services complement a range of other programs available in young offender and adult correctional centres, including education, life skills, anger management, family violence prevention, work readiness training and chaplaincy programs.

Serving Albertans Most in Need

A Plan for Alberta: Ending Homelessness in 10 Years

The Government of Alberta completed the third year of implementing A Plan for Alberta: Ending Homelessness in 10 Years. With the assistance of community partners, over 5,900 formerly homeless people, including 1,200 families, have been housed, with approximately 80 per cent retaining their housing beyond the immediate term. In the past two years, several Alberta cities have reported a significant percentage decrease in the homeless population including: Edmonton (21 per cent), Calgary (11 per cent), Fort McMurray (42 per cent) and Lethbridge (74 per cent).

Affordable Housing

The Government of Alberta's five-year goal of 11,000 affordable housing units was exceeded. The units are dedicated for lower income individuals, families, seniors, Albertans with special needs and the homeless. In the past five years, over 12,100 affordable housing units have been supported by a capital grants approach that leverages private dollars with taxpayers' money through partnerships with municipalities, non-profit groups and the private sector. A total of \$120.19 million, including \$20.19 million in federal funding, was provided through the 2011-12 Housing Capital Initiative Program.

The government delivers capital grant programs to increase the province's supply of affordable housing, monitors agreements related to approximately 17,000 affordable housing units and ensures that the operations of the 26,500 provincially-owned and/or supported social housing units are managed effectively.

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Interagency Council on Homelessness

The Government of Alberta held community conversations with over 225 key stakeholders in Alberta's seven major cities to determine the role, mandate and composition of a new Interagency Council on Homelessness. The new council will lead and evolve the continued implementation of the homelessness plan using a systems approach to achieve Alberta's goal of ending homelessness by 2019. This evolution will move the plan's implementation from its initial phase of providing housing to end homelessness to the next phase of preventing homelessness and providing specialized supports to targeted groups of homeless Albertans.

Housing First Approach

Under A Plan for Alberta – Ending Homelessness in 10 Years, the Government of Alberta adopted the Housing First Approach whereby the homeless are provided permanent housing along with needed support services. Support services may include intensive medical, psychiatric and case management services including life skills training, landlord liaison assistance or addictions counseling. Studies show that supporting a chronically homeless person can cost upwards of \$100,000 per year in health, emergency and justice system services. Under Housing First, costs are less than \$35,000 per year to provide permanent housing and the supports needed to break the cycle of homelessness.

Youth Homelessness Strategy

As part of Alberta's 10-year plan to end homelessness, the government developed a draft strategy to address youth homelessness. The strategy's approach to reducing youth homelessness includes prevention and awareness building, early intervention, youth-centred supports, research and evaluation and stakeholder engagement. The government provided \$4.3 million to support the operation of 10 youth shelters, including funding for 65 beds. The Youth Homelessness Strategy will be completed in 2012-13.

Alberta Supports Initiative

The implementation of the Alberta Supports Initiative continued to improve how social-based assistance services are delivered to Albertans. By visiting the Alberta Supports website, Albertans can access information on more than 30 social-based programs and more than 120 services offered by government. In 2011-12, the Alberta Supports Contact Centre received more than 327,244 calls from Albertans for information related to seniors, employment and training, persons with disabilities, lower income, children and youth, abuse and bullying, homelessness and making life decisions.

Alberta Supports Pilot Projects

Alberta Supports pilot projects were conducted including the Transition from Child Disability Programs to Adult Pilot in central Alberta and the Slave Lake Coordinated Intake Pilot. The transition pilot looked at new ways to help vulnerable Albertans and their families navigate available services, and try out a new model for transition planning to adult independence. The coordinated intake pilot allowed Albertans to get information on social-based services by visiting only one office and talking to one intake person. Evaluations of these projects will help continued improvement of services throughout the province.

A number of other pilot projects around the province are underway to explore new approaches to delivering in-person services.

- ♦ In Barrhead, the Youth Transitioning to Adult Programs and/or Independent Living Initiative will introduce new processes and supports to help ensure Alberta youth in the Pembina Hills Regional School Division receive easier access to multiple programs.
- ♦ Under the Homeless Outreach Support Services Initiatives, homeless people in Lethbridge will be better connected to housing, benefits and supports, and in Edmonton the Coordinated Discharge Planning Initiative will ensure that patients in mental health acute care hospital beds

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in Edmonton are connected to housing, benefits and supports to prevent discharging patients into homelessness.

- ♦ In Edmonton, the Family Violence Client-Centred Supports Response Initiative will provide individuals and families who are victims of family violence with increased support to navigate Government of Alberta programs and services.

Aging Population Policy Framework

The Aging Population Policy Framework is designed to foster a holistic and collaborative approach to meeting the diverse needs of an aging population. The framework provides a common ground for decisions about policies, programs and supports for Alberta's aging population. The framework outlines the roles and responsibilities of government and its many partners (individuals and families, community organizations and other governments) and communicates key policy directions. The implementation of the framework is an ongoing process that is focused on meeting the needs of the growing number of seniors in coordinated, effective and sustainable ways.

- ♦ The *Seniors' Property Tax Deferral Act* was enacted to assist seniors with the cost of home ownership and support aging in place by allowing them to defer all or part of their property tax bills. The new act received royal assent in March 2012, with program implementation expected in 2013.
- ♦ To improve and enhance timely access to government supports, a Designated Assisted Living/Long-term Care Portal was implemented in April 2011. This web-based system allows long-term care and designated supportive living operators to update client residency data, permitting the provision of timely accommodation assistance to eligible residents. Currently, 200 out of 270 facilities are reporting client information through this system.
- ♦ The Government of Alberta released the *Mature Worker Action Plan* in April 2011. The action plan aims to make it easier for mature workers

to continue their participation in the workforce, enable them to continue contributing their skills and experience and continue to earn income.

- ♦ The provincial Elder Abuse Strategy directly relates to policy directions referenced in the framework. Released in November 2010, *Addressing Elder Abuse in Alberta: A Strategy for Collective Action*, outlines key goals, outcomes and actions for government and community stakeholders to work together to effectively address and prevent elder abuse. Government has been advancing the strategy, including the development of an Elder Abuse Training Framework and resources that will enhance awareness and responses to elder abuse in the province. The government also supported Alberta's first Elder Abuse Conference, held October 2011, with the Alberta Elder Abuse Awareness Network.
- ♦ The government has begun developing an electronic and print resource designed to encourage and assist Albertans to consider a variety of financial and non-financial matters related to retirement and older age. Topics include: financial planning; lifestyle planning; employment options; healthy aging; timing of retirement; advance (estate) planning; social supports and housing choices. The resource will include an assessment tool and related information to support the development of personal action plans. The resource is scheduled to be available later in 2012.

Albertans' Retirement

Alberta worked with the federal, provincial and territorial governments to develop a policy framework for legislation allowing the creation of Pooled Registered Pension Plans. These will be broad-based voluntary private sector plans that will give Canadian workers without pension plans an opportunity to save for retirement in a simple, cost-effective pension plan.

Brain Health Symposiums

The Office of the Public Guardian (OPG) hosted the Brain Health Symposiums in February 2012 in Calgary and in Edmonton. The OPG partnered

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with the Alzheimer Society of Alberta, Alberta Health Services and the Healthcare Professions Associations and Colleges for the conference. This symposium provided information to assist Albertans in maintaining their capacity and general health, as well as raising the awareness and acceptance of neuroplasticity among healthcare professionals. The symposium was open to the public.

Children and Youth

Adult Guardianship and Trusteeship Act

The *Adult Guardianship and Trusteeship Act* (AGTA) and *Personal Directives Act* (PDA) offer a variety of options to support adult Albertans who need assistance making personal and financial decisions. The protection of vulnerable people requires safeguards and the AGTA and PDA provide several protective measures including proactive suitability screening of applicants (e.g., criminal, personal reference and credit checks) and a rigorous complaints and investigations process. Most guardianship, co-decision-making and trusteeship arrangements work well; however, if problems exist, concerned individuals can register a complaint with a complaints officer.

Child and Youth Advocate

The Government of Alberta introduced new legislation to establish the Child and Youth Advocate as an independent officer of the Legislature. Bill 25, the *Child and Youth Advocate Act*, will also expand the advocate's mandate to ensure those in the youth criminal justice system will have advocacy supports.

Alberta Vulnerable Infant Response Team

Alberta expanded the Alberta Vulnerable Infant Response Team (AVIRT). Now operating in Edmonton and Calgary, AVIRT involves child intervention caseworkers, public health nurses and police working together to provide intensive guidance and support for at-risk families with infants up to four months of age. The integrated approach provides immediate multi-disciplinary resources to support the safety and well-being of vulnerable infants.

Parent Link Centres

The Government of Alberta also expanded the capacity of Parent Link Centres to implement the Triple P – Positive Parenting Program. Triple P is an evidence-based parent education and family support program which helps prevent behavioural and social-emotional development problems in children by enhancing the knowledge, skills and confidence of parents.

Aboriginal Children

Over 250 people from government, Aboriginal organizations and communities, Elders, private industry, elected officials, community agencies, kinship and foster care parents, and youth engaged in community conversations held in Edmonton, Lethbridge and Fort MacLeod. These ongoing community conversations create a shared understanding of the complex issues which contribute to the over-representation of Aboriginal children in the child intervention system and work towards identifying collective actions and best practices.

Strengthening Relationships

The Government of Alberta has a unique and strong relationship with Aboriginal peoples and is committed to building on this relationship.

Protocol Agreement on Government-to-Government Relations

In 2011-12, the Government of Alberta continued its efforts to implement the *Protocol Agreement on Government-to-Government Relations*, which sets out a framework for ongoing dialogue between the Government of Alberta and First Nations on matters of mutual concern. This included meetings between the premier, ministers and grand chiefs of Treaties 6, 7 and 8, where issues discussed included Alberta's review of The Government of Alberta's First Nations Consultation Policy on Land Management and Resource Development and related Guidelines, the progress made under the Memorandum of Understanding on First Nations Education, and matters related to First Nations children and youth.

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First Nations Development Fund

Through the First Nations Development Fund, the Government of Alberta distributed approximately \$112 million to First Nations to support economic, social and community development projects. Over 250 community-based and community-designed programs were funded, including land-use planning, on-reserve infrastructure, housing, projects engaging youth and supporting Elders, and support for First Nation-owned businesses to improve employment and economic opportunities.

Urban Aboriginal Initiatives

In 2011-12, the Government of Alberta provided the Alberta Native friendship Centres Association and the 20 Alberta friendship centres with funding of \$757,000, which supported local community programming and friendship centre operations. Additional funding of \$250,000 was provided to five friendship centres to undertake various projects related to organizational capacity and community development.

In addition, in February 2012, the Government of Alberta, in conjunction with the Government of Canada and the City of Edmonton, hosted an Edmonton Aboriginal Gathering and Dialogue. Representatives from federal, provincial and municipal governments, as well as a range of organizations, including business and industry, community service and Aboriginal organizations, participated in the event to discuss their interest for collaboration and coordination to improve the social-economic outcomes for Aboriginal people in Edmonton.

First Nations Consultation Capacity Investment Program

Through the First Nations Consultation Capacity Investment Program, the Government of Alberta provided \$6.8 million to First Nations in 2011-12 to support their continued participation in the consultation process for resource development and land management. The program assisted First Nations to develop effective, functioning consultation

structures, helped build First Nations' consultation staff capacity by providing funding for training, and helped implement Alberta's First Nations Consultation Policy.

Consultation

In 2011-12, Aboriginal Consultation Units across the Ministries of Energy, Environment and Water and Sustainable Resource Development merged to form the Sustainable Resource and Environmental Management Aboriginal Affairs Branch. The branch is housed within Environment and Water with the purpose of improving the efficiency, effectiveness and consistency of Aboriginal relations, consultation, and engagement.

Metis Settlements

In May 2011, the Government of Alberta and the Metis Settlements General Council signed an agreement, called the Long-Term Arrangements, which committed to a process to conclude long term governance and funding arrangements. Since then, significant work has been done in terms of identifying the interests of the parties, and an agreement was reached on guiding principles and areas requiring attention.

In addition, the government provided three million dollars for three years for infrastructure on Metis Settlements to reflect Alberta's commitment to ensure the settlements could provide essential services to their members. The approach was to first apply the funds toward any settlement infrastructure emergencies, and second, to apply funds toward infrastructure in need of repair or updating (based on an independent engineering study) to prevent future emergencies. Some funding was also provided for information studies for the Long-Term Arrangements.

The government also continued to support the enhanced policing program for Metis Settlements. The enhanced policing pilot program, which has five additional RCMP officers dedicated to the eight Metis Settlements, continued for a second year. Preliminary indications suggest that the program is successful and

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is contributing to safer communities. The government provides funding for the program from the Safe Communities Initiative.

In August 2011, the government and the Metis Settlements General Council amended the Co-Management Agreement to allow for an alternative process respecting the exploration and development of oil and gas. The Co-Management Agreement is a schedule to the *Metis Settlements Act* and provides for rules respecting sub-surface mineral development.

Wildfires

Lesser Slave Lake Regional Wildfire – Response and Recovery

In May 2011, two separate fires started in the Municipal District of Lesser Slave River No. 124, near the Town of Slave Lake and the Sawridge First Nation which damaged or destroyed over 450 properties. The Government of Alberta staff worked closely with local government leaders and administrators, federal departments, non-governmental organizations and other affected parties to facilitate the recovery process.

The Office of the Fire Commissioner coordinated fire and incident management teams in the community, provided additional equipment, and supported the municipality's fire and investigation reporting activities.

Capacity was provided with the creation of the Regional Recovery Coordination Group, which was put in place to establish the supports necessary to focus on long-term re-building in the region.

The government committed \$289 million to help return the Lesser Slave Lake region to pre-disaster condition. The funds are administered through four envelopes: the Disaster Recovery Program (\$125.3 million); Community Stabilization funding (\$56.7 million); the Interim Housing Project (\$42.8 million); and projects identified in the Lesser Slave Lake Regional Wildfire Recovery Plan (\$64.2 million). The recovery plan sets out recovery projects and activities in support of the safety, health,

physical, mental and social well-being of affected communities and individuals; the protection and re-establishment of a healthy environment; the re-building of residential, commercial and public buildings that were damaged or destroyed; and the economic recovery of the region.

Awarding FireSmart Community Grants

The FireSmart Program, which educates municipalities and Albertans on wildfire prevention, continued in 2011-12. This program helps reduce the threat of wildfire and its impact on communities across Alberta. The FireSmart Community Grant Program awards funding to develop vegetation management programs, FireSmart education programs, community plans, and bylaws, along with cross-training initiatives to help prepare emergency responders from various agencies to respond to a wildfire.

Wildland Fire Investigations

The Office of the Fire Commissioner conducted two independent fire investigations in 2011-12. In November 2011, the office investigated a wildland fire in support of the Blood Tribe and County of Lethbridge. In January 2012, they investigated a wildland fire in the Municipal District of Willow Creek. Both fires resulted in significant damage to large tracts of land and building damage or destruction.

Municipalities

Municipal Sustainability Initiative

The Municipal Sustainability Initiative (MSI) is the province's commitment to provide significant long-term funding to enhance municipal viability and to enable municipalities to meet the demands of growth. Municipalities received \$886 million in MSI funding in 2011-12 to assist in meeting infrastructure needs and other priorities in support of long-term viability.

In November 2011, the Government of Alberta announced it would establish minimum three-year funding cycles for municipalities, and to review and assess the MSI. As a result, changes were made

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to the MSI to increase the program's flexibility so municipalities are better able to direct funding to local priorities, and to implement more efficient application processes while maintaining appropriate accountability.

Municipal Sustainability Strategy

The Municipal Sustainability Strategy was developed by a working group of Government of Alberta staff and municipal association representatives. The strategy includes a self assessment toolkit for municipalities, an inventory of capacity-building resources, and a new and transparent municipal viability review process with a focus on developing locally driven solutions to local sustainability issues.

Regional Collaboration

The Government of Alberta continued to support and strengthen inter-municipal cooperation and regional approaches through the development of regional plans under the *Land-use Framework* as well as support for the strategic planning work of the Capital Region Board and the Calgary Regional Partnership. In addition, funding was provided to support strategic initiatives that improve the viability and long-term sustainability of municipalities through regional collaboration and capacity building.

Alberta Emergency Alert

The Alberta Emergency Alert was launched in June 2011. This program, which replaced the Emergency Public Warning System, uses digital technology and common standards to reach Albertans in new ways including social media, RSS feeds (a method to publish frequently updated works such as blog entries, news headlines, audio, and video in a standardized format), and a dedicated website. Throughout the summer and fall of 2011, more than 300 communities and 1,200 users were trained to use Alberta Emergency Alert.

Strengthening Community Resilience

In 2011-12, the Government of Alberta worked with public safety partners to improve community resilience through the strengthening of the mitigation and preparedness efforts of its partners.

- ♦ \$664,486 was provided to 52 municipalities to improve their fire services and emergency preparedness and \$150,000 was provided to 14 organizations for ground search and rescue training.
- ♦ The government facilitated 28 municipal requests totaling \$325,000 for the federal Joint Emergency Preparedness Program to assist communities to obtain emergency response equipment, and for training, emergency planning and the conduct of business continuity exercises.

Disaster Recovery and Municipal Wildfire Assistance

Thirteen disaster recovery programs were approved in 2011-12, with an initial budget of \$211.7 million. The programs were launched to assist residents, small businesses and municipal governments to recover from uninsurable damage caused by severe storms and wildfires.

Culture and Community

Support to Public Library Service

The Government of Alberta provides leadership in library policy development; supports the province-wide public library network in providing public library services to Albertans; provides funding assistance to library boards to help them operate, as well as to capitalize on the use of technology; and supports the network for communications and shared library resources across the province. The government invested almost \$31 million in 2011-12 to support public library service in Alberta.

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Participation in the Arts

Participation in the arts remains high in Alberta and may be attributed in part to the work undertaken with artists, arts organizations and cultural industries to promote participation in, and foster an appreciation of, the arts and cultural events. In 2011-12, over \$24 million in grants were provided by the government to fund arts-related activities, with 86.6 per cent of this funding given to 762 organizations (including 180 schools) for operational and project funding, as well as to amateur arts organizations to support their activities.

Volunteerism

The government's commitment to volunteerism is demonstrated through a provincial focus on National Volunteer Week and the Stars of Alberta Volunteer Awards programs that recognize the importance of volunteerism to the health and wellness of Alberta communities.

Education

Proposed *Education Act*

As part of the transformation of the education system, the Government of Alberta conducted extensive work on the development of a new *Education Act*, which reflected the findings of the Inspiring Education dialogue with Albertans. In the fall 2011 students, parents, teachers and other members of the public were encouraged to provide input on the new education legislation and how to improve Alberta's education system through the Our Children, Our Future: Getting it Right public engagement process. More than 5,000 Albertans responded with their ideas on Alberta's education legislation through seven community meetings, as well as online and via email, Facebook, Twitter and regular mail. After incorporating this feedback, Bill 2 – the *Education Act* was introduced in the Legislative Assembly in February, 2012.

Separate School Establishment Process

The Government of Alberta also developed a new separate school establishment process in collaboration with the Public School Boards' Association of Alberta, the Alberta Catholic School Trustees' Association and the Alberta School Boards Association. The new separate school establishment process requires greater collaboration between separate and public school boards and for more information to be provided to all members of the community, and allows for greater community participation, while honouring the constitutionally protected rights of the minority denomination.

St. Albert and Sturgeon Valley School Districts Establishment Act

To address longstanding issues with respect to the provision of public education in Morinville, government developed the *St. Albert and Sturgeon Valley School Districts Establishment Act*. The act received Royal Assent in March, 2012. It is expected the act will be proclaimed prior to the beginning of the 2012-13 school year, providing students in Morinville with access to public education in their community.

Inclusive Education Capacity Building

Inclusion in the education system is about ensuring that each student belongs and receives a quality education no matter what their ability, disability, language, cultural background, gender or age. As part of the transformation of the education system, the Government of Alberta announced new inclusive education capacity building funds to support inclusive practice in schools across Alberta. The government distributed \$12 million to school authorities to build capacity in support of inclusive education, and is piloting an Inclusive Education Planning Tool in over 200 schools in 54 school authorities across the province.

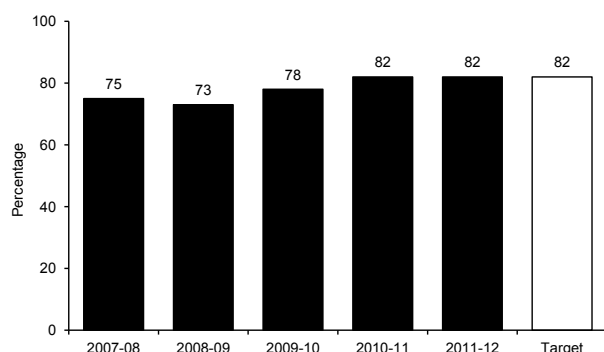
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Performance Measures

Results Analysis

Public Perception of Safety in the Neighbourhood (see note 9)

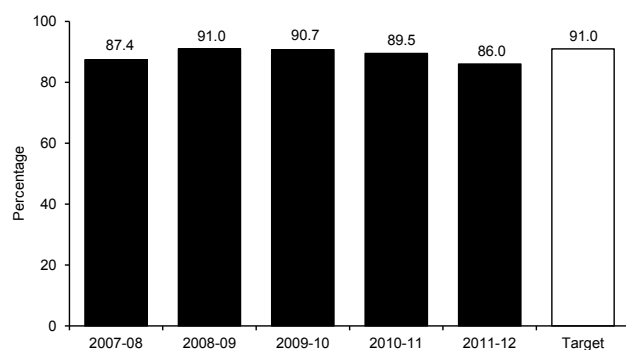
The percentage of Albertans who feel reasonably safe to very safe walking alone in their area after dark.



- ♦ In 2011-12, the majority of Albertans (82 per cent) felt reasonably safe or very safe walking alone in their neighbourhood or area after dark. This is the second year in a row the target of 82 per cent has been achieved.
- ♦ Perceptions of safety in the neighbourhood are shaped by a number of factors including citizens' previous victimization experience, media reports of crime, and the experiences of friends and family.
- ♦ Higher perceived safety levels were identified among residents in smaller cities in northern and southern Alberta, men, those in households with an annual income of \$60,000 or more, and respondents who feel very safe when in their own home after dark.

Participation in the Arts (see note 10)

Percentage of adult Albertans who participated in arts activities or events.



- ♦ In 2011-12, 86.0 per cent of adult Albertans participated in or attended arts activities or events. The result was 5.0 per cent less than the target of 91.0 per cent and 3.5 per cent lower than last year's result. While Albertans' involvement in artistic activities remained consistent to 2010-11, attendance at live performances (-5.3 per cent), visitation of an arts exhibition or gallery (-4.3 per cent), and purchasing of an arts product (-5.1 per cent) decreased.
- ♦ These activities generally have a cost associated with them and the decreases are consistent with Albertans indicating cost as a barrier to attending cultural activities (14.9 per cent in 2010-11 and 19.0 per cent in 2011-12). The continued concern over the economy and the cost of events and art products may have contributed to cost being a barrier to attending cultural activities. Albertans also indicated that a lack of time was the primary reason hindering their attendance (44.4 per cent) and participation (53.7 per cent).

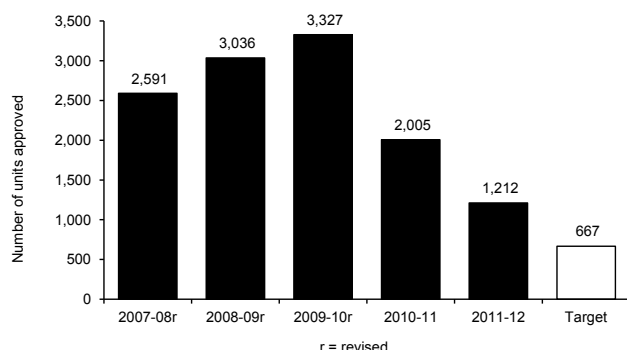
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Performance Measures

Results Analysis

Affordable Housing Units (see note 11)

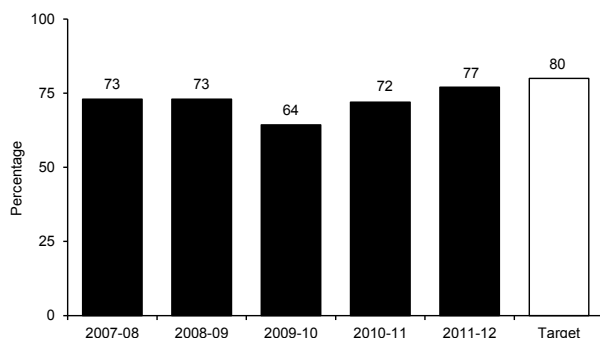
Number of affordable housing units approved for development



- ♦ The number of affordable housing units approved for development was 1,212 surpassing the target of 667 for 2011-12.
- ♦ Construction and purchase costs with new affordable housing units have experienced a reduction due to a shift in the Alberta economy.
- ♦ The Housing Capital Initiative leverages private dollars with taxpayers' money through community partnerships, which allows more units to be built. The average grant-per-unit from the Government of Alberta is approximately \$100,000, which represents about 50 per cent of the average per unit cost of new construction.

Albertans' Satisfaction with their Local Governments (see note 12)

Percentage satisfied.



- ♦ Albertans' satisfaction with their local governments increased by five per cent from 2010-11 to 77 per cent.
- ♦ The survey responses do not allow for conclusive determination of the factors causing this increase. Municipalities were not only continuing to experience the same challenges from the previous year, but were having to work within the confines of a global economic recession and a third consecutive provincial deficit budget.
- ♦ It is possible that the change in composition of municipal councils at the October 2010 municipal elections and the accomplishments of these newly composed councils resulted in the public having a more favourable impression of municipal governments.

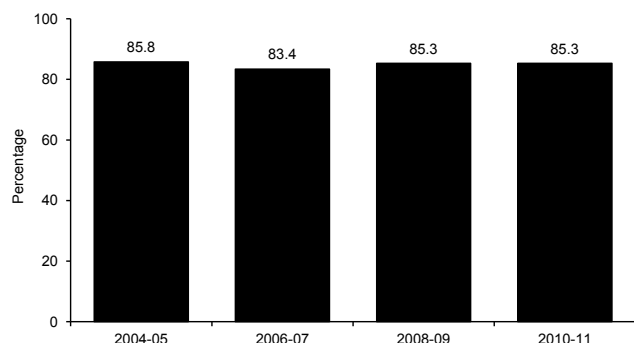
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Performance Measures

Results Analysis

Support for Albertans with Developmental Disabilities (see note 13)

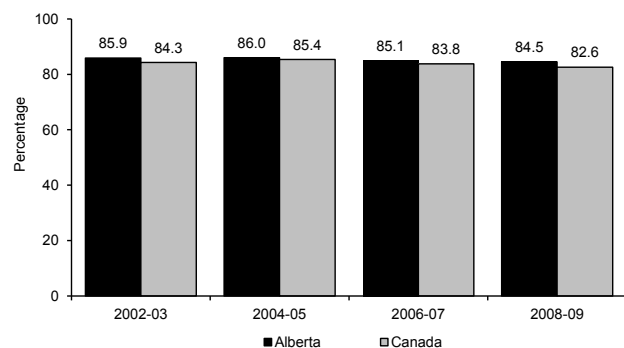
Satisfaction of families/guardians of adults with developmental disabilities with Persons with Developmental Disabilities (PDD)-funded services.



- ♦ In 2010-11, 85.3 per cent of families/guardians (public and private) reported overall satisfaction with PDD-funded services received by the person to whom they provide guardianship. Overall satisfaction consists of those who strongly agree, agree or somewhat agree that they are satisfied with PDD-funded services.
- ♦ The PDD program provides funding for staff supports for adult Albertans with developmental disabilities, to support them in their home, work, and social environments based on individual need.
- ♦ Results for this measure are collected every second year. Next year results will be available in 2012-13.

Social and Emotional Development (see note 14)

– **Healthy social development** – Percentage of Alberta children demonstrating healthy social development



- ♦ In 2008-09, 84.5 per cent of Alberta's children demonstrated healthy social development, meeting the target to maintain or improve Alberta's results relative to the national average.
- ♦ The survey results have been gradually declining both nationally and provincially. Thresholds (or cut-off points) for the social development scale were established to identify low levels of healthy social development.
- ♦ The government funds a range of services in many communities throughout the province aimed at providing supports to parents and families to assist with their child's learning, development and health, such as Parent Link Centres.
- ♦ The National Longitudinal Survey of Children and Youth was discontinued in 2010. The last results are for 2008-09.

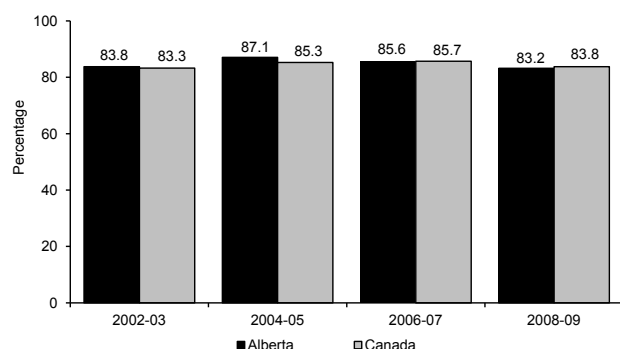
GOAL THREE **3** Strong Communities – Promote strong and vibrant communities and reduce crime so Albertans feel safe.

Performance Measures

Results Analysis

Social and Emotional Development (see note 14)

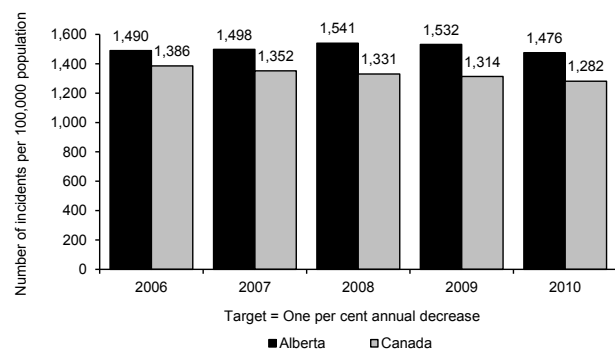
– **Healthy emotional development** – Percentage of Alberta children demonstrating healthy emotional development



- ♦ In 2008-09, 83.2 per cent of Alberta's children demonstrated healthy emotional development.
- ♦ The government funds a range of services in many communities throughout the province aimed at providing supports to parents and families to assist with their child's learning, development and health, such as Parent Link Centres which have been fully operational across the province since 2006-07, provide support for parents and families that promote healthy child development.
- ♦ The National Longitudinal Survey of Children and Youth was discontinued in 2010. The last results are for 2008-09.

Violent Crime Rate (see note 15)

Rate of violent crime per 100,000 population.



- ♦ Alberta's violent crime rate decreased by 3.7 per cent in 2010. It has remained relatively stable over the past five years. After rising in 2007 and 2008, it has fallen in each of the past two years; from 1,532 incidences in 2009 to 1,476 in 2010. While still above the national average, it is the fourth lowest rate among the provinces. There were 77 homicides in Alberta in 2010, 18 fewer than in 2009.
- ♦ Factors influencing crime patterns include age structure of the population, unemployment, inflation, alcohol and drug consumption, educational attainment and social attitudes.
- ♦ Alberta has a younger more mobile population and a higher proportion of aboriginal people than most other Canadian jurisdictions. These population groups tend to be over-represented as both offenders and as victims of crime.

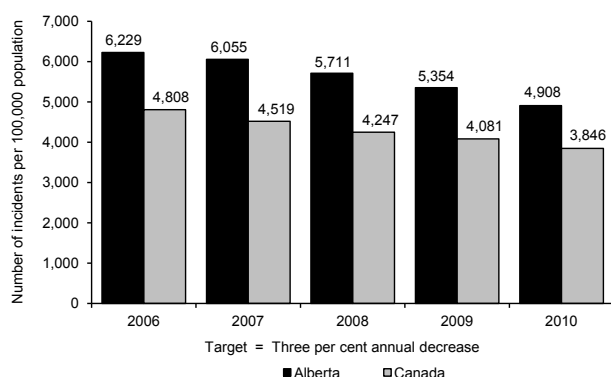
GOAL THREE **3 Strong Communities – Promote strong and vibrant communities and reduce crime so Albertans feel safe.**

Performance Measures

Results Analysis

Property Crime Rate (see note 16)

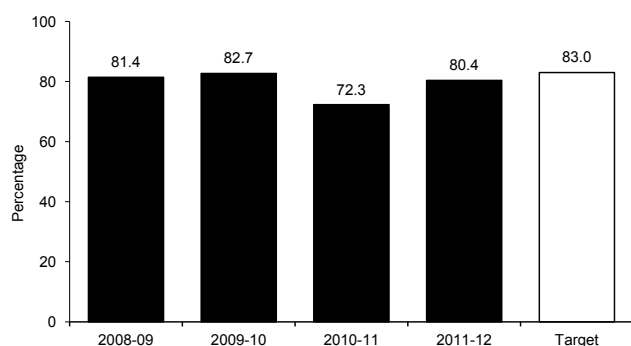
Rate of violent crime per 100,000 population.



- ♦ The property crime rate has decreased in Alberta by 8.3 per cent, from 5,354 in 2009 to 4,908 in 2010. It has been decreasing over the past ten years, at times faster than the national rate.
- ♦ There are many factors that contribute to the outcome of this measure such as those related to education, demographics and economic conditions.
- ♦ Crime rate can be responsive to policy and program interventions including public education and information programs and initiatives, policing, crime prevention, and correctional services.

Volunteerism (see note 17)

Percentage of adult Albertans who volunteered in their community.



- ♦ The result of 80.4 per cent was 2.6 per cent less than the 2011-12 target of 83.0 per cent. However, the result is 8.1 per cent higher than the 2010-11 result and is consistent with the results from 2008-09 and 2009-10.
- ♦ The Alberta volunteerism rate is influenced by Alberta's economy, job market and the amount of free time Albertans have to volunteer. This year there was a significant increase in informal volunteering, from 56.4 per cent in 2010-11 to 67.3 per cent in 2011-12. Increases in volunteering in 2011-12 were also seen in the areas of human services (2.4 per cent), arts and culture (1.9 per cent), and other volunteer areas (7.9 per cent). Volunteer rates in the areas of sports (-3.2 per cent) and youth development (-4.5 per cent) decreased.

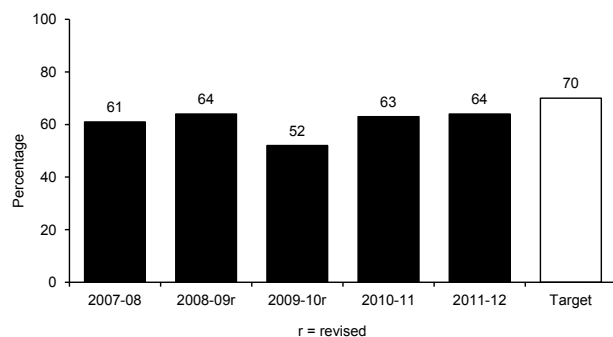
GOAL THREE **3** **Strong Communities – Promote strong and vibrant communities and reduce crime so Albertans feel safe.**

Performance Measures

Results Analysis

Support for Albertans with Low Incomes Who Need Temporary Help (see note 18)

Percentage of participants employed after leaving income support.



- ♦ In 2011-12, 64 per cent of participants were employed at any time since leaving the program. While this measure result did not reach the stretch target of 70 per cent, it increased by one percentage point over the previous year, bringing it back to the 2008-09 level – the highest result over the last five years.
- ♦ Labour market conditions, prior education, work experience and other barriers affecting participants impacted employment outcomes. As Alberta's economy and labour market slowly continues to recover, it is expected that this measure result will continue to improve.
- ♦ Those that stopped receiving income support have transitioned to training programs, entered new partnerships or received support from other sources (CPP, EI and disability-related income).

GOAL FOUR **4** **Creating Opportunity – Enhance value-added activity, increase innovation, and build a skilled workforce to improve the long-run sustainability of Alberta's economy.**

Competitiveness

Alberta continues to take steps to diversify Alberta's reach and build networks with international governments and industry to increase Alberta's exports, attract investment and positively impact the provincial economy.

Strengthening Partnerships

The premier undertook a mission to Toronto and Ottawa in November 2011 to build effective relations with the federal government and emphasize the impacts its decisions have on Alberta. On this mission, the premier also delivered a keynote address to the Economic Club of Canada to underscore Alberta's vision for energy development, as well as the province's contributions to Canada's fiscal stability and growth. Premier Redford also met with Prime Minister Harper in November 2011 to share perspectives on key national and global issues. The premier attended a Council of the Federation meeting in January 2012, where premiers emphasized the importance of growing the Canadian economy and focused on actions to enhance prosperity.

In 2011-12, the premier led four missions to the United States to highlight the global importance of Alberta's energy resources. During these missions, the premier met with a diverse set of stakeholders to reinforce Alberta's commitment to environmentally responsible energy development and to promote opportunities for trade and investment in other sectors.

An Alberta representative to Asia (based in Hong Kong) was appointed in fall 2011 to lead the province's strategic outreach efforts to enhance our presence and cultivate new opportunities in the region.

Work was undertaken with various partners and stakeholders to expand market access attract investment, and make Alberta a preferred global supplier of agricultural, energy and forestry products. Assistance was provided to export-ready Alberta businesses to market their products and services internationally and to build relationships with

potential investors and customers. Alberta was promoted as an attractive destination for foreign direct investment to targeted companies within priority sectors and to capital investors.

New West Partnership

The New West Partnership Trade Agreement was expanded in 2011-12 through work Alberta completed with its partners British Columbia and Saskatchewan. In July 2011, changes were brought in to streamline trucking regulations across the three most western provinces and work to reconcile other economic areas will be completed by July 2012. Also by this time, Saskatchewan's crown sector and broader public sector (municipalities, post-secondary institutions, school boards and health entities) will be brought under the agreement. The agreement will be fully implemented with the inclusion of financial services sector in July 2013.

In December 2010, British Columbia, Alberta and Saskatchewan's Energy Ministers signed an Energy Memorandum of Understanding (Energy MOU) to establish a collective framework to strengthen and expand the region's energy sector. The three New West Partnership (NWP) provinces continue to work toward strengthening and expanding the region's energy sector under the Energy MOU. Among joint activities under the Energy MOU, the Government of Alberta is working with British Columbia and Saskatchewan to collaborate and share information on industry standards and practices related to water use and hydraulic fracturing.

The premiers of Alberta, British Columbia, and Saskatchewan met in Edmonton in December 2011 to discuss ongoing joint work under the NWP agreement. They agreed to undertake a mission to Ottawa in 2012 to engage the federal government on issues including a Canada Energy Strategy, immigration, labour market development, greenhouse gas regulations, the promotion of the political interests of the New West within the Confederation, and promoting western Canada to new international markets. As a result of the December meeting, Alberta

GOAL FOUR **4** **Creating Opportunity – Enhance value-added activity, increase innovation, and build a skilled workforce to improve the long-run sustainability of Alberta's economy.**

is working with British Columbia and Saskatchewan to develop a New West Partnership labour force strategy.

Agreement on Internal Trade

Alberta worked with federal/provincial/territorial governments to improve the dispute mechanism that allows persons to bring complaints against governments through the Agreement on Internal Trade. This mechanism which is intended to ensure compliance with interprovincial trade commitments was built largely on the model used in the New West Partnership Trade Agreement.

Alberta has successfully pursued its interests by challenging trade restrictive measures in other Canadian jurisdictions. Most recently was Alberta's challenge against Ontario's restrictions on Alberta's public accountants doing business with Ontario clients. These restrictions are being removed.

Canada-European Union (EU) Comprehensive Economic and Trade Agreement

Alberta participated in the Canada-EU Comprehensive Economic and Trade Agreement (CETA) negotiations in 2011-12, attending preparatory federal/provincial/territorial meetings as well as negotiating sessions between Canada and the EU. Alberta also attended the annual meeting of federal/provincial/territorial ministers responsible for international trade. Participation in these events helped to ensure Alberta's key priorities and interests were communicated to the Government of Canada, including to federal negotiators and, where appropriate, to officials from the province's key international trading partners.

Alberta Competitiveness Council

In 2011 the Alberta Competitiveness Council announced 18 priority actions to improve Alberta's overall competitiveness as well as the competitiveness of four specific sectors: agriculture (grains and oilseeds), manufacturing, financial services, and petrochemicals/chemicals. The actions are highlighted in the Alberta Competitiveness Council's report, *Moving Alberta Forward*. The actions are either underway or complete and demonstrate a strong

partnership between industry and government to improve and sustain the province's competitiveness in the global economy.

Incremental Ethane Extraction Program

Government expanded the Incremental Ethane Extraction Program (IEEP), allowing Alberta's petrochemical industry to reduce Green House Gas emissions and increasing value-added investment in Alberta. The program acts as a catalyst for petrochemical producers to expand their ethane supply from non-traditional sources, such as the utilization of otherwise burned waste-gas from upgraders and refineries.

The IEEP supported the production of more than 8,000 barrels per day in incremental ethane in 2011-12. Alberta's petrochemicals industry used these volumes to manufacture products and materials used daily by other industries and Albertans.

Red Tape Reduction Task Force

The Red Tape Reduction Task Force was established in December 2011 to recommend actions to reduce regulatory burden affecting small businesses in Alberta. The Task Force consulted with small business leaders and associations from across the province. Additionally, research was initiated to assess Alberta's regulatory performance relative to other Canadian jurisdictions and identify potential areas for improvement in business regulation. The Task Force has considered this input and developed recommendations for government consideration.

Productivity Alberta

Productivity Alberta transitioned from a government entity to a private, not-for-profit company with a strong industry board. Through this new structure, Productivity Alberta is able to deliver increased productivity assistance services, such as productivity assessment tools and lean manufacturing techniques that enable Alberta's firms to be increasingly competitive.

GOAL FOUR **4** **Creating Opportunity – Enhance value-added activity, increase innovation, and build a skilled workforce to improve the long-run sustainability of Alberta's economy.**

Agriculture and Agri-Food

In May and November 2011, the government undertook two very successful joint missions to China with Agriculture and Agri-Food Canada's Market Access Secretariat and Canadian/Alberta dairy, beef breeding and canola industry associations. These missions focused on promoting Canadian offerings in dairy genetics and live cattle, canola meal, and research and development collaboration. In November 2011, the government led a mission to India focused on developing initial government and industry networks and ascertaining long term opportunities in canola oil, livestock genetics, animal nutrition and agri-machinery.

Since January 2009, the Alberta Livestock and Meat Agency Ltd. has approved more than \$80 million for projects that enhance and support Alberta's livestock industry, with a projected value of \$313 million.

In January 2012, the government announced that after an eight-year ban, producers will now be able to export beef from cattle younger than 30 months to South Korea. The South Korean market was the last major Asian market to remove its ban on Canadian beef. In 2002, Alberta exported \$442.6 million in beef to South Korea. The restoration of market access to Korea is a key development in restoring lost markets and expanding access for Alberta's beef products.

Additionally, in March 2012, the government celebrated the announcement that China will provide immediate access for Canadian beef tallow to its market, allowing Canadian beef tallow exports to China for the first time in nearly a decade. With a growing middle class, China is a market with important potential for Alberta's agri-food products.

Continued advocacy work also resulted in an end to the Canadian Wheat Board's monopoly whereby Alberta's grain farmers now have the right to choose how to market their own grain by August 2012. This will help farmers participate in a competitive marketplace, maximize returns, grow the agriculture and value-added sectors and continue to drive the Canadian economy.

Agriculture Financial Services Corporation

The Agriculture Financial Services Corporation (AFSC) continues to offer financial and lending services that support the development and expansion of agriculture, agri-business, value-added enterprises and commercial operations. Over the past seven years, lending activity has generated almost four billion dollars in economic activity across the province, with the majority of that in rural Alberta. The demand for loans through AFSC is now approaching \$500 million per annum.

Innovation

The government advanced several successful innovation, productivity and diversification initiatives including the Building Information Modeling Centre for Excellence; the Alberta Metal Fabrication Innovation Program, and the Alberta Financial Services Alliance Steering Committee. Valuable partnerships were formed with multinational companies and foreign institutions from priority markets. These include a memorandum of understanding to advance early-stage pharmaceutical innovations and a joint research, development, and commercialization funding program with the Mexican state of Jalisco to support collaborative technology commercialization projects.

Northern Alberta Development Council

In 2011-12, the Northern Alberta Development Council (NADC) continued to support the development of Alberta's north by working with regional stakeholders. Issues as diverse as northern transportation corridors and infrastructure; agriculture and forestry industry development; health initiatives; and secondary and post-secondary education were investigated collaboratively.

NADC, in collaboration with the government, delivered 203 student bursaries to support the attraction of skilled professionals needed to support communities and development in northern Alberta. In 2011-12, 85 per cent of bursary recipients returned to northern Alberta to work and live.

GOAL FOUR **4** **Creating Opportunity – Enhance value-added activity, increase innovation, and build a skilled workforce to improve the long-run sustainability of Alberta's economy.**

Economic Summit

In an effort to align economic development activities across the province, the government gathered Alberta's senior economic development professionals and leaders together for the *2012 Economic Development Summit*. As part of the discussion, a need was identified for government to provide leadership to guide the province's economic development decisions. The summit was an important first step in developing a common understanding of the province's economic development priorities and increase awareness of the interconnectedness of Alberta's economic development organizations.

Forest Resource Competitiveness

Alberta's forest industry generates more than four billion dollars per year in revenue and supports about 18,000 jobs. More than 50 communities in Alberta look to the forest industry for their livelihoods. In 2011-12, the Government of Alberta continued to work with the forest industry to identify options to improve the sector's long-term viability. Of significance was working with the forest industry to develop the Forest Products Roadmap, a strategy to redefine the province's forestry sector, develop new markets and products, and leverage the unique properties of wood fibre.

In 2011-12 the government also continued its work with neighboring provinces and the forest industry to meet the growing demand for wood products in Asia. Sending Alberta wood products to Asian markets is expected to enhance the health of Alberta's forest sector and restore jobs in Alberta's forestry-dependent communities.

A Value-added and Innovative Economy

As outlined in the *Provincial Energy Strategy* a value-added and innovative economy includes promoting the development of a world-class hydrocarbon processing cluster that can realize the commercially viable production of clean fossil fuels using gasification and carbon capture and storage technologies.

Bitumen Royalty-in-Kind Program

In consultation with oil sands producers, the government developed an implementation methodology for the Bitumen Royalty-in-Kind program to provide the Crown with physical access to bitumen blend when and where it is needed to support strategic initiatives, such as the Processing Agreement with the North West Redwater Partnership, which is currently developing a five billion dollar upgrader/refinery in Alberta's Industrial Heartland.

Innovative Energy Technologies Program

During 2011-12, the Innovative Energy Technologies Program (IETP) continued its commitment to establish the province as a world-class centre for responsible energy development. By fiscal year end, the Government of Alberta had funded 37 projects through the first five IETP rounds. These projects address a variety of research interests such as advancing production technologies to produce bitumen in reservoirs that are not yet commercial, better understanding of coal-bed methane production, and expansion of new enhanced oil and gas recovery technologies into previously inaccessible or challenging oil and gas deposits. In addition, round six of the IETP came open for applications, and by the end of March 2012, successful applicants were notified and drafting of approvals was initiated. These projects will be announced publically once all approvals are finalized. As part of facilitating innovation, the government met with all active project operators to discuss 2010 performance. Fifteen project reports for 2008 were made public.

Rural Alberta Business Centre Pilot Program

The Rural Alberta Business Centre (RABC) Pilot Program was launched to provide on-the-ground advice and information services to entrepreneurs and small businesses. The 3-year pilot will contribute to the diversification and strengthening of rural economies by helping local businesses identify and capitalize on both global and provincial opportunities. Eight RABCs were opened in 2011-12.

GOAL FOUR **4** **Creating Opportunity – Enhance value-added activity, increase innovation, and build a skilled workforce to improve the long-run sustainability of Alberta's economy.**

Innovation in Clean Energy Technologies

A memorandum of understanding between the Government of Alberta and the Government of Canada was signed enabling collaboration on a broad array of oil sands and clean energy research. This collaboration will enhance the industry's capacity to achieve responsible and sustainable oil sands development.

A detailed analysis was completed in 2011 on the commercial viability of extracting remaining hydrocarbons and heavy minerals from oil sands mining froth treatment tailings. Various options are being examined that could provide the appropriate incentives to oil sands lessees in applying this extraction technology. These options are being developed by companies for tailings management. For instance, significant quantities of zircon are found in oil sands tailings attracting the interests of companies to invest in zircon recovery and commercialization using this new technology.

Manufacturing Technology Adoption Initiatives

Alberta established manufacturing technology adoption initiatives in the metal manufacturing, aerospace and building products sectors, offering industry improved entry points to production technologies that increase employee and capital productivity.

Collaborating with the industrial construction sector, government developed labour demand and supply projections which assist in forecasting and enable industry and government to find innovative solutions for the development of more precise, harmonized strategies for the advancement of the sector.

Securities Regulatory System

Alberta initiated a reference to the Alberta Court of Appeal regarding the constitutionality of the federal government's proposal for a single federal securities regulator and intervened in support of Québec in a similar reference to the Québec Court of Appeal. Alberta also intervened in the federal government's reference to the Supreme Court of

Canada to determine the constitutional validity of its draft securities legislation. In March 2011, the two provincial courts of appeal found the draft federal legislation to be constitutionally invalid. In December 2011, the Supreme Court of Canada released its unanimous opinion that the federal government lacked the legislative authority to enact its draft securities legislation. The Supreme Court clarified that day-to-day regulation of securities is a provincial responsibility. The Supreme Court also noted that the provinces and federal government could take a cooperative approach that respects provincial jurisdiction while allowing the federal government to deal with areas of national concern. Alberta will continue to work cooperatively with other jurisdictions to improve the current securities regulatory system.

A Skilled and Educated Workforce

Advanced Learning System

The government provided nearly \$2.2 billion in operating funding to publicly-funded post-secondary institutions and \$255 million to support the expansion and preservation of post-secondary facilities. This funding secures a foundation on which the advanced learning system can build, and continues the government's support for post-secondary education in Alberta.

To encourage research excellence in Alberta, the government worked with Alberta's four comprehensive academic and research institutions and Alberta Innovates to create 16 Campus Alberta Innovation Program Chairs. The program is designed to recruit new research leaders to Alberta in strategic priority areas of energy and environment, food and nutrition, neuroscience/prions and water.

The government announced changes to the Alberta Student Aid Program introducing a flat rate student contribution and allowing students who move from full-time to part-time studies to begin repayments after graduation instead of immediately upon their change in status. Alberta is the first Canadian province to implement these two progressive changes in financial aid for post-secondary students. Government's

GOAL FOUR **4** **Creating Opportunity – Enhance value-added activity, increase innovation, and build a skilled workforce to improve the long-run sustainability of Alberta's economy.**

longstanding commitment to access to affordable advanced learning opportunities can be seen in consistently high public satisfaction with access and graduate satisfaction with value-for-money.

The government rewarded learner excellence and supported affordable learning opportunities by awarding \$70 million in scholarships to nearly 37,000 students, and providing \$268 million in provincial loans and \$18 million in grants and bursaries to over 54,000 students.

Foreign Credential Recognition

The government established a framework and evaluation process for foreign credential recognition to help Alberta meet its labour demands and strengthen the province's ties with the global skilled trades community. Additionally, in June 2011 a new online tool was developed to support employers in the attraction and retention of skilled immigrants into Alberta's workplaces. Education Overview Guides (EOG) provide employers and human resources professionals with easy access to foreign credential assessment information to help them better understand academic credentials earned abroad. Although employers are the primary target user group for the EOGs, they will also be useful to immigrants already in Alberta/Canada, prospective immigrants as well as students who are planning to study abroad to understand how potential overseas credentials compare.

High School Completion

Completing high school is a critical step for Alberta's youth in creating a positive future for themselves and their families, and to participate fully in a growing and dynamic economy. The Alberta High School Completion Framework is supported by a number of innovative projects and initiatives related to five core strategies – student engagement, successful transition, collaborative partnerships, positive connections and tracking progress. More information on initiatives related to each of these five strategies is available online at: www.education.alberta.ca. For example, as part of

its comprehensive high school completion strategy, in 2011-12 government:

- ♦ Developed four reading intervention training modules;
- ♦ Piloted the second year of a three-year Tell Them From Me Online Student Engagement Survey project in school jurisdictions; and
- ♦ Posted the High School Completion Progress Report online at: www.education.alberta.ca.

Curriculum Redesign

In 2011-12, government completed extensive work on Curriculum Redesign, which is aimed at ensuring that Alberta's Kindergarten to Grade 12 curriculum (programs of study, assessment, and learning and teaching resources) remains responsive and relevant for students. Three research roundtables were held and an Action on Curriculum Symposium was co-hosted by government and the Alberta Teachers' Association, resulting in the development of the draft Guiding Principles for Future Curriculum Design. A draft of the curriculum standards and guidelines was developed to align with the Guiding Principles for Future Curriculum Design. A pilot strategy was developed for curriculum redesign with Red Deer Catholic School Division.

Provincial Dual Credit Strategy

Dual credit opportunities provide high school students with a way of bridging Kindergarten to Grade 12 and post-secondary education. Students can participate in apprenticeship training or post-secondary college, technical or university courses and earn both high school and post-secondary credits for the same course.

In January 2012, an initiative was started to create more opportunities for students to earn credits in high school and post-secondary institutions at the same time. This strategy is under development and will be finalized in the near future.

GOAL FOUR **4** **Creating Opportunity – Enhance value-added activity, increase innovation, and build a skilled workforce to improve the long-run sustainability of Alberta's economy.**

Workforce Investment

Alberta Works Centres

Government is investing in an internationally competitive workforce that employs leading technologies and develops innovative approaches to address present and future challenges. Alberta Works Centres across the province worked with business and industry to assist with attraction and retention of workers as well as address workforce adjustment needs. This included over 350 on-site recruitment events held in Alberta Works Centres, large scale job fairs and sector-specific recruitment events in communities across Alberta. Alberta Works Centres play a key role in providing tools and resources to help Albertans find and keep employment. In 2011-12, approximately 1.9 million Albertans visited Alberta Works Centres across Alberta. To connect Albertans to the labour market, staff provides job leads, labour market information, career and employment consultation and print and online resources. Workshops assist Albertans to make the right choices for their training and employment needs. Webcam technology is being utilized to improve services to rural Albertans.

Aboriginal Workforce Initiatives

Government has recognized that the Aboriginal population is younger and growing at a faster pace than the non-Aboriginal population and is a promising skilled and competitive workforce for the province. The Alberta Works Program enhanced labour force participation of the Aboriginal population in Alberta's labour market through employment-focused, industry-connected training in trades careers and promotion of health careers for Aboriginal youth.

Connecting the Dots: Aboriginal Workforce and Economic Development in Alberta and the Government of Alberta Response to the Report

In May 2011, the Government of Alberta released an MLA Committee Report titled Connecting the Dots: Aboriginal Workforce and Economic Development in Alberta and the government's response to the report. The MLA committee was appointed to

engage with Aboriginal leaders, organizations and stakeholders (industry, training and service providers, educational institutions, and economic development organizations) to discuss workforce participation, challenges, and opportunities, and to develop a report. A key recommendation of the MLA report and a strategic priority of the government is the development of an Aboriginal Workforce Strategy, intended to address the workforce and skills training needs of Aboriginal people in Alberta. Invitations have been sent to Aboriginal leaders in the province, requesting representatives to help begin developing the Aboriginal Workforce Strategy.

Work commenced on two other strategic priorities, including exploring opportunities to streamline grants that support Aboriginal economic development, and working to better support Aboriginal urban transitions.

In relation to economic development, a Funders Table was initiated in 2011-12, comprised of various provincial and federal government departments, in order to collectively assess Aboriginal economic development grant applications or proposals and to identify potential funding partners.

In relation to Aboriginal urban transitions, in addition to co-hosting the Edmonton Aboriginal Gathering and Dialogue in February 2012, additional funding of \$100,000 was provided to the Aboriginal Friendship Centre of Calgary and the Aboriginal Council of Lethbridge to assist with their capacity to address issues around transition services and workforce participation.

Aboriginal Economic Partnerships Initiative

In addition, under the Aboriginal Economic Partnerships Initiative, the Government of Alberta committed \$4.95 million towards Aboriginal economic development. These projects aimed to enhance the capacity of Aboriginal people and communities to fully participate in Alberta's economy.

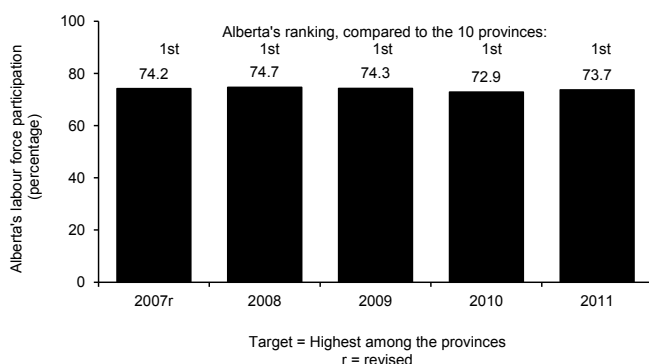
GOAL FOUR **4** Creating Opportunity – Enhance value-added activity, increase innovation, and build a skilled workforce to improve the long-run sustainability of Alberta's economy.

Performance Measures

Results Analysis

Labour Force Participation Rate (see note 19)

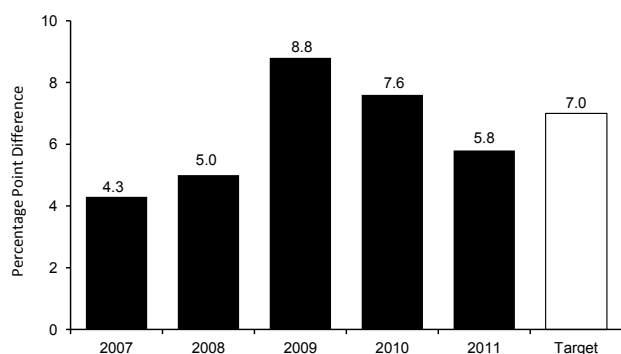
Inter-provincial rank of Alberta labour force participation rate.



- ♦ In 2011, the labour force participation rate for Alberta was 73.7 per cent, which ranked the highest in Canada and met the target for this performance measure. By comparison, the Canadian rate was 66.8 per cent, the rate next-highest to Alberta's was 69.3 per cent, and the lowest rate in the country was 60.0 per cent.
- ♦ Alberta's economy continues to be one of the strongest in Canada. As the economy continues to slowly recover, it is expected that the labour force participation rate will continue to increase across Canada, with the highest rate in Alberta.
- ♦ The labour force participation rate represents the percentage of the working-age population that is either employed or actively seeking employment. The inter-provincial rank of labour force participation is an indicator of Alberta's effectiveness in addressing labour force needs relative to that of other provinces. The Alberta government contributed to this result by working to address issues related to labour force development, labour shortages, skills deficits, immigration and labour force planning and productivity.

Aboriginal Employment (off reserve) (see note 20)

Percentage point difference between the unemployment rate of Aboriginal people living off reserve and other Albertans.



- ♦ In 2011, the unemployment rate for the non-Aboriginal population in Alberta was 5.3 per cent while the unemployment rate for the off-reserve Aboriginal population was 11.1 per cent. The difference of 5.8 percentage points met the target of 7.0 percentage points or less. This was possibly due to the global and provincial economic growth in 2011, which had a greater impact on lowering the unemployment rate of the off-reserve Aboriginal population than on lowering that of the non-Aboriginal population from the previous year.
- ♦ The 2011 result was an improvement over the 2010 and 2009 results, by 1.8 and 3.0 percentage points, respectively. This improvement reflects the recent global and provincial economic recovery. Government will continue to take actions to support Aboriginal people in improving their employment outcomes.

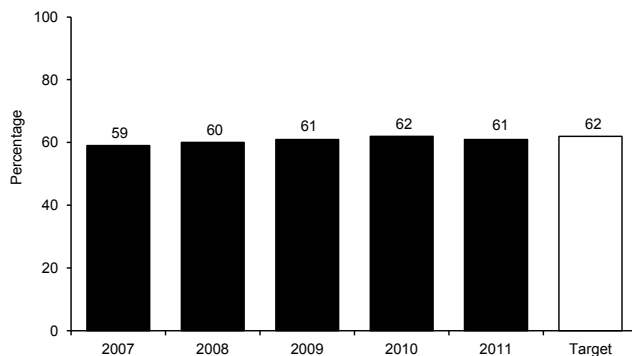
GOAL FOUR **4** **Creating Opportunity – Enhance value-added activity, increase innovation, and build a skilled workforce to improve the long-run sustainability of Alberta's economy.**

Performance Measures

Results Analysis

Post-secondary Education Attainment Rate (see note 21)

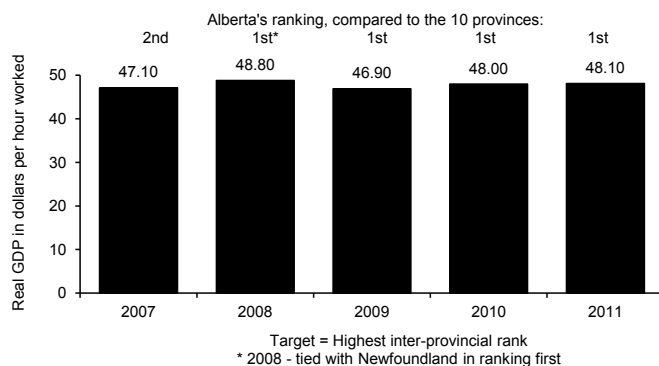
Percentage of Albertans age 25-64 that have completed post-secondary education.



- ♦ In 2011, 61 per cent of Albertans age 25-64 reported completing a post-secondary certificate, diploma, or university degree.
- ♦ The overall upward trend of this measure may be related to the increasing demand for workers with post-secondary credentials.
- ♦ This measure indicates Alberta's provision of a highly skilled workforce, and speaks to the province's economic and social wellbeing.

Labour Productivity (see note 22)

Inter-provincial rank of real Gross Domestic Product (GDP) in dollars per hour worked.



- ♦ The target for this measure demonstrates that Alberta ranks first among all provinces for the level of labour productivity. For 2011, this target was achieved, as Alberta's labour productivity of \$48.10 per hour was 6.7 per cent higher than that of the second highest province, Newfoundland.
- ♦ Alberta's high productivity level is mainly the result of its large oil and gas extraction sector. This sector accounts for almost one-quarter of the Alberta economy and has a productivity level of about \$270 per hour, compared with the Alberta average of \$48.10 per hour.
- ♦ Even though Alberta has the highest productivity level of all provinces, it also has the lowest growth rate in labour productivity. Alberta's low growth rate is in part due to the decline in its oil and gas sector as productivity has declined at an average annual rate of 3.1 per cent, mainly because of declining conventional oil and gas reserves, high oil prices, the transition to more labour and capital intensive oil sands.

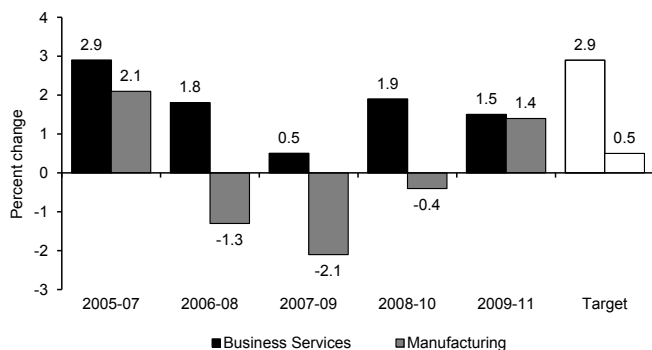
GOAL FOUR **4** Creating Opportunity – Enhance value-added activity, increase innovation, and build a skilled workforce to improve the long-run sustainability of Alberta's economy.

Performance Measures

Results Analysis

Labour Productivity (see note 22)

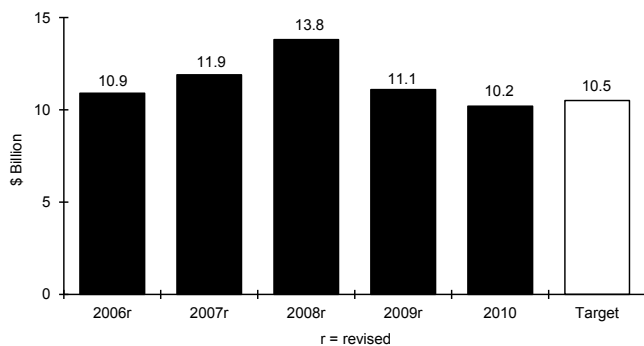
Per cent growth (3-year moving average) in GDP per hour worked: Business Services and Manufacturing



- ♦ The target for the business service labour productivity measure is for a three-year growth rate of 2.9 per cent in 2011. This target was not achieved as business service labour productivity grew by a three-year average of 1.5 per cent.
- ♦ Between 2008 and 2011, labour productivity declined in the following two business service sub-sectors: pipeline transportation; and administrative and support services.
- ♦ The target for the manufacturing labour productivity measure is for a three-year growth rate of 0.5 per cent in 2011. For 2011 this target was achieved as manufacturing labour productivity grew by a three-year average of 1.4 per cent.
- ♦ Between 2008 and 2011, labour productivity growth was particularly strong in the following two manufacturing sub-sectors: machinery; and chemicals.

Manufacturing and Service Industry Investment (see note 23)

The value of Alberta's capital investment by the manufacturing and services sector in current dollars (annual percentage change).



- ♦ There was significant growth in total investment between 2009 and 2010 (+23.8 per cent), but primarily in industries outside of manufacturing and services such as oil and gas extraction (+65.1 per cent) and housing (+29.4 per cent).
- ♦ Though results for 2009 and 2010 for this measure were poor, estimates of their growth in coming years is much more positive. Preliminary actual for 2011 indicate growth of 12.8 per cent and estimates for 2012 predict 12.2 per cent growth. These can change significantly from final actual, but the recent trend is investment is strongly positive.
- ♦ An explanation for the 2010 drop can be attributed to large decreases in investment in accommodation and food services (-40.3 per cent), professional, scientific, and technical services (-20.1 per cent), pipeline transportation (-15.3 per cent), and manufacturing (-6.4 per cent). Preliminary actuals for 2011 show that investment in these industries is expected to rebound strongly (except for manufacturing with a 0 per cent 2011 preliminary actual).

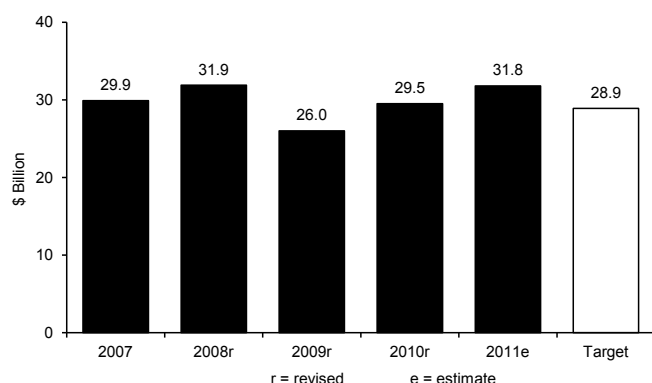
GOAL FOUR **4** **Creating Opportunity – Enhance value-added activity, increase innovation, and build a skilled workforce to improve the long-run sustainability of Alberta's economy.**

Performance Measures

Results Analysis

Manufacturing and Service Exports (see note 24)

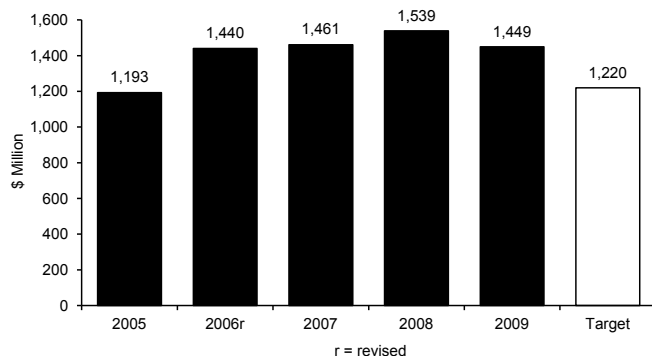
The value of Alberta's international exports of manufactured goods and services in current dollars (annual percentage change).



- ♦ For 2011, only up-to-date information for manufacturing (two-thirds of the total) was available. Manufacturing exports rose 9.2 per cent on a stronger United State economy which led to higher prices for chemicals and refinery products, and a greater demand for oil and gas field machinery.
- ♦ Service exports are expected to grow in 2011; however the data for service exports is not yet available. A growth rate of 5.0 per cent, identical to the Canadian growth rate was assumed.

Business Expenditures on Research and Development (see note 25)

Alberta business expenditures on research and development.



- ♦ In 2009, business expenditures on research and development were \$1,449 million, exceeding the target of \$1,220 million.
- ♦ While this measure is influenced by many external factors, the highest percentage of research and development activity is being performed in the oil and gas sector.
- ♦ This measure provides an indication of the business climate for industrial research, which has the potential to produce innovative ideas, products and processes that can yield significant economic and social benefits for the province.

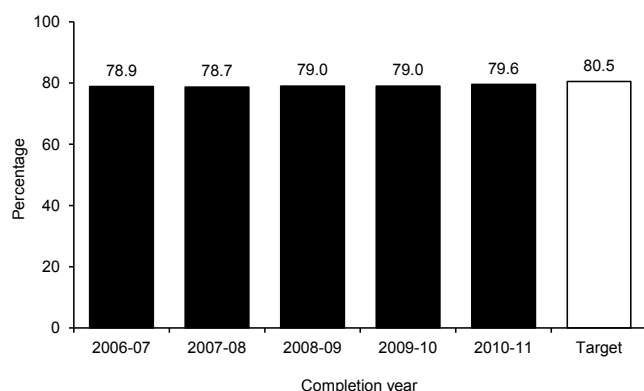
GOAL FOUR **4** **Creating Opportunity – Enhance value-added activity, increase innovation, and build a skilled workforce to improve the long-run sustainability of Alberta’s economy.**

Performance Measures

Results Analysis

High School Completion Rate (see note 26)

High school completion rate of students within five years of entering Grade 10.



- ♦ In 2010-11, 79.6 per cent of students completed high school within five years of entering Grade 10. The target was not met, although the high school completion rate has increased gradually over time. This indicates that parents, students and schools continue to recognize high school completion is important for students' future success.
- ♦ External factors such as the economy might have had an effect on the high school completion rate. The province experienced an economic downturn in 2008 and 2009 and as a result more students might have stayed in high school rather than leaving to join the labour force.
- ♦ The percentage of students employed part-time who report they work more than 20 hours per week declined from 20 per cent to 14 per cent.
- ♦ Research based on the Youth in Transition Survey suggests that working more than 20 hours per week may interfere with realizing one's educational potential. Thus, the decrease in the number of students working more than 20 hours per week may have contributed to an increase in students completing their studies.
- ♦ In Statistics Canada's 2011 Labour Force Survey, 91 per cent of Albertans age 25-34 reported they had completed high school.

Innovative and Sustainable Transportation System

Improved Provincial Highway System

The government continued to improve the provincial highway network, the backbone of our transportation system, to support a stronger economy and the population growth of our communities.

Over 90 per cent of the Edmonton ring road is now open to traffic. The Northwest segment of Edmonton's ring road opened in November 2011, and the five interchange projects along southwest Anthony Henday Drive were completed: Cameron Heights; Rabbit Hill Road; Callingwood Road; Lessard Road; and Stony Plain Road. Request for Proposals were issued in May 2011 to select a proponent for construction of the final northeast segment were of the Anthony Henday.

In Calgary, a public-private partnership was announced in April 2011 to begin construction on the southeast segment of Calgary's Stoney Trail which is scheduled for completion in the fall of 2013. Construction on the Nose Hill Drive interchange was also started for completion in the fall of 2013.

In addition, government continued to preserve Alberta's existing highway network. Over 1,200 kilometres of highway were paved, including sections of Highway 41, Highway 1 and Highway 49. Sections of Highway 1A by the town of Cochrane and Highway 2A by the City of Lacombe were twinned, and progress continues to be made on twinning Highway 63 by Wandering River. Continued construction of the North Saskatchewan Bridge on Highway 22 east of Drayton Valley and the South Saskatchewan River Bridge on Highway 1 in Medicine Hat further support connectivity.

Improved Transportation for Albertans

In October 2011, Alberta became the first North American jurisdiction to deregulate and open the inter-city bus transportation market. The new framework created a more flexible and responsive bus system that will foster competition and better service for Albertans, while still ensuring the safety of

passengers and the public. It also opens opportunities for the expansion of regional transit services, further improving mobility in the province.

In 2011, over \$1.1 billion of grant funding was provided to municipalities throughout the province to support critical transportation and other municipal infrastructure. The Green Transit Incentive Program (GreenTRIP) supported the municipal development of public transit and the extension of light rail transit systems for Albertans. GreenTRIP is supporting the municipal development of public transit which is allowing Albertans to travel in ways – and to places – they could not before. This program is a perfect example of government's partnership with municipalities for the benefit of residents and Albertans in general.

Support for Northern and Oil Sands Development

In early 2012, the Athabasca Oil Sands Area Transportation Coordinating Committee was created to steward the development of transportation options in northeast Alberta.

Construction of a new five-lane bridge over the Athabasca River on Highway 63 was completed and opened to traffic in October 2011 to better meet transportation needs. Additional progress has been made in the construction of the Confederation Way and Thickwood Boulevard interchanges on Highway 63 to facilitate traffic flow.

Traffic Safety Initiatives (See also goal three Impaired Driving)

Alberta's Traffic Safety Plan – comprising legislation, community initiatives, public education and awareness, enforcement and road engineering – continues to contribute to making Alberta roads safer.

In 2011, the three-year rolling average combined fatal and major injury collision rate was 70.5 per 100,000 population, marking a six per cent decrease over the previous year's result. Also, over 95 per cent of Albertans regularly used their seatbelts to help keep them safe on our roads, which is an increase of three per cent from 2010.

Tougher legislation for impaired driving was passed in December 2011 with Bill 26 (*Traffic Safety Amendment Act*, 2011). The new legislation aims to change behaviours to keep drivers who drink from getting behind the wheel. It introduces stronger sanctions for those drivers with blood alcohol content greater than .05, with the strongest sanctions reserved for repeat offenders, and those criminally impaired with blood alcohol content over .08. The new legislation is scheduled to be implemented in phases starting in summer 2012.

The *Traffic Safety (Distracted Driving) Amendment Act*, 2010 and the Distracted Driving Regulation came into force in September 2011 to help reduce avoidable collisions. This new legislation encourages drivers to focus on driving while operating a vehicle and eliminate distractions.

Investing in Public Infrastructure

Government continued to invest in schools, hospitals and other public infrastructure to support the needs of Alberta communities.

Learning Facilities

Several learning facility projects are nearing completion. As part of the Alberta Schools Alternative Learning Procurement (ASAP) Phase II, 10 new school facilities in communities around Edmonton and Calgary will open to students in September 2012. Four new high schools are also progressing toward completion and will open to students in September 2012. In total, the ASAP II facilities will provide an additional 12,000 student spaces. Investment has been maintained to address post-secondary institution infrastructure needs across the province. With recently completed and current projects underway, these facilities will provide additional capacity for over 8,000 students. Facilities such as the Taylor Family Digital Library at the University of Calgary and the Edmonton Clinic Health Academy at the University of Alberta opened to the public in September 2011.

Health Facilities

Government maintained its commitment to develop infrastructure to support healthcare delivery in Alberta, working across the healthcare system to meet the needs of Albertans. The province undertook 28 active projects in 15 communities across the province.

Three facilities were completed and turned over to Alberta Health Services: Fort Saskatchewan Community Hospital; University of Alberta Stollery Children's Hospital Inter-operative Magnetic Resonance Imaging Suite; and the first two phases of Grande Prairie Queen Elizabeth II Emergency and Endoscopy Redevelopment.

Other Public Facilities

Investment was maintained to provide other innovative and efficient public facilities necessary to support service delivery to Albertans. The Edmonton Remand Centre and the Federal Building were advanced, and the Greenhouse Research and Production Complex near Brooks was completed. Additionally the province worked with its partners to aid in the recovery of the community of Slave Lake, and provided over 200 homes in three subdivisions to house residents displaced by the wildfires that struck the town in May 2011.

Greening Government

Government remains committed to conducting government business and facilities in an environmentally sustainable manner. An action plan was released to support the Greening Government Strategy to reduce the environmental impacts of government operations. Currently, where available, 100 per cent of government office facilities are operated using EcoLogo-certified electricity.

Connectivity

Alberta Supernet

The Alberta SuperNet continued to support over 3,800 government buildings, libraries, schools, hospitals and municipalities in 402 rural and 27 urban communities province wide. In addition, government consulted with and designed new services for stakeholders, and worked to construct and provide connectivity to 12 new schools in 2011-12.

Final Mile Rural Connectivity Initiative

The Final Mile Rural Connectivity Initiative is the Alberta government's strategy to ensure reliable, high-speed Internet is available to at least 98 per cent of Albertans. Today, about 43,600 rural Alberta households are currently without access to high-speed Internet service. The market is ever changing and the government continues to monitor these numbers. Government is also working to assist municipalities, First Nations and Metis Settlements with broadband plans already underway.

Spending on Programs and Services and Public Infrastructure

Long-term Fiscal Plan

Government engaged in a series of roundtables throughout the province to solicit views on the priorities for Alberta and fiscal options around balanced budgets and savings. These views were considered in the development of Budget 2012.

In spring 2012 the *Results Based Budgeting Act* was passed. The act will form the basis of a comprehensive review of government programs and services to ensure that they are effectively supporting Albertans. The recommendations from the review will support the development of a long-term fiscal plan.

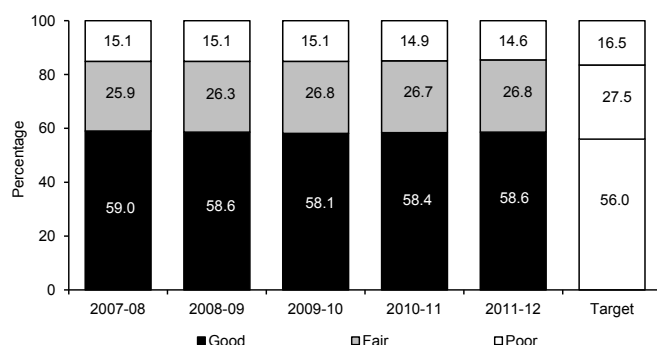
GOAL FIVE **5** Building Tomorrow – Provide the roads, schools, hospitals and other public infrastructure to meet the needs of a growing economy and population.

Performance Measures

Results Analysis

Physical Condition of Provincial Highways (see note 27)

Physical condition of pavement as good, fair or poor.



- In 2011-12, 58.6 per cent of the paved highways were in good condition compared to the target of 56 per cent; 26.8 per cent of the paved highways were in fair condition compared to the target of 27.5 per cent; 14.6 per cent of the paved highways were in poor condition compared to the target of 16.5 per cent.
- Government recognizes the provincial highway system is critical to the economic prosperity and social growth of the province. Therefore, the government continued to invest in highway repaving and innovative solutions to maintain the percentage of highways in safe, good and fair condition under severe weather conditions and increased traffic flows.
- The provincial highway network consists of approximately 31,000 kilometres of roadways, of which about 27,600 kilometres are paved.

Physical Condition of Learning Facilities (see note 28)

– School Facilities – in good, fair or poor condition.

Year	Condition		
	Good	Fair	Poor
2011-12	61%	37%	2%

- In 2011-12, 61 per cent of school facilities were in good condition, 37 per cent in fair condition and two per cent in poor condition. These results were within the expected range; revisions to the evaluation methodology are expected to have a one to two year impact on results before stabilizing.
- The results for 2011-12 are not comparable against targets set under the previous methodology. Improvements made to the methodology have resulted in greater consistency in calculating the Facility Condition Index (FCI) across learning, government-owned and health facilities.
- While ensuring the safety of public facilities is paramount, maintenance schedules balance resources and competing priorities in meeting Albertans needs.

GOAL FIVE **5** Building Tomorrow – Provide the roads, schools, hospitals and other public infrastructure to meet the needs of a growing economy and population.

Performance Measures

Results Analysis

Physical Condition of Learning Facilities (see note 29)

– Post-secondary Facilities – in good, fair or poor condition.

Year	Condition		
	Good	Fair	Poor
2011-12	72%	23%	5%

- ♦ In 2011-12, 72 per cent of post-secondary facilities were in good condition, 23 per cent in fair condition and five per cent in poor condition. These results were within the expected range; revisions to the evaluation methodology are expected to have a one to two year impact on results before stabilizing.
- ♦ The results for 2011-12 are not comparable against targets set under the previous methodology. Improvements made to the methodology have resulted in greater consistency in calculating the Facility Condition Index (FCI) across learning, government-owned and health facilities.
- ♦ Since 2009, there has been additional federal and provincial funding for maintenance. In 2011-12, \$79.3 million was provided to institutions from the Infrastructure Maintenance Program.

Physical Condition of Government-owned and Operated Facilities (see note 30)

Rating as good, fair or poor.

Year	Condition		
	Good	Fair	Poor
2011-12	73%	26%	1%

- ♦ In 2011-12, 73 per cent of government-owned and operated facilities were in good condition, 26 per cent in fair condition and one per cent in poor condition. These results were within the expected range; revisions to the evaluation methodology are expected to have a one to two year impact on results before stabilizing.
- ♦ The results for 2011-12 are not comparable against targets set under the previous methodology. Improvements made to the methodology have resulted in greater consistency in calculating the Facility Condition Index (FCI) across learning, government-owned and health facilities.
- ♦ A significant portion (40 per cent) of government-owned and operated space was built between 1975 and 1985 and is approaching a time when major upgrading or refurbishment will be required to maintain them.

GOAL FIVE **5** **Building Tomorrow – Provide the roads, schools, hospitals and other public infrastructure to meet the needs of a growing economy and population.**

Performance Measures

Results Analysis

Physical Condition of Health Facilities

Rating as good, fair or poor.

Year	Condition		
	Good	Fair	Poor
2011-12	77%	20%	3%

- ♦ In 2011-12, 77 per cent of health facilities were in good condition, 20 per cent in fair condition and three per cent in poor condition. These results were within the expected range; revisions to the evaluation methodology are expected to have a one to two year impact on results before stabilizing.
- ♦ The results for 2011-12 are not comparable against targets set under the previous methodology. Improvements made to the methodology have resulted in greater consistency in calculating the Facility Condition Index (FCI) across learning, government-owned and health facilities.
- ♦ A larger proportion of the health facilities inventory is now included in the building condition index.

SOURCES AND NOTES

1. River Water Quality Index

Source: Environment and Water

Note(s): River water quality is based on the Oldman River, Bow River, Red Deer River, North Saskatchewan River, Smoky/Peace Rivers and Athabasca River. Various natural and human factors, including flow volume, degree of development in the basin, point source effluent discharges, and non-point source runoff (e.g., from agricultural fields), can influence the River Water Quality Index. In July of 2010, significant rainfall events in the Red Deer River Basin likely contributed to increased non-point source runoff to the River. Contaminants (bacteria, nutrients, pesticides) transported by this runoff may have caused an increase in the number and magnitude of water quality guideline exceedances, resulting in a lower River Water Quality Index rating at the downstream monitoring station.

The index reported is based on the measurement of four groups of variables (metals, bacteria, nutrients and pesticides) present in the river water. The measurement is assigned a rating based on the following guidelines: 96-100 Almost always met; Best quality (Excellent); 81-95 Occasionally exceeded, but usually by small amounts; threat to quality is minimal (Good); 66-80 Sometimes exceeded by moderate amounts; quality occasionally departs from desirable levels (Fair); 46-65 Often exceeded, sometimes by large amounts; quality is threatened, often departing from desirable levels (Marginal); 0-45 Almost always exceeded by large amounts; quality is significantly impaired and is well below desirable levels; Worst quality (Poor). Both upstream and downstream monitoring stations must achieve a minimum rating of good for the river to receive an overall score of good to excellent.

2. Municipal Solid Waste to Landfills

Source: Environment and Water

Note(s): Waste from the residential sector; the industrial, commercial, and institutional sector; and the construction, renovation, and demolition sector collected at municipal landfills is included in this measure. The calculation is based on the kilograms of municipal solid waste sent to each landfill divided by the population. The population data are derived from the most up-to-date population statistics, either Municipal Affairs official population list or Statistics Canada 2011 census data. Municipal Affairs uses Statistics Canada census data unless a municipality has conducted a census and can provide more current data. In 2011, Statistics Canada data was updated. Approximately 83 per cent of Alberta's population is served by reporting landfills. Estimates are used for the remaining population.

3. Air Quality Index

Source: Environment and Water

Parkland Airshed Management Zone, Calgary Region Airshed Zone, Fort Air Partnership, Peace Airshed Zone Association, Palliser Airshed Society, and Lakeland Industry and Community Association.

Note(s): The 2011 Air Quality Index methodology has been enhanced and therefore results are no longer comparable to the target or historical data prior to 2010. The results reflect the new monitoring technology implemented at eleven air monitoring stations across Alberta which better accounts for the total fine particulate matter (PM_{2.5}) concentration. This initiative is part of the National Air Pollution Surveillance Program being implemented across Canada.

4. **Total Greenhouse Gas Emissions**

Source: Environment Canada

Note(s): Results are based on the success in meeting the greenhouse gas emissions growth targets measured in million tonnes of CO₂ equivalent, as outlined in *Alberta's 2008 Climate Change Strategy*. Alberta's total emissions are reported in the National/Provincial/Territorial Tables.

5. **Ease of Access to Services**

Source: Physician Services – 2008: Health Quality Council of Alberta. Satisfaction with Health Care Services: A Survey of Albertans, conducted by the Population Research Laboratory at the University of Alberta.

2010, 2012: Health Quality Council of Alberta. Satisfaction and Experience with Health Care Services: A Survey of Albertans, conducted by the Population Research Laboratory at the University of Alberta.

2009, 2011: Health Quality Council of Alberta. Provincial Survey about Health and the Health System in Alberta, conducted by the Population Research Laboratory at the University of Alberta.

Source: Emergency Department Services – 2006, 2008: Health Quality Council of Alberta. Satisfaction with Health Care Services: A Survey of Albertans, conducted by the Population Research Laboratory at the University of Alberta.

2010, 2012: Health Quality Council of Alberta. Satisfaction and Experience with Health Care Services: A Survey of Albertans conducted by the Population Research Laboratory at the University of Alberta 2011: Health Quality Council of Alberta.

2011 Provincial Survey about Health and the Health System in Alberta conducted by the Population Research Laboratory at the University of Alberta.

Note(s): Results reflect the percentages of Albertans rating ease of access to physician services, and ease of access to emergency department services, as easy or very easy. The rating of ease of access to physician services is based on a telephone survey of 2,658 randomly selected households in Alberta. The overall

response rate to the survey was 32.8 per cent. A total of 2,234 people who had personally received health services from a physician in Alberta within the past year were asked to rate ease of access to these services. Results are reliable within +/-2.3 per cent, 19 times out of 20.

To assess ease of access to emergency department services, HQCA conducted a telephone survey of 2,658 randomly selected households in Alberta. The overall response rate to the survey was 32.8 per cent. There were 1,205 survey respondents who had accessed emergency department services in Alberta in the past year to receive care for an illness or injury. They were asked to rate ease of access to emergency department services needed most recently. Results are reliable within +/-3.8%, 19 times out of 20.

6. **Public Rating of Health System Overall**

Source: Source is the same as note 5 Ease of Access to Services: Physician Services

Note(s): Results reflect Albertans' rating of the health care system and the quality of medical services it provides. The result is based on a telephone survey of 2,658 randomly selected households in Alberta. The overall response rate to the survey was 32.8 per cent. A total of 2,644 survey respondents answered the question on rating the health care system and the quality of medical care it provides. Results are reliable within +/-2.5 per cent, 19 times out of 20.

7. **Satisfaction with Health Care Services Received**

Source: Source is the same as note 5 Ease of Access to Services: Physician Services

Note(s): Results reflect Albertans' overall rating of their satisfaction with health care services personally received in Alberta. The result is based on a telephone survey of 2,658 randomly selected households in Alberta within the past year. The overall response rate to the survey was 32.8 per cent. A total of 2,484 survey respondents answered the question on satisfaction with health care services personally received in Alberta within the past year. Results are reliable within +/-2.6 per cent, 19 times out of 20.

8. Continuing Care

Source: Persons waiting in an acute care hospital bed; Persons waiting in the community: Alberta Health Services, Stratahealth Pathways (Calgary and Edmonton Zones); Meditech (North, Central and South Zones).

Note(s): The number of persons waiting in an acute care hospital bed/waiting in the community for continuing care is defined as the number of individuals assessed and approved for publicly funded continuing care living options who are waiting in acute care and sub-acute care hospital beds/waiting in the community at a specific point in time (March 31st).

Source: Quality of accommodation services provided in supportive living and long-term care facilities: Accommodation Standards Tracking and Licensing (ASTRAL) System

Note(s): This measure represents the percentage of supportive living and long-term care facilities that were fully compliant with the supportive living and long-term care accommodation standards as of March 31, 2012. Supportive living facilities include Group Homes, Assisted Living and Lodges.

9. Public Perception of Safety in the Neighbourhood

Source: Justice 2011-12 Public Opinion Survey and Solicitor General and Public Security 2011-12 Public Opinion Survey

Note(s): To survey a random and representative sample of adult Albertans, quotas were established based on 2006 census data from Statistics Canada. Resinnova Research Inc is the third party consultant that has conducted the surveys. A public opinion telephone survey has been conducted on an annual basis on behalf of Justice and Solicitor General and Public Security since 1996. Historically, a joint survey was conducted by the ministries, but beginning in 2008-09, the two ministries conducted public opinion surveys independent of one another.

The same survey question used to measure public perception of safety in the neighbourhood was asked in both ministries' surveys. Justice used a sample size of 750 (as has been used in the

past), while Solicitor General and Public Security used a sample size of 1,200. The two samples were mutually exclusive, i.e., no respondents completed the survey more than once. The sample size for this question, therefore, was 1,950 when the results of both surveys were combined. Of 1,950 respondents, 1,591 (82 per cent) felt very safe or reasonably safe walking alone in their neighbourhood after dark. The response rate was 40 per cent and the results are considered reliable within +/-2.2 per cent, 19 times out of 20.

10. Participation in the Arts

Source: Culture and Community Services, Survey of Albertans on Culture

Note(s): Albertans were asked if they had personally attended or participated in a broad range of arts activities or events in the last year, such as attending live performances, festivals, home based arts activities, writing/publishing a literary work, school and community based arts programs and the purchasing of art products.

11. Affordable Housing Units

Source: Municipal Affairs

Note(s): This measure is comprised of the total affordable housing units approved for development from a variety of housing programs.

The 2011-12 calculation of units is based on total affordable housing units approved for development with capital funding support from the Housing Capital Initiatives Request for Proposals (RFP) Funding.

The 2010-11 calculation of units is based on total affordable housing units approved for development with capital funding support from the Housing Capital Initiatives RFP funding.

The results do not include rent supplement units supported with block funding.

Through the development of partnerships, the reporting of housing units includes funding up to 70 per cent of the costs relating to the construction of new rental units, purchase/renovation of existing rental accommodation units, development of secondary suites in private dwellings as affordable housing, conversion of non-residential space to residential units, and other identified priorities.

This presentation is based on the most recent information available. The results are updated when new information becomes available. This presentation is based on approved or updated housing plans as at March 31, 2012.

	Percentage breakdown of funding allocated by number of units		Total
	15-50%	51-70%	
2011-12			
Housing Capital Initiatives	280	932	1,212
2010-11			
Housing Capital Initiatives	420r	1,585r	2,005r

r - revised

12. Albertans' Satisfaction with their Local Governments

Source: Municipal Affairs, Albertans' Satisfaction with their Municipal Government Survey

Note(s): The measure reports the percentage of adult Albertans who are somewhat satisfied to very satisfied with their municipal government. The results are based on a telephone survey of a representative sample of 1,000 adults from 16 urban centers and two rural regions. The results are considered reliable within +/- 3.6 per cent 19 times out of 20.

13. Support for Albertans with Developmental Disabilities

Source: Seniors, Persons with Developmental Disabilities Family and Guardian Satisfaction Survey

Note(s): The biennial survey results are based on whether respondents strongly agree, agree or somewhat agree that they were satisfied with PDD-funded services. Prior to 2008-09, the survey used a four-point scale, with overall agreement reflecting respondents who strongly agreed or agreed that they were satisfied.

A written questionnaire was sent by mail to legal guardians of adults receiving PDD-funded services in Alberta. Respondents had the option to instead fill out the survey online. Security measures were implemented to control access to the online survey, data entry, and data retrieval to ensure the accuracy and integrity of data.

In the last survey, a total of 6,008 survey forms were distributed and 1,913 valid responses were received (12.8 per cent completed online). There

was a 36.4 per cent response rate to the survey and the results are considered reliable within +/- .3 per cent 19 times out of 20.

14. Social and Emotional Development

Source: Statistics Canada and Human Resources and Skills Development Canada – National Longitudinal Survey of Children and Youth

Note(s): The last results are based on the now discontinued biennial survey designed to track child development and well-being from birth to early adulthood. The survey includes information about how a child's family, friends, activities, school and community affect their learning, behaviour and health.

The Emotional Development result is reliable to within +/-1.1 per cent nationally and to 3.2 per cent in Alberta, 19 times out of 20.

The Social Development result is reliable to within +/- 1.1 per cent nationally and to 2.9 per cent in Alberta, 19 times out of 20.

15. Violent Crime Rate

Source: Canadian Crime Statistics, Canadian Centre for Justice Statistics

Note(s): Historical results have been revised to reflect the latest information reported under the new UCR2 format from the Canadian Centre for Justice Statistics. Violent crime includes homicide, attempted murder, various forms of sexual assault, robbery and abduction. This does not include traffic incidents that result in death or bodily harm.

16. Property Crime Rate

Source: Canadian Crime Statistics, Canadian Centre for Justice Statistics

Note(s): Historical results have been revised to reflect the latest information reported under the new UCR2 format from the Canadian Centre for Justice Statistics. Property crime includes theft, break-and-enter, fraud and possession of stolen goods. This does not include the use of threat of violence against an individual.

17. Volunteerism

Source: Culture and Community Services, Survey of Albertans on Culture

Note(s): Albertans were asked if they had volunteered in areas such as arts, culture, sports, recreation, libraries, human services, youth development, informal volunteering or any other type of volunteer work.

18. Support for Albertans with Low Income who Need Temporary Help

Source: Human Services

Note(s): The results of this measure are obtained through the Work Outcomes Reporting Project (WORP) survey. An independent consultant was retained through WORP to contact former Income Support Program participants three months after they left the program. Participants are asked to respond to the question, “Have you been employed at any time since you stopped receiving social assistance (welfare)?”

19. Labour Force Participation Rate

Source: Statistics Canada Labour Force Survey and Human Services

Note(s): The labour force participation rate represents the percentage of the working-age population (15 years or older) that is either employed or unemployed, compared to other provinces. Persons who are working are classified as employed, while those who are not working but who are available for work are classified as unemployed. The remainder of the population is referred to as not in the labour force. The rate is calculated as a 12-month average of the monthly results, which are distributed by Statistics Canada through the Labour Force Survey statistics.

20. Aboriginal Employment (off reserve)

Source: Statistics Canada Labour Force Survey, Human Services and Aboriginal Relations

Note(s): This measure reports on the difference between the unemployment rate of the off-reserve Aboriginal population and that of non-Aboriginal population in Alberta on a calendar year basis. The unemployment rates for both off-reserve Aboriginal population and non-Aboriginal population are based on the Labour Force Survey

conducted by Statistics Canada. Data tables are provided by Statistics Canada and tabulated by staff from the Ministry of Human Services to produce the result for this measure.

21. Post-secondary Education Attainment Rate

Source: Statistics Canada Labour Force Survey

Note(s): Post-secondary completion includes certificates and diplomas (university, vocational, trade, community college) and university degrees. Excluded from the survey's coverage are persons living on reserves and other Aboriginal settlements in the provinces, full-time members of the Canadian Forces, and the institutionalized population.

22. Labour Productivity

Source: Statistics Canada and Treasury Board and Enterprise

Note(s): Treasury Board and Enterprise calculates the provincial labour productivity by using real Gross Domestic Product (GDP) at basic prices per hour worked for all jobs. GDP at basic prices is derived from GDP at market prices, but excludes indirect taxes and subsidies on products. 2006-09 results have been revised to reflect the latest information from Statistics Canada. GDP figures used in the measure are GDP at basic prices, by North American Industry Classification System (NAICS) and province, chained (2002) dollars as per Statistics Canada methodology.

23. Manufacturing and Service Industry Investment

Source: Statistics Canada and Treasury Board and Enterprise

Note(s): Statistics Canada surveys all industries once a year about their actual past years' capital investments, as well as their intended investments for the current year. For business services, the following industries are aggregated: transportation and warehousing; information and cultural industries; finance and insurance; professional, scientific and technical services; administrative and support, waste management; arts, entertainment and recreation; and accommodation and food services.

24. Manufacturing and Service Exports

Source: Statistics Canada and Treasury Board and Enterprise

Note(s): The total value of Alberta's international goods exports is equivalent to Statistics Canada's published numbers. For manufactured goods, export data by commodity from Statistics Canada are used to determine industry-specific export values, using Statistics Canada classifications.

25. Business Expenditures on Research and Development

Source: Statistics Canada

Note(s): This is a measure of expenditures devoted annually to research and development from all business sectors of Alberta's economy. The data is gathered annually by Statistics Canada using surveys of business and is initially published as Industrial Research and Development: Intentions. The funding view of the data presents who provided the money regardless of which performing entity spent it.

26. High School Completion Rate

Source: Education

Note(s): The high school completion rate reports the percentages of Alberta students in public, separate, francophone, charter, and accredited private schools who, within five years of entering Grade 10:

- ◆ received an Alberta High School Diploma, an Alberta High School Equivalency Diploma (GED), a Certificate of Achievement for completing the Integrated Occupational Program (IOP) or the Certificate of High School Achievement for completing Knowledge and Employability courses
- ◆ entered an Alberta post-secondary program or an apprenticeship program
- ◆ earned credits in five Grade 12 courses, including one language arts diploma examination course and three other diploma examination courses.

The tracking of Grade 10 Alberta students excludes some students, such as those identified as having a severe cognitive disability or severe multiple disabilities.

27. Physical Condition of Provincial Highways

Source: Transportation

Note(s): This measure reports the percentage of paved provincial highways in good, fair, or poor condition. The condition of the highway is measured by consultants using laser-based equipment which captures the roughness of roads. Condition is rated based on an International Roughness Index.

The identification of roads as good, fair or poor relies on standards established as a result of a comprehensive research study of road conditions and other performance measures conducted by the University of Calgary in 2002.

The provincial highway network consists of approximately 31,000 kilometers of roadways, of which 27,000 are paved. The length of roads being analyzed in 2011 was 27,638 kilometers. If not measured the International Roughness Index is worsened by five per cent to account for the estimated deterioration of the road.

28. Physical Condition of Learning Facilities

Source: Infrastructure

Note(s): Results are based on overall condition of facilities. Good is defined as adequate for intended use and expected to provide continued service life with average maintenance. Fair means aging components are nearing the end of their life cycle and require additional expenditure for renewal or refurbishing. Poor means upgrading is required to comply with current codes or standards and deterioration has reached the point where major repairs or replacement are necessary. Current codes and standards are defined by the Alberta Building Code which is revised periodically or other mandatory requirements. Older buildings are grandfathered and required to comply with the standards applicable at the time they were constructed and not the current standards. Due to improvements made to the methodology that resulted in greater consistency in calculating the FCI across learning, government-owned and health facilities, current results are not comparable to previous years' results.

29. **Physical Condition of Government-owned and Operated Facilities**

Source: Infrastructure

Note(s): Refer to note 28 for a definition of good, fair or poor physical condition as well as a definition of current minimum codes and standards. Due to improvements made to the methodology that resulted in greater consistency in calculating the FCI across learning, government-owned and health facilities, current results are not comparable to previous years' results.

30. **Physical Condition of Health Facilities**

Source: Infrastructure, Alberta Health Services Board

Note(s): Refer to note 28 for a definition of good, fair or poor physical condition as well as a definition for minimum codes and standards. Due to improvements made to the methodology that resulted in greater consistency in calculating the FCI across learning, government-owned and health facilities, current results are not comparable to previous years' results.

Methodology

Alberta 

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GOAL ONE

RIVER WATER QUALITY INDEX

The River Water Quality Index is used to evaluate water quality in Alberta's major river systems with respect to four groups of variables – metals, bacteria, nutrients, and pesticides. Data from these four groups are combined to provide an indication of overall water quality. Environment has chosen to report on river water quality, rather than lake water quality because the effects of human activities are generally more diverse and easier to measure in rivers than in lakes. The index can be used to show relative differences in water quality between rivers, between sites on the same river (e.g., upstream and downstream of developed areas), and over time. Such differences can highlight degradation or improvement that may have a human cause.

The majority of index values show no trends in water quality over time. In 2010-11, water quality in provincial rivers generally was highly rated. Four out of 12 sampling sites scored a rating of excellent, while seven sites scored a rating of good. One site on the Red Deer River achieved a rating of fair.

	<u>2006-07</u>	<u>2007-08</u>	<u>2008-09</u> (Index)	<u>2009-10</u>	<u>2010-11</u>
Oldman River					
Upstream of Lethbridge	93	94	92	86	84
Downstream of Lethbridge	92	87	95	80	83
Bow River					
Upstream of Calgary	100	87	98	99	100
Downstream of Calgary	84	87	90	93	90
Red Deer River					
Upstream of Red Deer	85	78	93	99	97
Downstream of Red Deer	73	82	87	91	80
North Saskatchewan River					
Upstream of Edmonton	98	93	94	99	100
Downstream of Edmonton	83	85	90	89	84
Smoky/Peace Rivers					
at Watino	97	94	92	89	97
at Fort Vermilion	97	88	92	88	94
Athabasca River					
at Athabasca	100	91	94	96	91
at Old Fort	97	93	90	93	91

Source: Environment and Water

Note(s): Various natural and human factors, including flow volume, degree of development in the basin, point source effluent discharges, and non-point source runoff (e.g., from agricultural fields), can influence the River Water Quality Index. In July of 2010, significant rainfall events in the Red Deer River Basin likely contributed to increased non-point source runoff to the River. Contaminants (bacteria, nutrients, pesticides) transported by this runoff may have caused an increase in the number and magnitude of water quality guideline exceedances, resulting in a lower River Water Quality Index rating at the downstream monitoring station.

<u>Index</u>	<u>Guidelines</u>
96 – 100	Almost always met; Best Quality (Excellent).
81 – 95	Occasionally exceeded, but usually by small amounts; threat to quality is minimal (Good).
66 – 80	Sometimes exceeded by moderate amounts; quality occasionally departs from desirable levels (Fair).
46 – 65	Often exceeded, sometimes by large amounts; quality is threatened, often departing from desirable levels (Marginal).
0 – 45	Almost always exceeded by large amounts; quality is significantly impaired and is well below desirable levels; Worst Quality (Poor).

Both upstream and downstream monitoring stations must achieve a minimum rating of good for the river to receive an overall score of good to excellent.

Data for the river water quality index are collected regularly at numerous monitoring locations throughout the province. These stations comprise the provincial long-term river network. Stations upstream and downstream of agricultural, industrial, or municipal areas are compared to examine the overall impact of these developments on river water quality. Index values for a subset of these stations from the province's six major river systems are used to depict changes in water quality that have occurred over the past several years.

Water quality samples are collected at key locations for each of the province's six major river systems. An index value is calculated for each of four variable groups for data collected between April and March, representing both a fiscal and a water year:

- metals (22 variables measured quarterly);
- nutrients (six variables measured monthly, includes oxygen and pH);
- bacteria (two variables measured monthly); and
- pesticides (17 variables measured four times through the summer).

Index values for the four variable groups are then averaged to produce an overall Index of surface water quality that can be tracked over time. To ensure comparability of Index ratings among rivers and monitoring stations, water quality variables used in Index calculation must be consistent at all sites. As a result, variables that may be of particular concern in only a few rivers (e.g., pulp and paper, chlorinated phenolics, polycyclic aromatic hydrocarbons) are not included in the Index calculation.

The formula used to calculate index values for each group is based on three statistical attributes of water quality, relative to desirable levels (defined by water quality guidelines, in most cases):

- scope – the total number of water quality variables that do not meet guidelines;
- frequency – the number of individual measurements for all variables combined that do not meet guidelines; and
- amplitude – the amount by which measurements do not meet guidelines.

Variables in the first three groups (metals, nutrients and bacteria) are compared to guidelines listed in *Surface Water Quality Guidelines for Use in Alberta*. Where a number of guidelines exist for one variable, the guideline for the most sensitive use (recreation, agriculture, or the protection of aquatic life) is typically chosen. Drinking water guidelines are not considered, since surface water should not be used for drinking without first being treated. The index calculator is periodically revised to keep current with updates to National Water Quality Guidelines.

Variables in the fourth group (pesticides) are evaluated based on whether they can be detected in a water sample. This conservative approach was adopted because some pesticides do not yet have official guidelines and, unlike metals, nutrients, and bacteria, do not occur naturally in the environment.

MUNICIPAL SOLID WASTE TO LANDFILLS

This measure tracks the kilograms per capita of municipal solid waste going into landfills annually.

<u>2007</u>	<u>2008</u>	<u>2009</u>	<u>2010</u>	<u>2011</u>
838	841	(kilograms per capita) 757	738	738

Source: Environment and Water

This measure indicates Alberta's progress towards reducing the amount of municipal solid waste disposed of in municipal landfills, as measured in kilograms of waste per capita annually. Waste from the residential sector; the industrial, commercial, and institutional sector; and the construction, renovation, and demolition sector collected at municipal landfills is included in this measure. The calculation is based on the kilograms of municipal solid waste sent to each landfill, and the population served by each applicable landfill. The information is collected from landfills with weigh scales, and is voluntarily provided. The measure is calculated using the most up-to-date population statistics, either Municipal Affairs official population list or Statistics Canada census data. Municipal Affairs uses Statistics Canada census data unless a municipality has conducted their own census and can provide more current data. In 2011, Statistics Canada data was updated. Approximately 83 per cent of Alberta's population is served by reporting landfills. Estimates are used for the remaining population, and are derived by multiplying per capita disposal rate with unmeasured population. The Municipal Affairs Official Population Statistics list is available at www.municipalaffairs.alberta.ca Statistics Canada's 2011 Census is available at www12.statcan.gc.ca.

AIR QUALITY INDEX

This measure indicates the number of good, fair, poor and very poor air quality days.

	<u>Good Days</u> (per cent)	<u>Good</u>	<u>Fair</u> (number of days)	<u>Poor</u>	<u>Very Poor</u>
2010*	93	340	24	1	0
2011**	95	346	19	0	0

Source: Environment and Water, Parkland Airshed Management Zone, Calgary Region Airshed Zone, Fort Air Partnership, Peace Airshed Zone Association, Palliser Airshed Society, and Lakeland Industry and Community Association.

- Based on ten stations (includes Edmonton Central, Edmonton East, Edmonton South, Calgary Central, Calgary Northwest, Calgary East, Lethbridge, Cold Lake South, Red Deer and Henry Pirker) which operate with new fine particulate matter (PM_{2.5}) monitoring technology. Crescent Heights was not included due to insufficient data availability in 2010 and Fort Saskatchewan not included as it did not use the new PM_{2.5} technology at that time.

** Based on data from eleven stations (includes Edmonton Central, Edmonton East, Edmonton South, Calgary Central, Calgary Northwest, Lethbridge, Fort Saskatchewan, Cold Lake South, Red Deer, Crescent Heights, and Henry Pirker) which operate with the new PM_{2.5} monitoring technology. Calgary East is not included as it was decommissioned for relocation in 2011.

Alberta's Air Quality Index (AQI) is calculated based on a minimum of four and up to five major air pollutants measured hourly at eleven Alberta locations. The monitoring stations are situated in urban centres with consideration given to proximity to industrial and non-industrial sources. The measurements are converted to a standard scale known as the AQI, which is calculated for each pollutant every hour. In 2011, the AQI was calculated hourly at eleven continuous monitoring stations, three each in Edmonton, two in Calgary, and one in each of Lethbridge, Fort Saskatchewan, Grande Prairie, Medicine Hat, Red Deer and Cold Lake. The pollutants used to calculate the AQI are carbon monoxide, fine particulate matter (PM_{2.5}), nitrogen dioxide, ozone and sulphur dioxide. Measurements of at least four of the five pollutants must be available to calculate the AQI, and PM_{2.5} must be one of the pollutants. The pollutant that gives the highest AQI measure for each hour determines the AQI for that hour. The hourly AQI number is compared to AQI ranges that represent good (0-25), fair (26-50), poor (51-100), and very poor (>100) air quality. The total number of hours of good, fair, poor and very poor air quality for all locations in the year are divided by the number of days in the year and expressed as a percentage. These categories are derived using formulas based on air quality objectives under the *Environmental Protection and Enhancement Act* and the National Ambient Air Quality Objectives.

In agreement with the National Air Pollution Surveillance Program, Alberta Environment implemented a change in the PM_{2.5} monitoring instrumentation (analyzers) whereby the sample is dried rather than heated to better account for the total PM_{2.5} concentration. Using previous technology, when a sample was heated some chemicals were volatilized (evaporated) and the concentration of PM_{2.5} was under predicted. The 2010 and 2011 results reflect the data collected from new monitoring technology.

TOTAL GREENHOUSE GAS EMISSIONS

This measures tracks the success in meeting the greenhouse gas emissions growth targets measured in million tonnes of CO₂ equivalent, as outlined in Alberta's 2008 *Climate Change Strategy*.

<u>2007</u>	<u>2008</u>	<u>2009</u>	<u>2010</u>
	(million tonnes)		
247	244	234	233

Source: Environment Canada

As a signatory to the United Nations Framework Convention on Climate Change, Canada is obligated to prepare and submit an annual national greenhouse gas inventory covering anthropogenic emissions by sources and removals by sinks. Environment Canada is responsible for preparing Canada's official national inventory with input from numerous experts and scientists across Canada. The National Inventory Report contains Canada's annual greenhouse gas emission estimates dating back to 1990.

Environment and Water reports on Alberta's total emissions as reported in the National/ Provincial/Territorial Tables.

The *National Inventory Report 1990-2010: Greenhouse Gas Sources and Sinks in Canada* can be found here: www.ec.gc.ca, under Publications.

GOAL TWO

EASE OF ACCESS TO SERVICES

Physician Services

This measure identifies the perception of ease of access to physician services, based on a representative sample of the Alberta population that has accessed physician services in the past 12 months.

Data are collected through a telephone survey of randomly selected Alberta households. The target population consists of people who at the time of the survey are living in Alberta's five health zones (South, Calgary, Central, Edmonton, and North) and can be contacted by direct phone dialling. The general rule for participation is random selection of an eligible individual who is 18 years of age or older and residing within a telephoned household.

Survey respondents who had personally received health services from a physician in Alberta in the past 12 months are asked: How easy or difficult was it for you to obtain this service from your physician? Would you say it was very easy, easy, a bit difficult, or very difficult? The total percentage of respondents who rate ease of access to physician services as very easy or easy is calculated and reported.

2007-08
79%

2008-09
74%

2009-10
82%

2010-11
77%

2011-12
80%

Source: 2008: Health Quality Council of Alberta. Satisfaction with Health Care Services: A Survey of Albertans, conducted by the Population Research Laboratory at the University of Alberta
2010, 2012: Health Quality Council of Alberta. Satisfaction and Experience with Health Care Services: A Survey of Albertans, conducted by the Population Research Laboratory at the University of Alberta
2009, 2011: Health Quality Council of Alberta. Provincial Survey about Health and the Health System in Alberta, conducted by the Population Research Laboratory at the University of Alberta

In 2012, a total of 2,658 people in Alberta were surveyed. The margin of error for the total sample of 2,658 is approximately 1.9 per cent. From this sample, 2,234 people who had personally obtained physician services in Alberta in the past 12 months responded to the question on ease of access to physician services. Results are reliable within ± 2.3 per cent, 19 times out of 20.

Emergency Department Services

This measure identifies the perception of ease of access to emergency department services, based on a representative sample of the Alberta population who had accessed emergency department services in the past 12 months.

Data are collected through a telephone survey of randomly selected Alberta households. The target population consists of people who at the time of the survey are living in Alberta's five health zones (South, Calgary, Central, Edmonton, and North) and can be contacted by direct

phone dialling. The general rule for participation is random selection of an eligible individual who is 18 years of age or older and residing within a telephoned household.

To assess ease of access to emergency department services, survey respondents who had personally received emergency department services in Alberta in the past 12 months are asked: How difficult or easy was it to actually obtain the emergency department services you or your close family member needed most recently? Please use a scale of 1 to 5 where 1 means very difficult and 5 means very easy. The total percentage of respondents who rate access to emergency department services as very easy or easy is calculated and reported.

<u>2005-06</u>	<u>2007-08</u>	<u>2009-10</u>	<u>2010-11</u>	<u>2011-12</u>
48%	51%	55%	59%	52%

Source: 2006, 2008: Health Quality Council of Alberta. Satisfaction with Health Care Services: A Survey of Albertans, conducted by the Population Research Laboratory at the University of Alberta
2010, 2012: Health Quality Council of Alberta. Satisfaction and Experience with Health Care Services: A Survey of Albertans conducted by the Population Research Laboratory at the University of Alberta
2011: Health Quality Council of Alberta. 2011 Provincial Survey about Health and the Health System in Alberta conducted by the Population Research Laboratory at the University of Alberta

In 2012, a total of 2,658 households in Alberta were surveyed. The margin of error for the total sample is approximately 1.9 per cent. From this sample, 1,205 people who had personally received emergency department services in Alberta in the past 12 months responded to the question on ease of access to emergency department services. Results are reliable within ± 3.8 per cent, 19 times out of 20.

PUBLIC RATING OF HEALTH SYSTEM OVERALL

This measure identifies Albertans' rating of the health care system and the quality of medical services it provides.

Data are collected through a telephone survey of randomly selected Alberta households. The target population consists of people who at the time of the survey are living in Alberta's five health zones (South, Calgary, Central, Edmonton, and North) and can be contacted by direct phone dialling. The general rule for participation is random selection of an eligible individual who is 18 years of age or older and residing within a telephoned household.

To assess public rating of health system overall, Albertans 18 years of age and over are asked: Thinking broadly about Alberta's health care system and the quality of medical services it provides, how would you describe it overall? The total percentage of respondents who responded excellent and good is calculated and reported.

<u>2007-08</u>	<u>2008-09</u>	<u>2009-10</u>	<u>2010-11</u>	<u>2011-12</u>
60%	63%	65%	64%	63%

Source: 2008: Health Quality Council of Alberta. Satisfaction with Health Care Services: A Survey of Albertans, conducted by the Population Research Laboratory at the University of Alberta

2010, 2012: Health Quality Council of Alberta. Satisfaction and Experience with Health Care Services: A Survey of Albertans, conducted by the Population Research Laboratory at the University of Alberta
 2009, 2011: Health Quality Council of Alberta. Provincial Survey about Health and the Health System in Alberta, conducted by the Population Research Laboratory at the University of Alberta

In 2012, a total of 2,658 people in Alberta were surveyed. The margin of error for the total sample of 2,658 is approximately 1.9 per cent. From this sample, 2,644 respondents answered the question on rating the health care system and the quality of medical services it provides. Results are reliable within ± 2.5 per cent, 19 times out of 20.

SATISFACTION WITH HEALTH CARE SERVICES RECEIVED

This measure provides an overall rating of Albertans' satisfaction with health care services personally received in Alberta within the past year.

Data are collected through a telephone survey of randomly selected Alberta households. The target population consists of people who at the time of the survey are living in Alberta's five health zones (South, Calgary, Central, Edmonton, and North) and can be contacted by direct phone dialling. The general rule for participation is random selection of an eligible individual who is 18 years of age or older and residing within a telephoned household.

Survey respondents who had personally received health services in Alberta in the past 12 months are asked: Thinking about all of your personal experiences within the past year with the health care services in Alberta that we just reviewed.... To what degree are you satisfied or dissatisfied with the services you have received? Please use a scale of 1 to 5 where 1 means very dissatisfied and 5 means very satisfied. The total percentage of respondents who rate their satisfaction with these services as satisfied or very satisfied is calculated and reported.

<u>2005-06</u>	<u>2007-08</u>	<u>2009-10</u>	<u>2010-11</u>	<u>2011-12</u>
58%	60%	61%	67%	62%

Source: 2008: Health Quality Council of Alberta. Satisfaction with Health Care Services: A Survey of Albertans, conducted by the Population Research Laboratory at the University of Alberta
 2010, 2012: Health Quality Council of Alberta. Satisfaction and Experience with Health Care Services: A Survey of Albertans, conducted by the Population Research Laboratory at the University of Alberta
 2009, 2011: Health Quality Council of Alberta. Provincial Survey about Health and the Health System in Alberta, conducted by the Population Research Laboratory at the University of Alberta

In 2012, a total of 2,658 people in Alberta were surveyed. The margin of error for the total sample of 2,658 is approximately 1.9 per cent. From this sample, 2,484 respondents answered the question on satisfaction with health care services personally received in Alberta within the past year. Results are reliable within ± 2.6 per cent, 19 times out of 20 for this question.

CONTINUING CARE

Persons waiting in an acute care hospital bed/Persons waiting in the community

Access to continuing care in Alberta is measured by the number of persons waiting in hospital, and the number of persons waiting in the community, for continuing care at a specific point in time. The number of persons waiting in an acute care hospital bed for continuing care is defined as the number of individuals assessed and approved for publicly funded continuing care living options who are waiting in acute care and sub-acute care hospital beds at a specific point in time (March 31st). Similarly, the number of people waiting in the community for continuing care is defined as the number of individual assessed and approved for publicly funded continuing care living options who are waiting in the community for continuing care at a point in time (March 31st).

Number of persons waiting in an acute care hospital bed for continuing care:

<u>2007-08</u>	<u>2008-09</u>	<u>2009-10</u>	<u>2010-11</u>	<u>2011-12</u>
645	754	707	471	467

Number of persons waiting in the community for continuing care:

<u>2007-08</u>	<u>2008-09</u>	<u>2009-10</u>	<u>2010-11</u>	<u>2011-12</u>
---	1,065	1,039	1,110	1,002

Source: Alberta Health Services. Stratahealth Pathways (Calgary and Edmonton Zones); Meditech (North, Central and South Zones).

Quality of Accommodation Services in Supportive Living and Long-term Care Facilities

This measure represents the proportion of supportive living and long-term care facilities that were fully compliant with the supportive living and long-term care accommodation standards as of March 31, 2012.

	<u>2010-11</u>	<u>2011-12</u>
Group Homes	82%	87%
Assisted Living	86%	89%
Lodges	82%	94%
LTC	70%	75%

Source: Accommodation Standards Tracking and Licensing (ASTRAL) System

Supportive living provides accommodation in a home-like setting, where people can remain as independent as possible while they have access to accommodation and services that meet their changing needs. Long-term care facilities like nursing homes and auxiliary hospitals provide care for people with complex health needs who are unable to remain at home or in a supportive living facility. The ministry monitors accommodation standards in both supportive living and long-term care settings across the province; each facility is inspected at least annually.

In supportive living facilities (Group Homes, Assisted Living, and Lodges), Licensing Inspectors conduct site visits at each accommodation upon an initial license application using a standardized inspection checklist; subsequent visits are undertaken at the time of a license renewal to monitor compliance to the Supportive Living Accommodation Standards, as a requirement of continued licensing. An accommodation will also be inspected if a complaint is made related to the accommodation or accommodation services.

In long-term care settings, the ministry monitors against the provincial accommodation standards at least annually, but does not license these facilities. Licensing Inspectors conduct site visits at each long-term care setting, using a standardized inspection checklist. Additional visits may occur if there are non-compliances to the accommodation standards. Long-term care accommodations will also be inspected if a complaint is made regarding the accommodation or related services.

Once a site visit is complete, the Licensing Inspector enters the visit information into an internal database (ASTRAL); these entries are then validated against the original inspection checklist by another staff member. At the end of the fiscal year, staff from the Accommodation Standards and Licensing Unit run a report from the ASTRAL database listing all accommodations that were monitored, and all accommodations that had outstanding non-compliances as of the last day of the fiscal year.

Accommodations that met all of the standards at the end of the fiscal year are considered compliant for the purposes of the performance measure; accommodations with one or more outstanding non-compliances at the end of the fiscal year are counted as non-compliant. The results are tabulated to determine the percentage of accommodations reviewed that are fully compliant under the Accommodation Standards. (number compliant /total number inspected = percentage that meet standards.)

*Note: The Supportive Living and Long-term Accommodation Standards were first introduced in 2007. The supportive living standards then updated effective April 1, 2010 as a component of the regulation accompanying the *Supportive Living Accommodation Standards and Licensing Act*. Long-term care standards were also updated at this time. As such, compliance results from 2008-09 and 2009-10 use slightly different versions of the current standards and are not directly comparable with results from 2010-11 and 2011-12. The publications Supportive Living Accommodation Standards and Long-term Care Accommodation Standards can be found at: www.seniors.alberta.ca.

GOAL THREE

PUBLIC PERCEPTION OF SAFETY IN THE NEIGHBOURHOOD

This measure identifies the percentage of Albertans who feel reasonably safe or very safe walking alone in their area after dark.

<u>2007-08</u>	<u>2008-09</u>	<u>2009-10</u>	<u>2010-11</u>	<u>2011-12</u>
75%	73%	78%	82%	82%

Source: Justice 2011-12 Public Opinion Survey and Solicitor General and Public Security 2011-12 Public Opinion Survey

Note(s): Resinnova Research Inc. (previously known as Research Innovations) is the third party consultant that has conducted the surveys. The consultant is recruited through an RFP process.

A public opinion telephone survey has been conducted on an annual basis on behalf of Justice and Solicitor General and Public Security since 1996. Historically, a joint survey was conducted by the ministries, but beginning in 2008-09, the two ministries conducted public opinion surveys independent of one another. The same survey question used to measure public perception of safety in the neighbourhood was asked in both ministries' surveys. Justice used a sample size of 750 (as has been used in the past), while Solicitor General and Public Security used a sample size of 1,200. The two samples were mutually exclusive, i.e., no respondents completed the survey more than once. The sample size for this question, therefore, was 1,950 when the results of both surveys were combined. Of 1,950 respondents, 1,591 (82 per cent) felt very safe or reasonably safe walking alone in their neighbourhood after dark.

The surveys were last conducted in December 2011 to February 2012. Professionally trained interviewers conducted all interviews from a central telephone facility. The surveys were completed on a computer-assisted telephone interviewing system that allows for ongoing tabulation of results. Ten per cent of all interviews were monitored online. To survey a random and representative sample of adult Albertans, quotas were established based on 2006 census data from Statistics Canada. In each of six geographic regions of the province, the number of interviews in each age-gender segment was proportionate to their 2006 population estimates. The response rate was 40 per cent and the results are reliable within ± 2.2 per cent, at the 95 per cent confidence level.

PARTICIPATION IN THE ARTS

This measure indicates adult Albertans' participation, including attendance, in arts activities or events.

<u>2007-08</u>	<u>2008-09</u>	<u>2009-10</u>	<u>2010-11</u>	<u>2011-12</u>
87.4%	91.0%	90.7%	89.5%	86.0%

Source: Culture and Community Services Survey of Albertans on Culture

The Survey of Albertans on Culture is an annual province-wide telephone survey of 1,000 adult Albertans. Leger Marketing conducted this survey using a random sample stratified by age group, gender and geographic location to be representative of Alberta's population. Albertans

were asked if they had personally attended or participated in a broad range of arts activities or events in the last year, such as attending live performances, festivals, home based arts activities, writing/publishing a literary work, school and community based arts programs and the purchasing of art products. Interviews were conducted from January 17, 2012 to January 27, 2012 by trained and experienced interviewers. At least 10.0 per cent of each interviewer's work was directly monitored during the calls. The response rate was 39.9 per cent and the margin of error is ± 3.1 per cent, 19 times out of 20.

AFFORDABLE HOUSING UNITS

Through the development of partnerships, the reporting of housing units includes funding up to 70 per cent of the costs relating to the construction of new rental units, purchase/renovation of existing rental accommodation units, development of secondary suites in private dwellings as affordable housing, conversion of non-residential space to residential units, and other identified priorities. Total affordable housing units including funding committed during the current fiscal year and in any phase of development from a variety of housing programs.

<u>2007-08</u>	<u>2008-09</u>	<u>2009-10</u>	<u>2010-11</u>	<u>2011-12</u>
2,686	2,842	3,329	2,005	1,212

The 2011-12 calculation of units is based on total affordable housing units approved for development with capital funding support from the Housing Capital Initiatives Request for Proposals (RFP) Funding.

The 2010-11 revised results were calculated in the same manner as above.

The 2009-10 revised results were calculated in the same manner as the above with the exception of updated housing plans submitted by municipalities for the Affordable Housing Municipal Block Funding Program, approved funding under the Affordable Housing Program RFP and approved funding under the Housing for the Homeless Program RFP. The results do not include rent supplement units supported with block funding.

The 2008-09 revised results were based on approved or updated housing plans submitted by municipalities under the Affordable Housing Municipal Block Funding Program, approved funding under the Affordable Housing Program RFP and approved funding under the Wood Buffalo Housing Initiative. The figures do not include rent supplement units supported with block funding.

The 2007-08 results were based upon approved or updated housing plans submitted by municipalities under the Affordable Housing Municipal Block Funding Program, approved funding under the Affordable Housing Program RFP, and approved funding under the Wood Buffalo Housing Initiative. The figures do not include rent supplement units supported with block funding.

The results are based on approved and updated housing plans as at March 31, 2012.

ALBERTANS' SATISFACTION WITH THEIR LOCAL GOVERNMENTS

This measure reports the percentage of Albertans' satisfied with their local governments.

<u>2007-08</u>	<u>2008-09</u>	<u>2009-10</u>	<u>2010-11</u>	<u>2011-12</u>
73%	73%	64%	72%	77%

Source: Municipal Affairs, Albertans' Satisfaction with their Municipal Government Survey

The data for this measure is gathered as part of a nine question telephone survey about Albertans' satisfaction with various aspects of their municipal governments. The results of the survey are based on a probability sample of 1,000 adults living in Alberta. A sample of 1,000 persons within the population produces results that are reliable within ± 3.6 per cent 19 times out of 20. The sampling method was designed to complete 1,000 interviews within randomly selected households across the Province of Alberta. The sample was drawn in proportion to the populations of 16 urban centres, which included the cities of Edmonton and Calgary, and two rural regions within the province based on information from Statistics Canada 2006 data.

From within each multi-person household randomly selected, residents 18 years of age and older were screened for random selection using the Most Recent Birthday method. The contractor's report provides a detailed sampling methodology. Survey data, beyond what is in the final report, is stored with the contractor.

The satisfaction survey data for the measure is drawn from a question which asks a sample of 1,000 Albertans about their overall satisfaction with their municipal government. The results are reported directly from the survey report; Municipal Affairs only performs or confirms the addition of the very satisfied and the somewhat satisfied categories to produce the overall satisfaction.

The survey is conducted in the early fall of each year. For 2011-12, the survey was run from November 18 to December 5, 2011.

SUPPORT FOR ALBERTANS WITH DEVELOPMENTAL DISABILITIES

This measure indicates the satisfaction level of families/guardians of adults with developmental disabilities with Persons with Developmental Disabilities (PDD)-funded services. The survey is conducted every second year. It will be conducted next in 2012-13.

<u>2004-05</u>	<u>2006-07</u>	<u>2008-09</u>	<u>2010-11</u>
85.8%	83.4%	85.3%	85.3%

Source: Seniors and Community Supports, based on the Persons with Developmental Disabilities Family and Guardian Satisfaction Survey

The 2010-11 satisfaction survey was conducted by an independent research firm, the Vecova Centre for Disability Services and Research. A written questionnaire was sent by mail to legal guardians including public/private guardians, and/or family members of adults receiving PDD-funded services in Alberta. As in 2008-09, respondents had the option to instead fill out the survey online. Security measures were implemented to control access to the online survey and data entry/retrieval protocols were established to ensure the accuracy and integrity of data.

A total of 6,008 survey forms and postage-paid envelopes were distributed and survey responses were collected between August 30, 2010 and October 1, 2010. A total of 2,187 completed surveys were received (12.8 per cent of which were completed online), representing an overall response rate of 36.4 per cent.

The result for the performance measure was obtained by analyzing all cases (n =1913) that provided a valid response to all of the following three indicators (questions):

- Services meet the person's needs;
- Overall, I am satisfied that the services provided enhance the person's quality of life; and
- Overall, I am satisfied that the person's services help him/her to be a part of the community as much as he/she wants to be.

For each indicator, responses of strongly agree, agree, and somewhat agree were combined to indicate satisfaction, and responses of somewhat disagree, disagree and strongly disagree were combined to indicate dissatisfaction. The average of the three scores was then computed to obtain the final result. With a total of 1,913 valid responses, results are considered accurate within a margin of ± 1.3 per cent, 19 times out of 20.

In 2010-11, 85.3 per cent of families/guardians (public and private) reported overall satisfaction with PDD-funded services received by the adult family member or individual for whom they provide guardianship.

Surveys prior to 2008-09 used a four-point scale (strongly agree, agree, disagree or strongly disagree). Beginning with the 2008-09 survey, two additional response categories of somewhat agree and somewhat disagree were added to the scale to allow more precise responses and provide the program area with more detailed information about satisfaction with services. As in prior years, performance measure results were calculated by combining all responses indicating a level of agreement or disagreement. However, in comparing 2008-09 and future results to prior results, this methodological change should be noted.

SOCIAL AND EMOTIONAL DEVELOPMENT OF CHILDREN

The survey was discontinued in 2010. The results for this measure are based on data from the National Longitudinal Survey of Children and Youth (NLSCY), administered by Statistics Canada and Human Resources and Skills Development Canada (formerly known as Social Development Canada). The NLSCY is a long-term survey designed to track child development and well-being from birth to early adulthood. The survey includes information about how a child's family, friends, activities, school and community affect their learning, behaviour and health. The survey follows a representative sample of children, who were age 0-11 years at the first cycle of the study (1994-95) and collects information on these children at two-year intervals and will continue until they reach adulthood. In each subsequent two-year cycle, as the initial cohort of children gets older, an additional sample of children is added. Responses to questions are scored and overall results are obtained by using a cut-off point or threshold to identify children displaying or not displaying the level of behaviour or attribute. Data determined to be unacceptable are not included in the reporting. For instance, data in which insufficient numbers of cases were available to draw statistically valid results were excluded. Additionally, data on children living in the Territories, children living on reserves and children living in institutions are not included in the reporting.

Behaviour scales are used to assess the child's emotional problems/anxiety and pro-social behaviour. The person most knowledgeable of the child answers the questions associated with the behaviour.

The survey questions used to calculate the social development result capture different age-related aspects of behaviour such as how a child interacts with him/herself, with strangers, with parents, and with objects such as toys. The survey questions used to calculate the emotional development results deal with whether the child appears unhappy, depressed or nervous, indicating the presence of emotional problems/anxiety. The 2008-09 results for emotional development are reliable to within ± 1.1 per cent nationally, and to within ± 3.2 per cent for Alberta, 19 times out of 20.

In 2000-01 NLSCY replaced the Pro-Social Scale used for data collection for social development (in 1998-99) with the Personal-social Scale using ages and stages questionnaires. As a result, 1998-99 percentages are not applicable for ready comparison with those for subsequent years. The social development results for 2008-09 are reliable to within ± 1.1 per cent nationally and to within ± 2.9 per cent for Alberta, 19 times out of 20.

Healthy Social Development

	<u>2002-03</u>	<u>2004-05</u>	<u>2006-07</u>	<u>2008-09</u>
Alberta	85.9%	86.0%	85.1%	84.5%
Canada	84.3%	85.4%	83.8%	82.6%

Healthy Emotional Development

	<u>2002-03</u>	<u>2004-05</u>	<u>2006-07</u>	<u>2008-09</u>
Alberta	83.8%	87.1%	85.6%	83.2%
Canada	83.3%	85.3%	85.7%	83.8%

Source: Statistics Canada and Human Resources and Skills Development Canada – National Longitudinal Survey of Children and Youth (NLSCY)

Note(s): Data is provided through the Early Childhood Agreement by Statistics Canada and Human Resources and Skills Development Canada.

CRIME RATES (GENERAL)

Crime statistics are collected by Statistics Canada using the Uniform Crime Reporting Survey, a common survey instrument used to measure police-reported crime in each Canadian jurisdiction. All police services submit data on a monthly basis to the Canadian Centre for Justice Statistics (CCJS). This data is categorized according to a nationally-approved set of common crime categories and definitions. All the data represented in Crime Statistics Reports are aggregate counts. Population data from Statistics Canada is used to convert reported crime into crime rates per 100,000 population.

CCJS moved to reporting under a new, expanded violation format known as the Uniform Crime Reporting Survey 2 (UCR2). UCR2 provides more detailed offences and improved crime categories, the ability to count all offences in an incident and show both incident and victim counts. Additionally CCJS changed its counting rules for selected offences which has increased the rate for both the provinces and Canada overall. For example, under the previous counting rules, a robbery with one location and multiple victims would be counted as a single robbery. Under the new counting rules, multiple victims would be

counted as multiple robberies. Provinces no longer have online access to the original UCR1 data sets.

VIOLENT CRIME RATE

Violent crime involves offences that deal with the application or threat of application of force to a person. These include homicide, attempted murder, various forms of sexual and non-sexual assault, robbery and abduction. Traffic incidents that result in death or bodily harm are not included.

<u>Province</u>	<u>2006</u>	<u>2007</u>	<u>2008</u> (per 100,000)	<u>2009</u>	<u>2010</u>
Alberta	1,490	1,498	1,541	1,513	1,476
Per cent change	.5%	.5%	2.8%	-2%	-3%

Source: Canadian Crime Statistics, Canadian Centre for Justice Statistics

Note(s) Historical results have been revised to reflect the latest information reported under the new UCR2 format from the Canadian Centre for Justice Statistics.

PROPERTY CRIME RATE

Property crime includes incidents involving unlawful acts with the intent of gaining property, but do not involve the use or threat of violence against an individual. Theft, breaking and entering, fraud and possession of stolen goods are examples of property crimes.

<u>Province</u>	<u>2006</u>	<u>2007</u>	<u>2008</u> (per 100,000)	<u>2009</u>	<u>2010</u>
Alberta	6,229	6,055	5,711	5,336	4,908
Per cent change	-4%	-2.8%	-5.7%	-7%	-8%

Source: Canadian Crime Statistics, Canadian Centre for Justice Statistics

Note(s) Historical results have been revised to reflect the latest information reported under the new UCR2 format from the Canadian Centre for Justice Statistics.

VOLUNTEERISM

This measure indicates the level of community volunteerism by adult Albertans in the past 12 months. Volunteering is an unpaid contribution of time, energy and/or talents to charitable or nonprofit organizations, causes, community development activities, or help through personal initiative to individuals.

<u>2007-08</u>	<u>2008-09</u>	<u>2009-10</u>	<u>2010-11</u>	<u>2011-12</u>
n/a	81.4%	82.7%	72.3%	80.4%

Source: Culture and Community Services Survey of Albertans on Culture

The Survey of Albertans on Culture is an annual province-wide telephone survey of 1,000 adult Albertans. Leger Marketing conducted this survey using a random sample stratified by age group, gender and geographic location to be representative of Alberta's population. Albertans were asked if they had volunteered in areas such as arts, culture, sports, recreation, libraries, human services, youth development, informal volunteering or any other type of volunteer work.

Interviews were conducted from January 17, 2012 to January 27, 2012 by trained and experienced interviewers. At least 10.0 per cent of each interviewer's work was directly monitored during the calls. The response rate was 39.9 per cent and the margin of error is ± 3.1 per cent, 19 times out of 20.

SUPPORT FOR ALBERTANS WITH LOW INCOMES WHO NEED TEMPORARY HELP

This measure reports the percentage of participants employed after leaving Income Support.

<u>2007-08</u>	<u>2008-09</u>	<u>2009-10</u>	<u>2010-11</u>	<u>2011-12</u>
61%	64%	52%	63%	64%

Source: Human Services

The results of this measure are obtained through the Work Outcomes Reporting Project (WORP) survey. An independent consultant is retained through WORP to contact former Income Support Program participants three months after they leave the program. Participants are asked to respond to the question Have you been employed at any time since you stopped receiving social assistance (welfare)? The result is calculated using the following formula:

$$\text{Percentage employed} = \frac{\text{Yes}}{\text{Yes} + \text{No}} \times 100 \text{ per cent}$$

GOAL FOUR

LABOUR FORCE PARTICIPATION RATE

This measure tracks the inter-provincial rank of labour force participation, and Alberta's labour force participation rate. The labour force participation rate represents the percentage of an economy's working-age population that is employed or actively seeking employment. It is calculated as a 12-month average of the monthly results, which are distributed by Statistics Canada through the Labour Force Survey statistics.

Labour Force Participation Rate in per cent

<u>Province</u>	<u>2007</u>	<u>2008</u>	<u>2009</u>	<u>2010</u>	<u>2011</u>
CA	67.4	67.7	67.1	67.0	66.8
NL	59.0	59.4	59.0	59.9	60.2
PE	67.9	68.2	67.5	67.9	68.1
NS	63.5	63.6	64.3	64.2	63.7
NB	63.5	64.3	64.2	63.6	62.8
QC	65.7	65.8	65.3	65.4	65.2
ON	67.7	67.9	67.1	67.1	66.8
MB	69.0	69.3	69.1	69.6	69.3
SK	69.5	69.6	70.0	69.9	69.2
AB	74.2	74.7	74.3	72.9	73.7
BC	66.0	66.2	65.6	65.5	65.0

Source: Statistics Canada and Human Services

Note(s): All historical results revised except: QC 2007, AB 2006 and AB 2008.

ABORIGINAL EMPLOYMENT (OFF RESERVE)

This measure reports on the difference between the unemployment rate of off-reserve Aboriginal population and that of non-Aboriginal population in Alberta on a calendar year basis.

<u>2007</u>	<u>2008</u>	<u>2009</u>	<u>2010</u>	<u>2011</u>
4.3	5.0	8.8	7.6	5.8

Source: Statistics Canada Labour Force Survey and Human Services

The unemployment rates for both off-reserve Aboriginal population and non-Aboriginal population are based on the Labour Force Survey conducted by Statistics Canada. Data tables are provided by Statistics Canada and tabulated by staff from the Ministry of Human Services to produce the result for this measure, i.e., the difference between the unemployment rates.

POST-SECONDARY EDUCATION ATTAINMENT RATE

This measure reports on the percentage of the population aged 25-64 who have completed a post-secondary program. For the purposes of this measure, post-secondary credentials include certificates and diplomas (university, vocational, trade, community college) and university degrees.

A special tabulation performed by Statistics Canada based on Labour Force Survey data provides

- the total number of individuals aged 25-64 who report having a post-secondary certificate or diploma,
- the total number of individuals aged 25-64 who report having a university degree, and
- the total number of Albertans aged 25-64.

The percentage is calculated by dividing the number of people in the age range with a post-secondary certificate or diploma or university degree by the total number of Albertans in the same age range.

<u>2007</u>	<u>2008</u>	<u>2009</u>	<u>2010</u>	<u>2011</u>
59%	60%	61%	62%	61%

Source: Statistics Canada Labour Force Survey

The Labour Force Survey is a monthly household survey of a sample of individuals who are representative of the civilian, non-institutionalized population 15 years of age or older. It is conducted nationwide, in both the provinces and the territories. Excluded from the survey's coverage are: persons living on reserves and other Aboriginal settlements in the provinces; full-time members of the Canadian Forces and the institutionalized population. These groups together represent an exclusion of approximately 2 per cent of the population aged 15 and over.

The co-efficient of variation (the standard error as a percentage of the reported result) for the estimate (Albertans 25-64 having completed a post-secondary credential: 1,299,200) is 1.0 per cent.

Additional information on the Labour Force Survey methodology is available in the 2011 Guide to the Labour Force Survey, Catalogue no. 71-543-G, available online from Statistics Canada: www.statcan.gc.ca.

LABOUR PRODUCTIVITY

TBE calculates the provincial labour productivity by using real Gross Domestic Product (GDP) at basic prices per hour worked for all jobs. GDP at basic prices is derived from GDP at market prices, but excludes indirect taxes and subsidies on products.

Labour productivity estimates are derived by dividing total real GDP by the total number of hours worked. GDP is the total market value of all goods and services produced during a given year. To avoid counting the same output more than once, GDP includes only final goods and services – not those that are used to make another product.

For this performance measure, GDP is measured in real dollars. Real GDP is a measure of the volume of production. To measure this concept, GDP components are adjusted to eliminate the effect of price change. This process is known as deflation.

Hours worked means the total number of hours that a person spends working, whether paid or not. In general, this includes regular and overtime hours, breaks, training in the workplace and time lost in brief work stoppages where workers remain at their posts. On the other hand, time lost due to strikes, lockouts, annual vacation, public holidays, sick leave, maternity leave or leave for personal needs are not included in total hours worked.

Labour Productivity

<u>Province</u>	<u>2007</u>	<u>2008</u>	<u>2009</u>	<u>2010</u>	<u>2011</u>
		(Real GDP (\$) per hour worked)			
CA	41.10	41.00	41.10	41.70	42.30
NL	47.40	46.80	44.60	46.00	45.10
PE	30.90	30.80	31.20	31.90	31.00
NS	32.90	33.50	33.80	34.10	34.60
NB	33.20	33.20	33.20	34.20	35.30
QC	39.10	38.90	39.50	39.60	40.10
ON	41.90	41.60	41.90	42.20	42.30
MB	35.50	36.30	36.50	37.10	37.20
SK	40.80	41.80	40.70	42.00	43.80
AB	47.10	46.80	46.90	48.00	48.10
BC	39.20	39.00	39.80	40.20	41.40

Labour Productivity Business Services*

	<u>2007</u>	<u>2008</u>	<u>2009</u>	<u>2010</u>	<u>2011</u>
		(Real GDP (\$) per hour worked)			
AB	36.80	37.20	37.80	38.90	38.90

	<u>2007</u>	<u>2008</u>	<u>2009</u>	<u>2010</u>	<u>2011</u>
		(% Growth (single year))			
AB	-1.3	1.1	1.6	2.9	0.0

	<u>2007</u>	<u>2008</u>	<u>2009</u>	<u>2010</u>	<u>2011</u>
		(% Growth (3-year average))			
AB	2.9	1.8	0.5	1.9	1.5

Labour Productivity Manufacturing

	<u>2007</u>	<u>2008</u>	<u>2009</u>	<u>2010</u>	<u>2011</u>
		(Real GDP (\$) per hour worked)			
AB	56.50	56.00	52.70	55.70	58.10

	<u>2007</u>	<u>2008</u>	<u>2009</u>	<u>2010</u>	<u>2011</u>
		(% Growth (single year))			
AB	0.5	-0.9	-5.9	5.7	4.3

	<u>2007</u>	<u>2008</u>	<u>2009</u>	<u>2010</u>	<u>2011</u>
		(% Growth (3-year average))			
AB	2.1	-1.3	-2.1	-0.4	1.4

Source: Treasury Board and Enterprise and Statistics Canada, Table 383-0011; labour productivity and related variables by business sector industry, consistent with the North American Industry Classification System (NAICS) and the System of National Accounts (SNA).

* For a list of business services see note on page 23.

MANUFACTURING AND BUSINESS SERVICES INDUSTRY INVESTMENT

Statistics Canada surveys all industries once a year about their actual past years' capital investments, as well as their intended investments for the current year. For business services, the following industries are aggregated: transportation and warehousing; information and cultural industries; finance and insurance; professional, scientific and technical services; administrative and support, waste management; arts, entertainment and recreation; and accommodation and food services. 2009 results have been revised to reflect the latest information from Statistics Canada.

<u>2006</u>	<u>2007</u>	<u>2008</u> (\$ billions)	<u>2009</u>	<u>2010</u>
10.9 (+19.5)	11.9 (+9.5)	13.8 (+15.5%)	11.1 (-19.6%)	10.2 (-8.0%)

Source: Statistics Canada and Treasury Board and Enterprise

Note(s): This measure has been revised to better reflect GoA sector priorities. The following sectors were dropped in 2010: wholesale trade; retail trade; real estate and rental and leasing; management of companies and enterprise; other services; and utilities. Preliminary results for 2011 are available from Statistics Canada, as are expectations for 2012. However, we have chosen to only report on data that have been finalized, and because a portion of the calendar-year 2011 surveying was completed before year-end 2011, the 2011 number cannot be considered final. 2010 numbers are used instead.

MANUFACTURING AND SERVICE EXPORTS

This measure tracks Alberta's international value-added exports, including manufactured goods and services measured in current dollars.

<u>2007</u>	<u>2008</u>	<u>2009</u> (\$ billions)	<u>2010</u>	<u>2011</u>
29.9	31.9 r	26.0 r	29.5 r	31.8 e

Source: Statistics Canada and Treasury Board and Enterprise

Note: The 2008 to 2010 results were revised by Statistics Canada and Treasury Board and Enterprise. The value of export trade in 2010 as presented in *Measuring Up 2011* was preliminary and has since been revised to incorporate more current data.

r revised
e estimate

Treasury Board and Enterprise uses Statistics Canada data to monitor the value of goods exported to other countries. Statistics Canada prepares the data monthly and publishes it in Canadian International Merchandise Trade.

The total value of Alberta's international goods exports is equivalent to Statistics Canada's published numbers. For manufactured goods, export data by commodity from Statistics Canada are used to determine industry-specific export values, using Statistics Canada classifications. A concordance table is obtained from Statistics Canada that allocates each commodity exported into a specific industry. This concordance table is then modified to reflect unique characteristics of Alberta's economy. For example, natural gas liquids are moved from manufacturing to

mining. Estimates for services are developed in-house by Treasury Board and Enterprise, based on a number of Statistics Canada reports and databases.

BUSINESS EXPENDITURES ON RESEARCH AND DEVELOPMENT

This is a measure of expenditures devoted annually to research and development from all business sectors of Alberta's economy. It provides an indication of the business climate for industrial research, which has the potential to produce innovative ideas, products and processes that can yield significant economic and social benefits for the province.

The data were obtained in January 2012 from the table Domestic Spending on Research and Development (GERD), Funding Sector, by Province at www.statcan.gc.ca.

<u>2005</u>	<u>2006</u>	<u>2007</u>	<u>2008</u>	<u>2009</u>
1,193	1,440	(\$ millions) 1,461	1,600r	1,449

Source: Statistics Canada

Note(s): The historical result for 2008 has been revised by Statistics Canada to reflect new information available on business expenditures on research and development in Alberta.

r revised

The data is gathered annually by Statistics Canada using surveys of business and is initially published as Industrial Research and Development: Intentions (Catalogue Number: 88-202-XIE). The funding view of the data presents who provided the money regardless of which performing entity spent it. The Government of Alberta accepts Statistics Canada's quality assurance and data accuracy.

HIGH SCHOOL COMPLETION RATE

The high school completion rate reports the percentages of Alberta students in public, separate, francophone, charter, and private schools who, within five years of entering Grade 10:

- received an Alberta High School Diploma, an Alberta High School Equivalency Diploma, Integrated Occupational Program certificate of Achievement or a Certificate of High School Achievement (Knowledge and Employability courses);
- entered an Alberta post-secondary program or an apprenticeship program; or
- earned credits in five Grade 12 courses, including one language arts diploma examination course and three other diploma examination courses.

High School Completion Rates Within Five Years of Entering Grade 10

<u>2006-07</u>	<u>2007-08</u>	<u>2008-09</u>	<u>2009-10</u>	<u>2010-11</u>
78.9%	78.7%	79.0%	79.0%	79.6%

Source: Education

Both the current and historical data on high school completion rate presented above have been adjusted to reflect a recent change in methodology as described below.

In 2010, the high school completion rate methodology was revised to reflect new data received from the post-secondary system. Under the revised methodology, the calculations incorporate

the post-secondary Classification of Instructional Programs coding to better identify those students enrolled in programs that are not deemed to be post-secondary level programming (e.g., academic upgrading). Students in these kinds of programs are not considered completers for the purpose of this measure.

The tracking of Grade 10 Alberta students excludes some students, such as those identified as having a severe cognitive disability or severe multiple disabilities.

Data for this measure are from Alberta Education and Alberta Advanced Education and Technology systems. Attrition adjustments are based on estimates from Statistics Canada's Demographic Estimates 2009-10. A more detailed description of the methodology and Education's Accountability Pillar is available online at www.education.alberta.ca under Funding and Accountability.

GOAL FIVE

PHYSICAL CONDITION OF PROVINCIAL HIGHWAYS

This measure reports the percentage of provincial highways with pavement in good, fair and poor condition.

	<u>2007-08</u>	<u>2008-09</u>	<u>2009-10</u> (percentage)	<u>2010-11</u>	<u>2011-12</u>
Good	59.0	58.6	58.1	58.4	58.6
Fair	25.9	26.3	26.8	26.7	26.8
Poor	15.1	15.1	15.1	14.9	14.6

Source: Transportation

The International Roughness Index (IRI) measures the roughness of roads and is used as an indicator of the overall physical condition of provincial highways. The identification of roads as good, fair or poor relies on standards established as a result of a comprehensive research study of road conditions and other performance measures conducted by the University of Calgary in 2002 for the ministry. Trigger values are defined as the boundary between categories of *good-fair* and *fair-poor*, and are set using a proactive life cycle analysis approach. The values are categorized by road classification and are based on one-kilometre segments.

<u>Condition</u>	<u>110km/h highway group</u>			<u>Other highway group</u>	
Good		Avg IRI	<1.5m/km	Avg IRI	<1.5m/km
Fair	≥1.5m/km	Avg IRI	<1.9m/km	≥1.5m/km	Avg IRI <2.1m/km
Poor	≥1.9m/km	Avg IRI		≥2.1m/km	Avg IRI

The IRI rating for all highways is obtained through data collected annually by consultants on behalf of Transportation. Using laser-based equipment, the consultant reports the average IRI value over a 50-metre segment of the highway. This detailed data is further averaged over one-kilometre sections to provide an assessment of condition over practical lengths. The data received was reviewed and used by Transportation staff in the performance measure analysis.

After existing good, fair, or poor segments are identified, anticipated work activities and pavement deterioration rates are incorporated to determine future performance targets.

PHYSICAL CONDITION OF LEARNING FACILITIES

This performance measure uses a Facility Condition Index (FCI) value to report the physical condition of learning facilities. The FCI is the ratio of the cost to correct current and future (five year) physical condition deficiencies, relative to current facility replacement value. The percentages are then calculated by taking the square meters of facilities in good, fair, or poor condition (as defined by FCI) and dividing each by the total area of all facilities. A standard replacement cost methodology is used across all facility types.

The FCI was adopted as a common measure to enhance reporting by enabling the ministry to compare condition ratings across facility types (government-owned facilities as well as supported, such as schools, health facilities, and post secondary institutions). The FCI is

produced slightly differently for different facility types depending on the amount of data available and the ability of on-site facility operators to update the data.

<u>Condition</u>	<u>FCI Definition</u>	<u>Capital Planning Initiative Definition</u>
Good	Facilities with an FCI of less than 15 per cent	Adequate for intended use and expected to provide continued service life with average maintenance.
Fair	Facilities with an FCI that is equal to or greater than 15 per cent or equal to or less than 40 per cent	Aging components are nearing the end of their life cycle and require additional expenditures for renewal or refurbishing.
Poor	Facilities with an FCI of greater than 40 per cent	Upgrading is required to comply with current codes or standards and deterioration has reached the point where major repairs or replacement are necessary.

Note(s): For facilities, current codes and standards are defined by the Alberta Building Code, which is revised periodically or other mandatory requirements. Older buildings are grandfathered and required to comply with the standards applicable at the time they were constructed, and not the current standards.

School Facilities – Physical Condition

For school facilities, this measure uses the Facility Condition Rating (FCR) which is the FCI established at the time of a consultant audit. Consultant assessments are conducted over a five-year cycle, with one-fifth (approximately 20 per cent) of the facilities assessed and their condition rated each year. The condition ratings from current year assessments are combined with those of previous years. Approximately 80 per cent of condition ratings are based on prior year facility assessments. Assessments are conducted for school facilities owned by school boards and funded by the Government of Alberta, and do not include outreach facilities. To optimize evaluation funds, this measure does not include facilities with an area of less than 1,000 gross square metres. However, the area of these excluded schools is less than half of a per cent (0.5) of the total schools area and would not impact the measure.

	<u>2011-12</u>
Good	61%
Fair	37%
Poor	2%

Source: Infrastructure

Note(s): The results for 2011-12 are not comparable against targets set under the previous methodology. Due to improvements made to the methodology that resulted in greater consistency in calculating the FCI across learning, government-owned and health facilities, current results are not comparable to previous years' results.

Post-secondary Facilities – Physical Condition

For post secondary institutions, this measure uses the Year End FCI, which is initially based on a consultant assessment but changes annually based on updated information entered into RECAP by the institutions. The intention is to conduct assessments on a five-year cycle, with one-fifth (approximately 20 percent) being evaluated per year. However, a growing inventory is affecting the cycle with approximately one-seventh (approximately 14 percent) of the post

secondary facilities being assessed and their condition rated each year. This measure does not include unsupported facilities such as residences, parkades and commercial facilities. To optimize evaluation funds, this measure does not include facilities with an area of less than 1,000 gross square meters.

	<u>2011-12</u>
Good	72%
Fair	23%
Poor	5%

Source: Infrastructure

Note(s): Building condition has not improved. The results for 2011-12 are not comparable against targets set under the previous methodology. Due to improvements made to the methodology that resulted in greater consistency in calculating the FCI across learning, government-owned and health facilities, current results are not comparable to previous years' results.

PHYSICAL CONDITION OF GOVERNMENT-OWNED AND OPERATED FACILITIES

This performance measure uses a Facility Condition Index (FCI) value to report the physical condition of government owned and operated facilities. The FCI is the ratio of the cost to correct current and future (five year) physical condition deficiencies, relative to current facility replacement value. The percentages are then calculated by taking the square meters of facilities in good, fair, or poor condition (as defined by FCI) and dividing each by the total area of all facilities. A standard replacement cost methodology is used across all facility types.

The FCI was adopted as a common measure to enhance reporting by enabling the ministry to compare condition ratings across facility types (government-owned facilities as well as supported, such as schools, health facilities, and post secondary institutions). The FCI is produced slightly differently for different facility types depending on the amount of data available and the ability of on-site facility operators to update the data.

For government-owned and operated facilities, this measure uses the Facility Condition Rating (FCR) which is the FCI established at the time of a consultant audit. Consultant assessments are conducted over a five-year cycle, with one-fifth (approximately 20 per cent) of the facilities assessed and their condition rated each year. The condition ratings from current year assessments are combined with those of previous years. Approximately 80 per cent of condition ratings are based on prior year facility assessments. Facilities owned by the provincial government but leased or operated by a third party are excluded from this measure. Surplus properties approved for disposal are also excluded. To optimize evaluation funds, this measure only includes facilities that are over 1,000 gross square metres in size, comprising approximately 90 per cent of the total area of all facilities combined.

	<u>2011-12</u>
Good	73%
Fair	26%
Poor	1%

Source: Infrastructure

Note(s): Building condition has not improved. The results for 2011-12 are not comparable against targets set under the previous methodology. Due to improvements made to the

methodology that resulted in greater consistency in calculating the FCI across learning, government-owned and health facilities, current results are not comparable to previous years' results. See the methodology under Physical Condition of Learning facilities in this goal for an interpretation of good, fair or poor for building infrastructure.

PHYSICAL CONDITION OF HEALTH FACILITIES

This performance measure uses a Facility Condition Index (FCI) value to report the physical condition of health facilities. The FCI is the ratio of the cost to correct current and future (five year) physical condition deficiencies, relative to current facility replacement value. The percentages are then calculated by taking the replacement value of facilities in good, fair, or poor condition (as defined by FCI) and dividing each by the total replacement value of all facilities. A standard replacement cost methodology is used across all facility types.

The FCI was adopted as a common measure to enhance reporting by enabling the ministry to compare condition ratings across facility types (government-owned facilities as well as supported, such as schools, health facilities, and post secondary institutions). The FCI is produced slightly differently for different facility types depending on the amount of data available and the ability of on-site facility operators to update the data.

For health facilities, this measure uses a combination of two methodologies. In 2008, the ministry started using the Facility Condition Rating (FCR) which is a fixed value of the FCI established at the time of the last consultant audit. Since 2008, 186 facilities have been evaluated to produce a FCR. This represents 59 per cent of facilities over 1,000 gross square metres owned by Alberta Health Services. For health facilities not evaluated by consultants, the FCI was calculated based on detailed 5-year physical condition deficiency lists provided by the former health regions, supplemented with review by Infrastructure. Going forward the intention is to conduct consultant assessments over a five-year cycle, with one-fifth (approximately 20 per cent) of the facilities assessed and their condition rated each year. The condition ratings from current year assessments will be combined with those of previous years. This measure excludes facilities that are not eligible for Infrastructure Maintenance Program funding and excludes leased facilities. To optimize evaluation funds, this measure does not include facilities with an area of less than 1,000 gross square meters.

	<u>2011-12</u>
Good	77%
Fair	20%
Poor	3%

Source: Infrastructure, Alberta Health Services Board

Note(s): Building condition has not improved. The results for 2011-12 are not comparable against targets set under the previous methodology. Due to improvements made to the methodology that resulted in greater consistency in calculating the FCI across learning, government-owned and health facilities, current results are not comparable to previous years' results. See the methodology under Physical Condition of Learning Facilities in this goal for an interpretation of good, fair or poor for building infrastructure.